



ቡና ባንክ
BUNNA BANK

Bank of the Visionaries!
የባሰራሰዮች ባንክ!

Branch Banking Procedure

June 2023

Table of Contents

PART-ONE	1
INTRODUCTION.....	1
1.1 PREAMBLE	1
1.2 SHORT TITLE OF THE PROCEDURE	2
1.3 DEFINITIONS OF TERMS AND CONCEPTS.....	2
1.4 GENERAL OBJECTIVES OF THE PROCEDURE	9
1.5 SCOPE OF THE PROCEDURE	9
1.6 GOVERNING RULES.....	9
PART-TWO	9
GENERAL AUTHORITIES AND RESPONSIBILITIES	9
2.1 CEO:.....	9
2.2 CBSO:.....	9
2.3 DIRECTOR- BBQA DIRECTORATE:.....	10
2.4 MANAGER- DISTRICT SUPPORT DIVISION:	10
2.5 DIRECTOR DISTRICT/MANAGER AREA:	11
2.6 MANAGER- DISTRICT BANKING BUSINESS DIVISION:	12
2.7 MANAGER- DISTRICT OPERATION DIVISION:.....	12
2.8 BRANCH MANAGER:	13
2.9 OTHER PERFORMERS	14
PART- THREE	14
CUSTOMER RECRUITMENT AND SELLING PRODUCTS AND SERVICES.....	14
3.1 CUSTOMER RECRUITMENT AT BRANCH	14
3.1.1 BRANCH MANAGER	14
3.1.2 THE FRONT MAKER:.....	15
3.2 TYPES AND FEATURES OF CUSTOMER DEPOSIT ACCOUNT	15
3.2.1 SAVING DEPOSIT ACCOUNT:	15
3.2.1.1 FEATURES OF ORDINARY SAVING DEPOSIT ACCOUNTS	15
3.2.1.2 OPERATION OF SAVING ACCOUNT WITHOUT PASSBOOK	16
3.2.1.3 INTEREST PAYMENT ON SAVING ACCOUNT	16
3.2.2 DEMAND DEPOSIT ACCOUNTS	16
3.2.3 SPECIAL SAVING ACCOUNT.....	16
3.2.4 SPECIAL DEMAND DEPOSIT ACCOUNT	17
3.2.5 ECX RELATED ACCOUNTS.....	17
3.2.5.1 MEMBER PAY-IN	17
3.2.5.2 MEMBER PAY-OUT	17
3.2.5.3 CLIENT PAY-IN.....	17
3.2.5.4 CLIENT PAY-OUT	18
3.2.6 FIXED-TIME DEPOSIT ACCOUNT.....	18
3.3 OTHER DISTINGUISHING FEATURES OF PRODUCTS AND SERVICES.....	19
3.3.1 JOINT ACCOUNTS.....	19
3.3.2 EARMARKING ACCOUNTS	20
3.3.3 CASH INDEMNITY ACCOUNT	20
3.3.4 OVERDRAFT ACCOUNT.....	20
3.3.5 PAYMENT TO BEDRIDDEN CUSTOMERS	20
3.3.6 VISUALLY IMPAIRED CUSTOMERS	21
3.3.6.1 ACCOUNT OPENING	21

3.3.6.2	OPERATING THE ACCOUNT	21
3.4	REQUIRED DOCUMENTS TO OPEN A LOCAL DEPOSIT ACCOUNT	22
3.4.1	IDENTIFICATION CARDS AND CONTENT.....	22
3.4.1.1	ACCEPTABLE IDENTIFICATION CARD BY BUNNA BANK.....	22
3.4.1.2	CONTENTS OF VALID IDENTIFICATION CARDS	23
3.4.2	PHOTOGRAPH	23
3.4.3	REQUIRED DOCUMENTS TO OPEN ACCOUNTS FOR INDIVIDUALS	23
3.4.4	INDIVIDUAL TRADER (SOLE PROPRIETORSHIP) TO OPEN AN ACCOUNT	23
3.4.5	ONE-MEMBER PRIVATE LIMITED COMPANY	23
3.4.6	PRIVATE LIMITED COMPANY	24
3.4.7	GENERAL PARTNERSHIP/ LIMITED PARTNERSHIP	24
3.4.8	SHARE COMPANY	24
3.4.9	PRIVATE SCHOOLS, COLLEGES, AND UNIVERSITIES.....	25
3.4.10	FINANCIAL INSTITUTIONS	25
3.4.11	GOVERNMENT SCHOOLS, COLLEGES, AND UNIVERSITIES.....	25
3.4.12	PUBLIC ENTERPRISE.....	25
3.4.13	GOVERNMENT ENTITIES	26
3.4.13.1	FEDERAL GOVERNMENT ENTITIES.....	26
3.4.13.2	REGIONAL GOVERNMENT ENTITIES –	26
3.4.13.3	FEDERAL BUDGETARY INSTITUTIONS	26
3.4.13.4	REGIONAL/CITY ADMINISTRATION BUDGETARY INSTITUTIONS AND OTHERS	26
3.4.14	COOPERATIVE SOCIETIES	27
3.4.15	ETHIOPIAN ORTHODOX TEWAHIDO CHURCH (EOTC)	27
3.4.16	ETHIOPIAN ISLAMIC AFFAIRS	27
3.4.17	ETHIOPIAN CATHOLIC CHURCH	27
3.4.18	ETHIOPIAN EVANGELICAL CHURCH MEKANE YESUS (EECMY).....	28
3.4.19	OTHER ETHIOPIAN PROTESTANT CHURCHES.....	28
3.4.20	NON-GOVERNMENTAL ORGANIZATIONS	28
3.4.21	INTERDICTED PERSONS, BANKRUPT OR UNDER FORMATION FIRMS	28
3.4.21.1	INTERDICTED NATURAL PERSONS	29
3.4.21.2	INTERDICTED JURIDICAL PERSONS.....	29
3.4.21.3	FIRM IN THE PROCESS OF LIQUIDATION	29
3.4.21.4	SHARE COMPANIES UNDER FORMATION.....	29
3.4.21.5	FIRMS UNDER REGISTRATION (INVESTMENT OR TRADE LICENSE)	30
3.4.21.6	OVERSEAS ORGANIZATIONS WORKING IN ETHIOPIA.....	30
3.4.21.6.1	DUE TO A CONTRACTUAL AGREEMENT	30
3.4.21.6.2	DUE TO BILATERAL OR MULTILATERAL AGREEMENT	30
3.5	REQUIRED DOCUMENT FOR FOREIGN CURRENCY DEPOSIT PRODUCTS	31
3.5.1	ELIGIBLE ENTITIES	31
3.5.2	DOCUMENTS REQUIRED	31
3.5.2.1	EMBASSIES	31
3.5.2.2	DIPLOMATS	31
3.5.2.3	INTERNATIONAL ORGANIZATIONS.....	32
3.5.2.4	FOREIGN INVESTORS.....	32
3.5.2.5	INTERNATIONAL CHARITIES AND ITS EXPATRIATE EMPLOYEES.....	32
3.5.2.5.1	INTERNATIONAL CHARITIES	32
3.5.2.5.2	EXPATRIATE EMPLOYEES	33
3.5.2.6	FCY SAVING ACCOUNT TO RESIDENT OF ETHIOPIA/NON-RESIDENT ETHIOPIAN/ NON-RESIDENT ETHIOPIAN ORIGIN	33
3.5.2.7	EXPORTER AND OTHERS TO OPEN RETENTION ACCOUNT	33
3.5.2.8	DIASPORA ACCOUNT	34
3.5.2.8.1	ELIGIBLE ENTITY	34
3.5.2.8.2	TYPES OF DIASPORA ACCOUNTS.....	35
3.5.2.8.2.1	CURRENT ACCOUNT	35

3.5.2.8.2.2	FIXED TIME DEPOSIT ACCOUNT	35
3.5.3	FCY CIF ID CREATION AND ACCOUNT OPENING	35
3.5.3.1	THE MAKER:.....	35
3.5.3.2	THE CHECKER:.....	36
3.5.4	FCY ACCOUNT OPERATION	36
3.5.4.1	FOREIGN CURRENCY SAVING ACCOUNT HOLDERS:	36
3.5.4.2	FCY SAVING ACCOUNT HOLDERS ARE PROHIBITED FROM:	37
3.5.4.3	PAYMENT FROM THE RETENTION ACCOUNT	37
3.5.4.3.1	BRANCH MANAGER/MANAGER BRANCH BUSINESS/CSM	37
3.5.4.3.2	THE MAKER.....	38
3.5.4.3.3	THE CHECKER.....	38
3.6	THE BRANCH CONTROLLER/THE ASSIGNED CHECKER	38
3.7	CUSTOMER PROTECTION AND CONFIDENTIALITY	39
3.8	CONFIDENTIALITY	39
PART- FOUR.....		40
CIF ID CREATION AND CUSTOMER ACCOUNT OPENING.....		40
4.1	CIF ID CREATION AND SAVING ACCOUNT OPENING	40
4.1.1	THE MAKER AT BRANCH:	40
4.1.2	THE CHECKER:	41
4.2	CIF ID CREATION AND ACCOUNT OPENING FOR CHEQUE ACCOUNT.....	42
4.2.1	CIF ID CREATION AND ORDINARY CHEQUE ACCOUNT OPENING	42
4.2.1.1	THE MAKER:.....	42
4.2.1.2	THE CHECKER.....	43
4.2.1.3	THE OPERATION MANAGER/CSM/BRANCH MANAGER:.....	43
4.2.2	ECX-RELATED ACCOUNTS MAINTENANCE AT BRANCH.....	44
4.2.2.1	BRANCH MANAGER/ BUSINESS MANAGER /CSM:.....	44
4.2.2.2	THE MAKER:.....	44
4.2.2.3	THE CHECKER:	44
4.3	FIXED TIME DEPOSIT ACCOUNT OPENING	45
4.3.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:.....	45
4.3.2	BUSINESS CUSTOMER RELATIONSHIP DIRECTORATE:.....	46
4.4.1	BRANCH CONTROLLER/THE ASSIGNED CHECKER:	46
PART- FIVE.....		48
COLLECTION SERVICE		48
5.1	CASH DEPOSIT COLLECTION.....	48
5.1.1	THE MAKER:.....	48
5.1.2	THE CHECKER:	49
5.2	CASH COLLECTION TO PURCHASE FCY CASH NOTES	49
5.2.1	THE MAKER:.....	49
5.2.2	THE CHECKER:	49
5.3	CASH COLLECTION FOR LOCAL TRANSFER/FUND TRANSFER	49
5.3.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:.....	49
5.3.2	THE MAKER:.....	50
5.3.3	THE CHECKER:	50
5.4	CASH COLLECTION FOR ISSUANCE OF CPOs/ BANKER'S CHEQUE	50
5.4.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:.....	50
5.4.2	THE MAKER:.....	50
5.4.3	THE CHECKER:	51
5.5	COLLECTION OF CHEQUES AND CPOs.....	51

5.5.1	BB CHEQUES/CPOs	51
5.5.1.1	THE MAKER:.....	51
5.5.1.2	THE CHECKER:.....	51
5.5.2	OTHER BANKS' CHEQUES / CPOs COLLECTION FOR NORMAL CLEARANCE	51
5.5.2.1	THE MAKER:.....	52
5.5.2.2	THE CHECKER:.....	52
5.5.3	OTHER BANK CHEQUES/BANKER CHEQUES (CPOs) COLLECTION FOR SPECIAL CLEARANCE	53
5.5.3.1	THE MAKER:.....	53
5.5.3.2	THE CHECKER:.....	53
5.6	COLLECTION ON THE PREMISES OF A CUSTOMER.....	53
5.6.1	CASHIER IMPLANT AND CASH PICK-UP SERVICE	53
5.6.1.1	DIRECTOR DISTRICT/AREA MANAGER:.....	53
5.6.1.2	BRANCH MANAGER/BUSINESS MANAGER/CSM:	54
5.6.1.3	THE MAKER:.....	54
5.6.2	CASHIER IMPLANT SERVICE	54
5.6.2.1	CASH COLLECTIONS TO DEPOSIT CUSTOMER ACCOUNT.....	54
5.6.2.1.1	THE MAKER:.....	54
5.6.2.1.2	THE CHECKER:.....	55
5.6.2.2	COLLECTIONS OF CHEQUES/CPOs/FUND TRANSFER REQUESTS	55
5.6.2.2.1	THE MAKER:.....	55
5.6.2.2.2	THE CHECKER:.....	56
5.6.3	CASH PICKUP SERVICE	56
5.6.3.1	THE MAKER:.....	56
5.6.3.2	THE CHECKER:.....	56
5.7	COLLECTION THROUGH DIGITAL BANKING CHANNELS	57
5.7.1	COLLECTION THROUGH CARDS ON POS AND ATM MACHINES	57
5.7.1.1	THE MAKER:.....	57
5.7.1.2	THE CHECKER.....	57
5.7.2	COLLECTION THROUGH ONLINE BANKING CHANNELS.....	57
5.7.2.1	THE MAKER:.....	57
5.7.2.2	THE CHECKER:.....	57
5.7.3	COLLECTION FROM THIRD PARTIES (TAX/UTILITY PAYMENTS)	58
5.7.3.1	THE MAKER:.....	58
5.7.3.2	THE CHECKER:.....	58
5.8	POST TRANSACTION CHECKING AND CUSTODY OF DOCUMENTS.....	59
5.8.1	BRANCH CONTROLLER/THE ASSIGNED CHECKER:	59

PART-SIX..... 60

PAYMENT SERVICE 60

6.1	PAYMENT THROUGH CONVENTIONAL CHANNELS	60
6.1.1	CASH PAYMENT FROM SAVING ACCOUNT.....	60
6.1.1.1	THE MAKER:.....	60
6.1.1.2	THE CHECKER:.....	61
6.1.2	CASH PAYMENT FROM CASH INDEMNITY ACCOUNT.....	61
6.1.2.1	THE MAKER:.....	61
6.1.2.2	THE CHECKER:.....	62
6.1.3	CASH PAYMENT FROM CHEQUE ACCOUNT.....	62
6.1.3.1	THE MAKER:.....	62
6.1.3.2	THE CHECKER:.....	63
6.1.4	CASH PAYMENT FROM INACTIVE ACCOUNTS AT HOME BRANCH	63
6.1.4.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:	64
6.1.4.2	THE MAKER:.....	64

6.1.4.3	THE CHECKER:.....	64
6.1.5	LOCAL MONEY TRANSFER	65
6.1.5.1	PAYMENT FOR LOCAL MONEY TRANSFER.....	65
6.1.5.1.1	THE MAKER:.....	65
6.1.5.1.2	THE CHECKER:.....	65
6.1.6	PAYMENT FOR CANCELLATION OF LMTS	65
6.1.6.1	THE MAKER:.....	66
6.1.6.2	THE CHECKER:.....	66
6.1.7	PAYMENT OF LMTS FOR LOST SECURITY NUMBER	66
6.1.7.1	THE MAKER:.....	66
6.1.7.2	THE CHECKER:.....	67
6.1.7.3	THE DISTRICT SUPPORT DIVISION AT BBQAD:	67
6.2	PAYMENT THROUGH FUND TRANSFER	67
6.2.1	FUND/ACCOUNT TO ACCOUNTS TRANSFER FROM BB TO BB.....	67
6.2.1.1	THE MAKER:.....	67
6.2.1.2	THE CHECKER:.....	67
6.2.2	FUND/ACCOUNT TO ACCOUNTS TRANSFER FROM BB TO OTHER BANKS	68
6.2.2.1	THE MAKER:.....	68
6.2.2.2	THE BRANCH MANAGER/BUSINESS MANAGER/CSM:	68
6.2.3	PAYMENT USING LETTER OF BULK PAYMENT INSTRUCTION.....	68
6.2.3.1	BRANCH MANAGER/ BUSINESS MANAGER/CSM:	68
6.2.3.2	THE MAKER:.....	69
6.2.3.3	THE CHECKER:.....	69
6.3	PAYMENT THROUGH CUSTOMER STANDING INSTRUCTION.....	69
6.3.1	BRANCH MANAGER/ BUSINESS MANAGER/CSM:	69
6.3.2	THE MAKER:.....	70
6.3.3	THE CHECKER:	70
6.4	PAYMENT OF FOREIGN REMITTANCE	70
6.4.1	THE MAKER:.....	70
6.4.2	THE CHECKER:	71
6.5	CASH PAYMENT FROM RETENTION ACCOUNT	71
6.5.1	BRANCH MANAGER/MANAGER BRANCH BUSINESS/CSM.....	71
6.5.2	THE MAKER.....	71
6.5.3	THE CHECKER	72
6.6	PAYMENT THROUGH NEGOTIABLE INSTRUMENTS.....	72
6.6.1	PAYMENT USING BB CHEQUE	72
6.6.1.1	THE MAKER:.....	72
6.6.1.2	THE CHECKER:.....	72
6.6.2	PAYMENT OF BB CPOS	73
6.6.2.1	THE MAKER:.....	73
6.6.2.2	THE CHECKER:.....	73
6.6.3	PAYMENT OF LOST CPOS	74
6.6.3.1	BRANCH MANAGER/ BUSINESS MANAGER/CSM:	74
6.6.3.2	THE MAKER:.....	74
6.6.3.3	THE CHECKER:.....	75
6.6.4	PAYMENT OF BB CHEQUE /CPOS COLLECTED BY OTHER BANKS.....	75
6.6.4.1	BRANCH MANAGER/ BUSINESS MANAGER/CSM:	75
6.6.4.2	THE MAKER:.....	75
6.6.4.3	THE CHECKER:.....	75
6.6.5	PAYMENT OF BB CHEQUE/CPOS BY SPECIAL CLEARANCE (VALUE >200,000 BIRR)	76
6.6.5.1	THE MAKER:.....	76
6.6.5.2	THE CHECKER:.....	76
6.6.6	CASH WITHDRAWAL WITHOUT CHEQUE.....	76

6.6.6.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:	76
6.6.6.2	THE MAKER:.....	77
6.6.6.3	THE CHECKER:	77
6.6.7	PAYMENT THROUGH DIGITAL BANKING CHANNELS.....	77
6.6.7.1	PAYMENT THROUGH POS CASH ADVANCE.....	77
6.6.7.1.1	THE MAKER:.....	77
6.6.7.1.2	THE CHECKER:.....	78
6.6.7.2	PAYMENTS THROUGH ATMs AND ONLINE BANKING.....	78
6.6.7.2.1	THE MAKER:.....	78
6.6.7.2.2	THE CHECKER:.....	78
6.7	TRANSACTION AUTHORIZATION LIMIT	79
6.7.1	CASH DEPOSIT AND PAYMENT AUTHORIZATION LIMIT IN BIRR.....	79
6.7.2	FUND TRANSFER TRANSACTION AUTHORIZATION LIMIT IN BIRR.....	80
6.7.3	TRANSACTION AUTHORIZATION LIMITS ON SERVICES IN BIRR	80
6.7.4	AUTHORIZATION LIMIT FOR EXPIRED AND/OR LOST CPOS IN BIRR:	80
6.7.5	INTER-BRANCH TRANSACTION LIMIT	81
6.7.6	TRANSACTIONS NOT ALLOWED IN INTER-BRANCH OPERATIONS.....	81
6.8	POST TRANSACTION CHECKING AND CUSTODY OF DOCUMENTS.....	81
6.8.1	BRANCH CONTROLLER/THE CHECKER:	81
PART-SEVEN		82
OTHER BRANCH BANKING OPERATION		82
7.1	FEATURES OF CHEQUE.....	82
7.2	ENDORSEMENT OF CHEQUE/CPOS	82
7.3	CROSSING OF CHEQUE	82
7.4	STOP-PAYMENT ORDER.....	83
7.4.1	STOP-PAYMENT ORDER HANDLING.....	83
7.4.1.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:	83
7.4.2	CANCELLATION OF STOP-PAYMENT ORDER.....	84
7.4.2.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:	84
7.4.2.2	THE CHECKER:	84
7.5	AMOUNT BLOCKING OR ACCOUNT BLOCKING	84
7.5.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:.....	84
7.5.2	BRANCH CONTROLLER/CHECKER:	85
7.6	NOT SUFFICIENT FUND (NSF) CHEQUE HANDLING	85
7.6.1	NSF CHEQUE PRESENTED AT HOME BRANCH.....	85
7.6.1.1	THE MAKER:.....	85
7.6.1.2	THE CHECKER:.....	85
7.6.1.3	BRANCH MANAGER/BUSINESS MANAGER/CSM:	86
7.6.2	NSF CHEQUE PRESENTED TO OTHER THAN HOME BRANCH	87
7.6.2.1	THE MAKER:.....	88
7.6.2.2	THE CHECKER AT HOME BRANCH.....	88
7.6.2.3	BRANCH MANAGER/BUSINESS MANAGER/CSM:	88
7.6.3	RELEASE OF RESTRICTED AMOUNT DUE TO NSF.....	88
7.6.3.1	BRANCH MANAGER/BUSINESS MANAGER/CSM:	88
7.7	CHEQUE AND CPOS HANDLING AT A BRANCH.....	89
7.7.1	BRANCH MANAGER/OPERATION MANAGER/CSM:	89
7.8	LONG OUTSTANDING ISSUED CHEQUE HANDLING	89
7.9	HANDLING RUBBER STAMPS.....	90
7.9.1	THE BRANCH MANAGER/OPERATION MANAGER/CSM:.....	90
7.10	POWER OF ATTORNEY	90
7.11	CUSTOMER DELEGATIONS	91

7.12	CHANGING CUSTOMER SIGNATURE REQUEST	91
7.12.1	THE CHECKER:.....	92
7.12.2	THE MAKER:.....	92
7.13	ISSUANCE OF BANK STATEMENT	92
7.13.1	THE MAKER:.....	92
7.14	BALANCE CONFIRMATION REQUEST	92
7.14.1	BRANCH MANAGER /BUSINESS MANAGER/CSM:	93
7.15	FIXED ASSET AND OTHER PROPERTIES MANAGEMENT	93
7.15.1	BRANCH MANAGER/OPERATION MANAGER/CSM:	93
7.16	OFFICE KEY MANAGEMENT	94
7.16.1	CUSTODY OF KEYS	94
7.16.1.1	BRANCH MANAGER/OPERATION MANAGER/CSM:	94
7.16.2	ORIGINAL KEYS.....	95
7.16.3	DUPLICATE KEYS	95
7.16.4	ORIGINAL KEYS LOSS AND REPLACEMENT OF KEY	95
7.16.5	AUTHORIZED SIGNATURE ASSIGNMENT	95
7.16.5.1	SIGNATURE ASSIGNMENT FOR BRANCHES	95
7.16.5.2	SIGNATURE ASSIGNMENT FOR HEAD OFFICE	96
7.16.5.3	SIGNATURES FROM OTHER BANKS.....	96
7.16.5.4	UPGRADING/MODIFICATION /STYLE CHANGE/CANCELLATION OF ONUS SIGNATURE	96
7.17	LOSS OF PASS BOOK.....	97
7.17.1	REPLACEMENT OF PASS BOOK	97
PART-EIGHT		98
CASH OPERATIONS		98
8.1	LOCAL CURRENCY-CASH OPERATION.....	98
8.1.1	OPENING CASH OPERATION DURING A BUSINESS DAY.....	98
8.1.1.1	BRANCH MANAGER/OPERATION MANGER/CSM:	98
8.1.1.2	THE CHIEF CASHIER:.....	98
8.1.1.3	THE MAKER-CSO-I:.....	99
8.1.2	REQUEST FOR ADDITIONAL CASH DURING THE DAY'S OPERATION.....	100
8.1.2.1	THE MAKER:.....	100
8.1.2.2	THE CHIEF CASHIER:.....	100
8.1.3	EXCESS CASH IN THE MIDDLE OF THE OPERATION:	100
8.1.3.1	THE MAKER:.....	100
8.1.3.2	THE CHIEF CASHIER:.....	100
8.1.4	RECEIVING CASH AT THE SORTING TABLE.....	101
8.1.4.1	THE CHIEF CASHIER:.....	101
8.1.5	CLOSING ACTIVITIES (HALF-DAY CLOSING)	101
8.1.5.1	THE MAKER:.....	101
8.1.5.2	THE CHIEF CASHIER:.....	102
8.1.6	END OF DAY (EOD) CLOSING	102
8.1.6.1	THE MAKER:.....	102
8.1.6.2	THE CHIEF CASHIER:.....	102
8.1.6.3	BRANCH MANAGER/OPERATION MANAGER/CSM:	103
8.1.7	CASH DIFFERENCE-AT BRANCH	104
8.1.8	REFUND OF EXCESS CASH	105
8.2	CASH DISTRIBUTION.....	106
8.2.1	CITY BRANCHES RECEIVING CASH FROM ISSUE UNIT (CENTRAL VAULT)	106
8.2.1.1	BRANCH MANAGER/OPERATION MANAGER/CSM:	106
8.2.1.2	MANAGER-TREASURY AND INVESTMENT MANAGEMENT DIVISION:.....	106
8.2.1.3	THE CHIEF CASHIER (AT BRANCH)	107

8.2.2	CITY BRANCHES DISPATCHING CASH TO CENTRAL CASH ISSUE UNIT	107
8.2.2.1	BRANCH MANAGER/OPERATION MANAGER /CSM:	107
8.2.2.2	MANAGER –TREASURY AND INVESTMENT MANAGEMENT DIVISION:	107
8.2.2.3	THE CHIEF CASHIER (AT BRANCH):	108
8.2.3	OUTLYING BRANCH DISPATCHING CASH TO NBE ISSUE ACCOUNT HOLDING BANK-BRANCHES	108
8.2.3.1	BRANCH MANAGER/OPERATION MANAGER/CSM:	108
8.2.3.2	THE CHIEF CASHIER (AT THE BRANCH):	108
8.2.4	OUTLYING BRANCH RECEIVING CASH FROM NBE ISSUE ACCOUNT HOLDING BANK BRANCHES	109
8.2.4.1	BRANCH MANAGER/OPERATION MANAGER/CSM:	109
8.2.4.2	THE CHIEF CASHIER:	109
8.3	CASH CONSIGNMENT BETWEEN BRANCH UNDER THE SAME DISTRICT/AREA OFFICE	109
8.3.1	CASH RECEIVING FROM ANOTHER BRANCH SAME DISTRICT/AREA OFFICE.....	109
8.3.2	CASH DISPATCHING FROM BRANCH TO BRANCH UNDER THE SAME DISTRICT/AREA OFFICE	110
8.3.2.1	THE DISTRICT OPERATION MANAGER/AREA OFFICE MANAGER.....	110
8.3.2.2	THE BRANCH MANAGER/OPERATION MANAGER/CSM OF THE CASH DISPATCHING BRANCH.....	111
8.3.2.3	THE CHIEF CASHIER	111
8.3.2.4	THE MAKER-CSO	111
8.3.2.5	THE ASSIGNED CHECKER/BRANCH CONTROLLER	112
8.4	FOREIGN CURRENCY- CASH OPERATIONS	112
8.4.1	GENERAL OPERATIONS OF FOREIGN CASH	112
8.4.2	DISPATCH OF FOREIGN CURRENCIES TO THE CENTRAL VAULT.....	112
8.4.3	FOREIGN CURRENCY CLOSING OF CASH.....	113
8.5	CASH HOLDING LIMIT	113
8.6	CASH AREA AT BRANCH	113
8.7	ATTENDANCE AND CONDUCT	113
8.8	COINS GOOD FOR ISSUE.....	114
8.9	NOTES GOOD FOR ISSUE	114
8.10	COUNTERFEIT NOTES	115
8.11	DETERIORATED NOTES.....	116
8.12	EXCHANGE OF NOTES AND COINS	117
8.13	SORTING TABLE	117
PART-NINE		118
CUSTOMER ACCOUNT CLOSURE		118
9.1	REASONS FOR ACCOUNT CLOSING	118
9.2	CLOSURE OF CUSTOMERS ACCOUNT.....	118
9.2.1	THE MAKER:.....	118
9.2.2	THE CHECKER:	119
9.2.3	BRANCH CONTROLLER/THE ASSIGNED CHECKER:	119
PART-TEN		120
EXCEPTIONS, REVISIONS, AND REPEALED		120
10.1	TREATMENT OF EXCEPTIONS	120
10.2	REVISION OF PROCEDURE	120
10.3	AMENDMENTS	120
10.4	REPEALED	120
10.5	EFFECTIVE DATE	120
1.1	ANNEX-THE STRUCTURE OF CBSO	121

Acronyms

ACSO	Agency For Civil Society Organizations
AML	Anti-Money Laundering
ATM	Automated Teller Machine
BB	Bunna Bank SC
BBQAD	Branch Banking and Quality Assurance Directorate
BCRD	Business Customer Relationship Directorate
CBS	Core Banking Solution
CBSO	Chief Banking Services Officer
CEO	Chief Executive Officer
CIF	Customer Information File
CIF ID	Customer Information File Identification
CPO	Cashier Payment Order
CSM	Customer Service Manager
CSO-I/II/III	Customer Service officer-I/II/III
DBD	Digital Banking Directorate
EATS	Ethiopian Automated Transfer System
ECX	Ethiopian Commodity Exchange
EFIS	Ethiopian Financial Intelligence Service
EMC	Executive Management Committee
ESMD	Enterprise System Management Directorate
EOD	End of Day
FDRE	Federal Democratic Republic of Ethiopia
IBD	International Banking Directorate
ID	Identification Card
IFB	Interest-Free Banking
KYC	Know Your Customer
LMTS	Local Money Transfer System
NBE	National Bank of Ethiopia
NSF	Not sufficient Fund
PEPs	Political Exposed Persons
POS	Point of Sale Terminal
RBD	Retail Banking Directorate
RTGS	Real Time Gross settlement

SCSO	Senior Customer Service Officer
SMS	Short Message Service
SVS	Signature Verification System
TIN	Tax Identification Number

Table: Version History

S/No	Name of Document	Version Type	Date & Year of Approval	Responsible organ to prepare	Approving Organ
1	Domestic Banking Operations Procedure Manual		July 2015	Branch Operation	President

PART-ONE

INTRODUCTION

1.1 Preamble

Whereas, there is a need to update the existing procedure to keep abreast of changes in the internal, and external environment;

Whereas, there is a need to clearly define specific roles and responsibilities of performers of Branch Banking;

Whereas, there is a need to standardize the branch banking operations across all branches and other relevant units;

Whereas, there is a need to update the Branch Banking procedure to fully comply with the requirements;

Whereas, the bank has embarked on operational excellence as the strategic theme to achieve its vision, mission, and values;

Whereas, there is a need to create a product and channel ownership to mobilize resources to ensure sustainable business growth;

Whereas, there is a need to assure the quality of people, processes, products/services, and facilities bank-wide for continuous improvement; and

Now, therefore, *the Executive Management of Bunna Bank SC, according to the power vested to it under Article 3.1.1.23 of the Corporate Governance General Policy framework of BB' EMC, has issued this Branch Banking Procedure'.*

1.2 Short Title of the Procedure

This Procedure may be cited as “Branch Banking Procedure June/2023”

1.3 Definitions of Terms and Concepts

For this procedure, the terms shall be defined as follows;-

1. **Account for Minor:** shall refer to a saving account opened for individuals, aged between 0-14 and operated by the individual parent or legal guardians/Tutor by a court order;
2. **Account Freeze:** shall refer to an action taken by a bank that prevents some transactions from debiting in the account. It is a restriction on the account to undertake a certain type of transaction: Debit, credit, or both/total;
3. **Account Lien:** shall refer to, when a specific amount of money is restricted to debit from the customer account;
4. **Account to Account Transfer:** shall refer to the transfer of funds from one customer account to another customer account or between the different accounts of a customer;
5. **Accounts for Interdicted Persons:** shall refer to a person who may be designated by a court of law as being incapable of discharging her/his/its legal rights, or be interdicted. Following such a ruling, the court normally appoints a guardian for the incapable or interdicted person.
6. **Authorization:** shall mean the process of approving or declining any business transactions;
7. **Automated Teller Machine (ATM):** an electronic banking machine that dispenses cash, accepts deposits, may provide balance confirmation, fund transfers between accounts, and performs other services when a customer inserts a plastic card and PINs;
8. **Banker's Cheque:** shall mean a type of transferable instrument prepared by banks as per customer request and is payable upon presentation. It is endorsable to the purchaser only and valid for six months. It is also known as a Cashier payment order (CPO).
9. **Bedridden Customers:** shall refer to persons forced to remain in bed due to illness or injury and cannot show up at the counter physically;

10. **Biometrics Technology:** shall mean a technology used to identify a person identify using electronic fingerprint scan, toe impression, voice, facial, and/or iris recognition;
11. **Branch banking:** shall mean the unit of the bank that provides services to customers considering account opening, cash deposit/payment remittance, and transactions related to foreign currency exchange activities; sale and expand physical and digital channels of the bank in collaboration with the concerned organ of the bank;
12. **Cashier to CSO-I Transaction:** is the transfer of cash balance in the system from cashier to CSO-I, the handling and taking over of which is manually and physically undertaken with the same amount;
13. **Checker:** shall refer to the user who handles all back office services or who authorizes an operations/transaction equivalent in the branch within the limit;
14. **Cheque Account:** shall refer to any account operated by cheque;
15. **Cheque Clearing:** shall mean the process of moving a cheque from the bank in which it was deposited to the bank on which it was drawn, and the movement of the money in the opposite direction;
16. **Close an Account:** shall mean terminating operation (debiting and crediting) of a cheque/saving account or deactivating a bank cheque/saving account;
17. **Contract:** shall mean an agreement between two parties that creates an obligation to perform (or not perform) a particular duty;
18. **Core Banking:** shall mean a banking system that is a centralized, online, and real-time exchange that is provided by networked branches of the bank where customers may access their bank account and perform basic transactions from networked branches;
19. **Corporate Customer:** shall mean corporate, partnership, or other legal entity/juridical persons (not being a person) which is the holder of an account that is approved and registered by the Bank to all banking services;
20. **Crossing of Cheques:** shall refer to drawing two parallel lines across the face of the cheque;
21. **Customer:** shall mean a legal person (juridical person or natural person) with whom the bank agrees to conduct business;

22. **Debit Card:** shall mean payment card which is used to debit from the customer account at the time of the transaction;
23. **Delinquent List (Mal-operation list):** shall mean a record maintained at the National Bank of Ethiopia and each bank containing detailed information about a cheque dishonored for a third time, closed and reported by a bank to NBE and NBE circulated to all banks to close the account;
24. **Demand Deposit Account:** shall mean a non-interest bearing account, which enables the account holders to withdraw funds at any time without prior notice and usually operated by cheque;
25. **Diaspora Accounts:** Shall mean a foreign currency account opened for Ethiopians living abroad (who live more than one year abroad), and Ethiopians by origin but with different nationalities that are referred to as eligible Ethiopians;
26. **Dishonored Cheque:** shall mean a cheque drawn without sufficient fund cover in the account and is rejected by paying bank for this reasons;
27. **Document Authentication:** shall refer to the process of checking the genuineness of a document from the issuing organ or other reliable sources;
28. **Drawee:** shall refer to the party that pays the sum specified on the negotiable instrument;
29. **Drawer:** shall refer to a cheque account holder who signs on a cheque giving an order to his/her bank to pay the amount specified therein to a payee using fields in his cheque account maintained in the bank;
30. **Earmarked Accounts:** shall refer to accounts opened with other descriptions after the name or names of the account holder or holders;
31. **Eddir:** shall refer to a local association of people who raise funds periodically for special events such as funerals and mourning of individual members;
32. **Endorsement of Cheques/Payment Instruments:** shall mean transferring one's rights on a negotiable instrument to someone else by putting signature plus any other writing on the instrument on the reverse side of the cheque;
33. **Equb:** Shall means an association of people in Ethiopian culture to mobilize resources, especially finance, and distribute them on a rotating basis. It is

distinguished from Eder by the duration of time; Equb is temporary or permanent, while Eder is long-term association;

34. **Exceptions:** shall mean events that are not clearly stated in this procedure but the nature of the event is within the spirit of this procedure;
35. **Financial Inclusion:** shall refer to creating access to individuals and businesses to have access to useful and affordable financial products and services;
36. **Financial Institutions:** shall refer to central banks, retail and commercial banks, internet banks, credit unions, savings and loan (S&L) associations, investment banks and companies, brokerage firms, insurance companies, and mortgage companies;
37. **Foreign-Currency Accounts:** shall mean an account in which the source of funds is overseas and can be maintained in foreign currency;
38. **General Partnership:** shall mean a business organization consisting of partners who are each jointly and severally liable to the partnership itself for the obligations of the partnership. Any agreement to the contrary may not be invoked against third parties.
39. **Inactive Account:** shall mean Current and savings accounts, which remain idle or dormant with no movement for a period of six and twelve consecutive months respectively;
40. **Inter Branch:** shall mean a transaction on which source account and destination account are held at different branches;
41. **Interdiction:** shall mean a legal process where a court is asked to determine, from testimony and other evidence presented, whether a person is unable, due to an infirmity, to consistently make decisions regarding his person and/or his property, or to communicate those decisions;
42. **Judicial Interdicted Persons:** shall refer to, when a court may pass a decision on a juridical person regarding opening and operating an account to prohibit exercising its legal right and may appoint a guardian for such a person;
43. **Legal person:** shall refer to a non-human entity that is treated as a person for limited legal purposes. Typically, a legal person can sue and be sued for own property, and enter into contracts;

44. **Limited liability Partnership:** shall mean a business organization formed by two or more persons to render professional service and services complementary thereto in which the liability of partners is limited to the number of their contributions;
45. **Limited partnership:** shall mean limited partners who are liable for the obligations of the partnership only to the extent of their pledged contributions.
46. **Local Money Transfer:** shall refer to the process by which money is transferred from a branch in a given town/city to a branch of another town/city or within the same city within the territory of Ethiopia such as TT (Telegraphic Transfer);
47. **Maker:** shall refer to the user who mainly handles all front/back office services or who initiates/create an operations/transaction on the CBS assigned with the role of Maker;
48. **Mnemonic:** shall mean an alternative and easy means of referring the customer by inserting the customer's name first letter and telephone number or TIN;
49. **Muday Bank Service:** shall refer to a service usually provided to low-income segment of society to enhance financial inclusion and to save time and energy of these clients to frequently access branches;
50. **Muday:** shall mean a box with a locker used to accumulate a certain amount of money for a specified period until the money is taken to the bank for deposit;
51. **National ID:** Shall mean a digital citizen Id issued by the Ethiopian Federal Democratic Republic Government which represents a person's real self, online;
52. **Natural Person:** shall refer to a person (in legal meaning, i.e., one who has its legal personality) that is an individual human being;
53. **Offline Branch:** shall refer to an online branch that became offline due to various reasons such as power interruption, network-related problems, ICT infrastructure-related causes, etc... when a transaction does not have internet or telecom connectivity;
54. **One Member Private Limited Company:** shall mean a business organization incorporated by the unilateral declaration of a single person, the Company has its legal personality separate and distinct from that of the member, and the member shall not be personally liable for debts due by the company in so far as he has fully made his contribution;

55. **Online Banking:** shall mean an electronic payment system that enables customers of a bank to conduct a range of financial transactions through the bank's website. The online banking system typically connected to or be part of the core banking system and mainly included Mobile Banking and Internet Banking;
56. **Overdraft Account:** shall mean a demand deposit account from which withdrawal of money beyond the available balance is allowed up to the maximum approved ceiling/limit;
57. **Payee:** shall refer to the party that receives the sum specified on the negotiable instrument;
58. **Personal Identification Number (PIN):** shall mean a secret numeric password shared between the user and the electronic payment system which is used to access the electronic banking service;
59. **Private Limited Company:** shall mean a business organization whose capital is fully paid in advance, divided into shares, and whose members are not liable for the debts of the company provided that they have paid up their contributions;
60. **Point of Sale (POS) Terminal:** shall mean an electronic device used for authorizing and processing Bank card transactions at the point of sale;
61. **Politically Exposed Persons:** shall mean any natural person who is or has been entrusted with prominent public functions in any country or in an international organization as well as a member of such person's family or any person closely associated with him/her;
62. **Prospect Customer:** shall mean a proposed (potential) customer which the bank assumes to deal with business;
63. **Restrictive Endorsement:** shall refer to an endorsement when the cheque is drawn to the 'Order' of a specified beneficiary that limits the right of transferability to another party followed by the word 'only' or 'pay only' i.e. payment is made to the payee/beneficiary;
64. **Retail Banking:** shall mean the provision of services by a bank to the general public and provides financial services to individuals or joint. It is a way for individual or joint consumers to manage their money, have access to credit, and securely deposit their money;

65. **Saving Accounts:** shall refer to accounts which are interest bearing and shall be operated by pass-book or sometimes without passbook;
66. **Share Company;** shall mean a company whose capital is fixed in advance and divided into shares and whose liabilities are met only by the assets of the company;
67. **Special Saving Accounts:** shall refer to accounts that are interest-bearing accounts operated by cheque, drawn up to a frequency of three withdrawals per month. If a customer exceeds three withdrawal limits in a month, he/she forfeits the interest accrued for that particular month only;
68. **Stop-Cheque-Payment Order:** shall mean written instruction issued by a cheque account holder to its bank to cancel cheque payment (s);
69. **Teen Youth Account:** shall refer to a type of account designed for those individuals aged between 15-17 years old, and operated by teen youth him/herself if s/he have own source of income/is employed or the parent(s) or the guardian of the teen youths' can open the account for unemployed teen youth without own source of income;
70. **CSO-I to Cashier Transaction:** shall refer transfer of cash balance in the system from CSO-I to cashier, the handling and taking over of which is manually and physically undertaken with the same amount;
71. **The Bank:** shall refer to Bunna Bank S.C;
72. **Tracer:** shall mean a list of items in the subsidiary ledger that the total shall agree with the general ledger balance that the source may be kept manually or on the system like CPO's payable, LMTS payable, account receivables, etc...;
73. **User ID:** shall mean an identification number that identifies the staff involved in cash, non-cash, and static customer data-related tasks on the core banking system;
74. **Vault to Chief Cashier Transaction:** shall mean the transfer of cash from the Vault to senior customer service officer cash through the system;
75. **Verification of Signature:** shall mean the checking of the signature with the naked eye without sending the document/instrument to the external forensic department;
76. **Youth Saving Account:** shall refer to a type of saving account designed for those individuals aged between 18-35 years old, and operated by the youth him/herself; and

77. Any expression in the masculine gender includes the feminine.

1.4 General Objectives of the Procedure

- a. Ensure standardization and quality in the Branch Banking operation;
- b. Have a single source of reference to performers;
- c. Determine the duties and responsibilities of each employee in the branch; and
- d. Provide guidance and support to all employees under CBSO and other users.

1.5 Scope of the procedure

This procedure shall cover and govern the operational activities of the Branch Banking, including the duties and responsibilities of the performers.

1.6 Governing Rules

- a. The commercial code of Ethiopia, and other related laws and regulations of the country;
- b. The relevant Directives of the NBE and EFIS;
- c. Corporate Governance General Policy framework of the Bank;
- d. KYC policy and Procedure; and
- e. Branch Banking and Other Policy of the Bank.

PART-TWO

GENERAL AUTHORITIES AND RESPONSIBILITIES

2.1 CEO:

- a. approves this Procedure;
- b. Oversees the implementation of **this Branch Banking procedure**; and
- c. Approves opening of accounts for politically exposed persons (PEPs).

2.2 CBSO:

- a. Ensures the proper implementation of this Branch Banking procedure;
- b. Creates and maintains efficient integration of the CBSO Team with other bank organs;
- c. Oversees appropriate operational risk identification, measurements, and management is in place in Branch Banking activities;

- d. Oversees the policy, procedures, operational manuals, and workflows are prepared and maintained;
- e. Oversees that proper understanding and awareness is created of this procedure by all performers;
- f. Ensures that all Directors, Area Managers, and other managers under the CBSOs are discharging their duties and responsibilities as entrusted to them in this procedure;
- g. Oversees the overall Branch Banking operational matters, the service delivery of the Branch Banking operational process, and takes appropriate action if deemed necessary;
- h. Approves additional formats or changes in the existing formats that may be required; and
- i. Initiates the revision of this procedure considering its appropriateness to the Bank's Corporate Strategy.

2.3 Director- BBQA Directorate:

- a. Ensures that proper understanding and awareness is created of this procedure by all performers;
- b. Ensures that appropriate risk identification, measurements, and management is in place in the operational activities of the branch;
- c. Ensures that the implementation of the procedure
- d. Assesses the current and future skills and talent demanded by the process and develops through training and knowledge sharing;
- e. Prepares a proposal when this procedure needs revision;
- f. Ensures proper compliance is made to the relevant laws and regulations of the land during the opening and further operation of accounts;
- g. Ensures proper audit rectification is made periodically; and
- h. Ensures adequacy of the necessary logistics are fulfilled to operate branches and liaise with relevant other units of the Bank to fulfill same.

2.4 Manager- District Support Division:

- a. Supports the activities of the team within the approved **Branch Banking procedure, guidelines, and policies of the bank;**
- b. Assess the effectiveness of the support among Branches, Districts, Areas, and Head Office organs in performing their day-to-day operations, propose and execute the necessary actions;

- c. Assists branches to properly implement Banking procedures in collaboration with districts/Areas’;
- d. Collaborates with concerned parties to ensure that Branch Banking operational risk identification, assessment, and management are properly in place;
- e. Analyzes the Internal Audit findings, rectification of discrepancies, and comments reported by the **Internal Audit Directorate**, and proposes the necessary remedial action;
- f. Initiates value-adding processes to improve and standardize the operation of the **Branch Banking** process;
- g. Receives NSF cheque for the third time from the branch and notifies NBE within three days from the date of an account closed; and
- h. Supports Districts/Areas in the implementation of this procedure and other operational issues.

2.5 Director District/Manager Area:

- a. Ensures effective and efficient operation of the Branch Banking process is in place within the Branches;
- b. Ensures whether Branch Managers are properly monitoring and leading their respective staffs for better performance;
- c. Supports Branches, and their office staff in implementing this Branch Banking procedure;
- d. Ensures the necessary logistics are availed to branches to perform their duties;
- e. Responses to branches' inquiries swiftly and consultatively;
- f. Ensures appropriate risk identification, measurements, and management is in place in the operational activities of the Branches;
- g. Supports the rectification of discrepancies and comments reported by the Internal Audit Directorate and Branch Controllers, and takes the necessary remedial action;
- h. Assesses the competency gap of performers and arranges the required training on yearly bases;
- i. Ensures the operational activities of the branches are meant to satisfy the customers without compromising the bank's interest;
- j. Oversees the overall District/Area operational matters, and the service delivery, and takes appropriate action if deemed necessary;
- k. Receives, reviews, and approves cash payments for the Bedridden Customers' requests;
- l. Approves and concludes an agreement for Cash pick-up and delivery service with customers; and

- m. Receives, and Keeps safely the Cash and ATM vault combination codes of all branches under its domain.

2.6 Manager- District Banking Business Division:

- a. Assesses the effectiveness of the coordination among branches in performing their day-to-day Branch Banking operation;
- b. proposes and executes the necessary actions in consultation with District Director;
- c. Supports branches under the district domain in the implementation of resource mobilization strategies of the bank;
- d. Collaborates with concerned parties to ensure that district operational risks are identified, assessed, and managed;
- e. Follow-ups the proper implementation of the complaint handling and addresses critical issues related to the District/Area;
- f. Supports the audit rectification of discrepancies, and comments reported by the Internal Audit Directorate and Branch Controllers, and takes the necessary remedial action;
- g. Ensures effective and proper utilization of resources;
- h. Supervises the business activities within the district;
- i. Works closely with the branch team in plan development, implementation, and achievement;
- j. Sets team objectives, and measures the performance of the subordinates;
- k. Congratulates and appreciates the team performance with high success as well as trains and coaches teams with low performance to create competitive spirit towards a common goal;
- l. Identifies, and Shares the best experience of the branches;
- m. Identifies gaps in Branch Banking procedure implementation, proposes, and conveys mechanisms in collaboration district Director or escalates to BBQAD; and
- n. Ensures proper implementation of this procedure.

2.7 Manager- District Operation Division:

- a. Follow-ups, and manages the operations management activities (general ledger management, cash operations, bulk transaction processing, archiving, and logistics) in each Branch;
- b. Coordinates and ensures annual/quarter/monthly operational plan usage of branches as per the approved budget;
- c. Works closely with the Branch Managers on the overall non-financial target implementation;
- d. Ensures that branch customer service delivery is within the standard service delivery time;
- e. Ensures proper handling of branch books of account at each branch;

- f. Ensures that Branch cash control and security requirements regarding cash and negotiable instruments handle as per this procedure;
- g. Identifies loopholes in Branch Banking operations and reports to the district Director;
- h. Ensures and facilitates the provision of efficient high-quality service to customers;
- i. Offers support to deliver quality banking services;
- j. Identifies areas of risk, and non-compliance with procedures, and informs the district Director;
- k. Checks and approves customer account balance certification;
- l. Ensures that sufficient stock of forms and stationary materials is maintained at the branch;
- m. Analyzes needs, assesses the capacities of staff, and proposes continuous training at the branch or district in this procedure;
- n. Performs regular, annual assessments of all Branch Banking operation work practices and proposes improvements where necessary; and
- o. Provides follow-up on Internal Audit report findings, and Branch Controller rectification.

2.8 Branch Manager:

- a. Manages and coordinates the overall branch management to effectively provide Branch Banking service, and strengthen the Branch's competitive position;
- b. Ensures a high level of customer satisfaction for services provided by the branch;
- c. Ensures compliance and monitoring are in place under the rules, regulations, and standards of the Bank;
- d. Applies continuous assessment of operational risks and update the branch risk register and ready the register for review by other organs such as Risk Management and Compliance, and Internal Audit directorates;
- e. Ensures proper understanding and implementation of this procedure by performers within the branch and provides the required assistance and on-the-job training;
- f. Assesses the overall competency gap of performers at the branch and proposes need-based training that would fill the gap for the expected competency level;
- g. Ensures the rectification of discrepancies and comments reported by the Internal Audit and Branch Controller, and takes the necessary remedial action;
- h. Ensures that daily operations and branch book of accounts are handled under this procedure as well as the accounting procedure of the bank;
- i. Ensures the timely reconciliation of Branch Books of Accounts;
- j. Ensures the daily cash transactions are properly managed and takes corrective action on any cash discrepancies detected.

- k. Ensures that all relevant KYC and AML/CFT-related regulations are complied with during the opening of accounts and subsequent relationship with customers;
- l. Monitors dormant and/or inactive accounts are maintained safely;
- m. Reports suspicious accounts to Risk Management and Compliance Directorate;
- n. Ensures, and maintains signed and sealed combination code for Cash Vault and ATM, and Sends through the bank internal email/Outlook to Director District/Manager Area Office; and
- o. Ensures that EOD operation closures are managed at the end of every business closing date and time as per the job card prepared by ESMD.

2.9 Other Performers

All other performers shall discharge their duties and responsibilities as per this Procedure.

PART- THREE

CUSTOMER RECRUITMENT AND SELLING PRODUCTS AND SERVICES

3.1 Customer Recruitment at Branch

3.1.1 Branch Manager

- a. Carries out external target marketing assessment semiannually and updates business changes in the area to promote the selling of services and products and report to the respective district/area;
- b. Develops a sales action plan, and update it on quarterly bases;
- c. Assigns employees daily to recruit a new customer as per the action plan and provide information from the target marketing assessment document;
- d. Ensures effective customer recruitment is actively carried by performers to sell different products and services;
- e. Identifies and prepares sales campaign areas with the collaboration of near branches;
- f. Assigns dedicated space/ area with all necessary office equipment and furniture to sell products and services for new customers during the sales campaign;
- g. Monitors sales campaign events performance as per the branch action plan and evaluates the success;

- h. Ensures that the branch is appealing and attractive for customers to sell products and services;
- i. Establishes daily sales database to register prospect customers on developed formats by Retail Banking Directorate; and
- j. Evaluates overall sales performance regularly on daily/weekly/monthly/quarterly bases In collaboration with his /her team members;

3.1.2 The Front Maker:

- a. Ensures her/his window is always ready for selling of products and services;
- b. Briefs customers about bank product/service types, features, and requirements;
- c. Ensures formats and promotional materials are available and forward requests to the checker if needed;
- d. Recruits potential customers from internal leads generated and sales initiatives to achieve the annual customer acquisition and deposit mobilization target;
- e. Recommends appropriate products to customers that suit their needs; and
- f. Creates daily sales through customer acquisition and selling of products and services.

3.2 Types and Features of Customer Deposit Account

The bank shall provide different products and services via various channels; To deliver tailored products and services effectively and efficiently to the customer, the bank now divides the types of local currency bank accounts into three namely, **Saving Deposit account, Demand deposit account, and Fixed time deposit account.**

3.2.1 Saving Deposit Account:

A savings account is an interest-bearing deposit account provided by Bunna Bank; it enables the customer to use basic and alternate types of savings accounts, which are differentiated in terms of interest rate, target group, and eligibility criteria.

3.2.1.1 Features of Ordinary Saving Deposit Accounts

- a. A natural person can open an ordinary saving account starting from the age of 18 years;
- b. It is interest bearing account that is compounded monthly;
- c. It can be opened individually, jointly, and by legal entities;
- d. It can be operated by cash withdrawal slip, debit card, mobile, and internet banking
- e. The minimum initial deposit amount is Birr 100 to open an account; and
- f. It can be opened with zero balance given that there is a reasonable source of funds that brings the balance to the minimum amount of Birr 100 within a month.

3.2.1.2 Operation of saving account without Passbook

- a. If a customer wants to open a saving account that can be operated without a passbook, he/she/they shall express her/his/its demand in writing to the branch;
- b. The branch received the customer's request, and attested against her/his signature at the time of account opening or at any time when deemed necessary;
- c. The customer shall present his/her valid ID;
- d. When the customer makes a deposit or withdrawal transaction, he/she shall transact without a passbook;
- e. It can be operated by cash withdrawal slip, debit card, mobile, and internet banking; and
- f. The customer can request an account statement monthly free of charge.

3.2.1.3 Interest payment on saving account

- a. The minimum amount of deposit for a savings account eligible for interest calculation is Birr 100;
- b. Interest shall be calculated on the intra-day minimum balance standing to the credit of the depositor from the first to the last day of each Gregorian calendar month;
- c. Interest shall be credited at the end of the month;
- d. All interest calculated on deposits shall be subject to 5% income tax and it shall be deducted from interest-bearing deposit accounts; and
- e. The minimum savings interest rate shall be determined by the NBE from time to time.

3.2.2 Demand deposit accounts

- a. It is a non-interest-bearing bank account usually operated by cheque;
- b. It can also be operated by using card, mobile, and internet banking;
- c. It can be opened with a minimum balance of Birr 1000 and Birr 5,000 for individual and business customers respectively;
- d. It is open only to literate customers;
- e. It can be operated by cash withdrawal slip, debit card, mobile, and internet banking;
- f. The penalty is charged if the minimum account balance is below Birr 100 and has no movement for more than six months; and
- g. No restrictions on the number and amount of deposits and withdrawals as long as the account has sufficient balance and approved limit.

3.2.3 Special Saving account

- a. The special savings deposit account is an interest-bearing account operated by cheque, debit card, mobile, and internet banking drawn up to a frequency of three withdrawals per

month. If withdrawal exceeds the limits in a month, the customer forfeits the interest for that particular month only;

- b. The initial deposit to open a special savings account is birr 5,000.00;
- c. Individuals, Sole Proprietorships, Companies, Education Institutions, Governmental and Non-Governmental Organizations, Cooperative Societies, Religious Institutions, and others are eligible to open;
- d. It can be operated by cash withdrawal slip, debit card, mobile, and internet banking; and
- e. All natural and legal persons recognized by Ethiopian laws have TIN;

3.2.4 Special demand deposit account

- a. It is operated by a passbook that is designed for the purpose;
- b. It is Non-interest bearing account;
- c. The minimum initial deposit amount of Birr 100 to open an account;
- d. It has hybrid features of a saving account and a demand deposit account;
- e. It can be opened individually, jointly, or by legal entities.
- f. It can be opened with zero balance given that there is a reasonable source of funds that brings the balance to the minimum amount of birr 100 within a month; and
- g. It can be operated by Pass-Book, debit card, mobile, and internet banking.

3.2.5 ECX Related Accounts

The accounts are opened to facilitate commodity trading at ECX;

These accounts include:

3.2.5.1 Member Pay-in

- a. Used as payment guarantee to participate in the trading floor of ECX;
- b. The member is the legal owner but shall empower ECX for debit transactions; and
- c. It can only be debited **Payment, Clearing, and Reconciliation Division as per the instruction of the ECX.**

3.2.5.2 Member Pay-out

- a. Used to receive payment from ECX trading; and
- b. The member/account holder has the exclusive right to operate the account.

3.2.5.3 Client Pay-in

- a. It is an account maintained by members on behalf of their clients; and
- b. It can only be debited **Payment, Clearing, and Reconciliation Division as per the instruction of the ECX.**

3.2.5.4 Client pay-out

- a. an account maintained by members on behalf of their client; and
- b. The member/account holder has the exclusive right to operate the account.

3.2.6 Fixed-Time Deposit Account

- a. It is opened for a particular fixed period (time) and amount of deposit;
- b. The tenure is greater than or equal to three months in principle, but it may be less than three months, if it is exceptionally approved by the CEO;
- c. Any withdrawal is not allowed before the maturity date. However, if the customer requests any withdrawal before the maturity date, the depositor should forfeit any interest amount to the extent of the withdrawal amount or the withdrawal amount shall be entitled to the prevailing ordinary saving interest rate and any remaining amount shall be entitled to the fixed deposit interest rate if exceptionally approved by CEO;
- d. If the customer requests for a principal and interest rollover, it can be rolled over to the next agreed period;
- e. The minimum initial deposit is Birr 500,000.00 or USD 5,000.00 or its equivalent in EURO or Pound Sterling;
- f. All natural and legal persons recognized by Ethiopian laws are eligible;
- g. Accrual interest on fixed time deposit shall normally be credited every month by the debit of interest expense on fixed time deposit account;
- h. In exceptional cases, interest can be fully or partly paid in advance. In such circumstances, no withdrawal can be made before the maturity date or the customer shall repay the already paid interest to the bank proportionately;
- i. Up on maturity, the proceeds shall be credited to the customer's operational account by capitalizing the interest thereon or execute as per the customer's instruction given in the contract;
- j. The fixed-time deposit shall be renewed as per the customer's instruction in the application form. In all cases, renewal of fixed time deposit is subject to presenting the original certificate and further approval. Renewal may be requested under one of the following conditions:
 - i. When the depositor appears in person at the counter;
 - ii. Through the customer's legal agent; and
 - iii. Customer's previous instruction to roll over with the same terms and conditions or with the predefined agreement.

- k. Customers might request withdrawal of fixed time deposits before maturity and it should be handled above under article 3.2.6 "C". However, the relationship between the customer, and the longevity of the fixed-time deposit might necessitate higher interest rates than the minimum saving interest rate. In this case, an interest rate between the minimum rate and the agreed interest rate shall be considered, which needs to be exceptionally approved by the CEO, and
- l. The minimum amount of time deposit, tenure, and interest rate of fixed times shall be revised from time to time.

3.3 Other distinguishing features of Products and Services

3.3.1 Joint Accounts

When a customer request for opening a joint account (a current or a savings account) that is, an "and" account, or an "and/or" account:

- a. All the procedures that are to be followed to open an account shall be applied except that the customers have to jointly sign on the application form;
- b. The joint account holders to open an account should not have a limit of individuals if the space provided enough in CBS;
- c. Each of the joint account holders must sign on the account opening application form;
- d. The application form should be marked as a **"Joint Account,"** as an **"and" account, or an "and/or" account;**
- e. Both Joint Accounts are treated like any other ordinary account;
- f. The **"Joint Account,"** has to be opened and mapped with one on the joint account CIF ID already created by getting consent;
- g. The nature of "And Account" is that all the parties should be present at the counter of the bank to give payment instructions and withdraw money;
- h. In case of the "And/Or" account type allows individual account holders to withdraw money and give payment instructions separately;
- i. When there is a need to grant power of attorney by one of the parties, there should be the consensus of the other party; and
- j. Both joint accounts can be closed only with the joint account holders' consent.

3.3.2 Earmarking Accounts

- a. It is an account opened, with an additional description indicating the purpose like "club account," "business account," "workshop account," "project account," "main account," "branch account," etc...;
- b. The customer shall explicitly request the bank in written form to add the description;
- c. It can be earmarked using the registered trade name or the business sector indicated on the trade license; and
- d. The deposit can be made in the name of either the account holder or earmarked name or both.

3.3.3 Cash Indemnity Account

- a. Shall be opened in the name of Bunna Bank's staff who are engaged in cash-related jobs and entitled to cash indemnity allowance;
- b. Withdrawals are approved by the **Branch manager/Operation Manager/CSM** for settling cash shortage reported by the account holding staff and confirmed by the branch controller or cashier; and
- c. Cash Indemnity accounts are made with debit freeze-up on account opening;
- d. Payments may be effected to the account holding staff after twelve months of leaving the cash-related post.

3.3.4 Overdraft Account

- a. It is similar to Cheque/demand deposit and its operation is also the same;
- b. It is a demand deposit account with an augmented feature that allows customers to withdraw money beyond their credit balance; and
- c. It can be withdrawn up to the approved limit;

3.3.5 Payment to Bedridden Customers

- a. The Maker/CSO-cash shall communicate with the account holder who remains in bed due to illness or injury through his/her telephone, and ask for the amount needed to be withdrawn;
- b. After explaining the case to **Branch Manager/Business Manager/CSM Operation manager** and getting the authorization, make a debit freeze the equivalent amount needed to be withdrawn;
- c. The maker/CSO-cash should withdraw the cash along with **Branch Manager/Business Manager/CSM Operation manager** for witness and go to the place where the customer is found;

- d. The **Branch Manager/Business Manager/CSM Operation manager** shall Communicate and ensure the customer is conscious;
- e. The Maker shall Receive his/her signature, and verify the account holder's signature against a printed copy of the scanned signature;
- f. Affix a rubber-stamps with "signed in my presence" and "Cash Paid"; then pay the cash;
- g. Finally, unfreeze the account and immediately make a debit entry for the equivalent amount of cash paid;
- h. The maximum allowable amount to make payment for Bedridden Customers should not be more than 50,000 (fifty thousand). However, whenever there is an exceptional request it shall be exceptionally handled the case through getting a one-time exceptional cash withdrawal approval limit;
- i. If the bedridden customer requests the bank settlement of medical costs including hospitalization and medicine from his/her account, the **Branch Manager** shall approve up to birr 100,000.00 by following article 3.3.5 "d" and "e" above; and
- j. The Maker shall receive the approved bedridden transfer request letter together with evidence from the hospital/Pharmacy, and effect fund transfer/payment or through CPOs.

3.3.6 Visually Impaired Customers

3.3.6.1 Account Opening

- a. The visually impaired person shall bring with him/her a person who shall witness the opening of the account by signing the Account Opening Form and deposit voucher;
- b. Thumbprints shall be taken on the account opening application forms along with indicating RHT (Right Hand Thumb) or LHT (Left Hand Thumb). Takes the customer's fingerprint through the Bio-metrics device (If available);
- c. The maker shall attest the thumbprint by rubber stamp "signed before me" and initial on it;
- d. A visually impaired literate person attends for the opening of a savings or current account and he/she is in a position- to sign uniformly, he may put his/her signature on the account opening form;
- e. A visually impaired illiterate person attends for the opening of a savings account, his/her thumb impression should be obtained on all relevant account opening forms; and
- f. The Visually-impaired person can also open a joint saving account with a second visually impaired or visually-unimpaired person as per the normal procedure.

3.3.6.2 Operating the account

- a. For all cash withdrawals, visually-impaired persons should be advised to come in person only.

- b. Any bank service request by either a literate or illiterate visually impaired person should always be made in the presence of a respectable witness;
- c. At the time of deposit or cash withdrawal or Account to Account transfer request the witness shall fill out the necessary voucher and read out the writing on the voucher to the account holder and the bank officer;
- d. The visually-impaired person shall agree and confirm the correctness of the request by putting his/her fingerprint on the voucher or through a Bio-metrics device (If available);
- e. The witness shall sign at the back of the voucher; and
- f. If the customer is unable to present, a witness from his side the Checker shall sign as a witness, and the Maker affix there to a rubber stamp that reads, "Signed before me".

3.4 Required documents to open a Local deposit account

3.4.1 Identification Cards and Content

When the first relationship begins between the bank and the customer, i.e. during account opening, a customer shall properly be identified and verified. In addition, the assigned staff shall conduct KYC by seeking and accepting valid ID cards and collecting certain information from the applicant and performing Due Diligence to further verify, and substantiate the identity of the customer by seeking further information;

3.4.1.1 Acceptable Identification Card by Bunna Bank

ID cards issued by the concerned Institutions or offices of government on non-government are acceptable to open **or** withdraw **or** pay money from accounts **or** using payment instruments in the bank: to mention a few acceptable IDs' are:

- a. Kebeles or Woreda ID cards;
- b. Employment or pension ID cards;
- c. Schools, colleges, universities ID cards,
- d. Driver's or Operators' licenses;
- e. Passport or work or resident permits;
- f. All Government and Non-Government organizations or institutions have ID cards;
- g. Foreign-nationals-of-Ethiopian-origin ID card, together with a valid passport;
- h. ID Cards issued by legally established organizations like PLCs, and Share Companies;
- i. TIN ID cards;
- j. Digital National ID, when the bank has access to National ID data; and
- k. Other relevant ID as determined by a legally established organization.

3.4.1.2 Contents of Valid Identification Cards

At a minimum, when opening a new account, the bank might get the following information from the valid ID.

- a. Bearer full name;
- b. Photograph;
- c. ID number;
- d. Issue and expiry date;
- e. Issuer name and issuer's stamp; and
- f. Bar code for Digital IDs (check using QR code reader, if available)(optional).

3.4.2 Photograph

At a minimum, when a new account opens and updates the existing customer profile, the bank shall arrange a Camera to take customer pictures for selected branches, and progressively it will be fulfilled in the future. Thus accepted the Photograph by the bank for new account opening and updating the existing customer profile.

- a. Recent Passport size photograph;
- b. If the bank acquires a dedicated Camera to take customer pictures at the branch, the assigned maker shall take the customer picture /passport-size photograph.

3.4.3 Required Documents to Open Accounts for Individuals

- a. Valid I.D. card of the customer (Parents' or Guardian I.D for Minor Accounts);
- b. Two recent passport-size photographs for Savings account and One recent passport size photograph for current, special savings;
- c. For the Minor account, two recent passport-size photographs of the Parent or Tutor or Guardian as well as for the child; and
- d. For the Minor account, the Birth certificate of the minor and the marriage certificates of the Parent (optional).

3.4.4 Individual trader (sole proprietorship) to open an account

- a. Valid ID card;
- b. Tax Identification Number (TIN), (mandatory);
- c. Renewed trade license;
- d. One Recent Passport size Photograph; and
- e. Written application letter to open a cheque account.

3.4.5 One-Member Private Limited Company

- a. Valid ID card;

- b. Tax Identification Number (TIN), (mandatory);
- c. Renewed trade license;
- d. One Recent Passport size Photograph; and
- e. Written application letter to open a cheque account.

3.4.6 Private Limited Company

- a. Valid trade license in the name of the company; an Investment certificate (for the investor)
- b. Memorandum of Associations attested, registered, and stamped by EFDR-Document Authentication and Registration Agency;
- c. Tax Identification Number (TIN)
- d. Letter of request to open and operate the account which shall be signed by the authorized persons' stated in the Memorandum of Association;
- e. Valid ID card and one photo of the authorized persons who operate the account.

3.4.7 General Partnership/ Limited Partnership

- a. A Memorandum of Association attested, registered,, and stamped by EFDR-Document Authentication and Registration Agency;
- b. A valid trade license or an investment certificate (for investors) in the name of the general partnership;
- c. A letter of request to open, and operate the account which should be signed the by authorized person and to which the official stamp of the partnership must be affixed, if any;
- d. A valid ID card and one photograph of the authorized persons to operate the account; and
- e. A tax identification number (TIN).

3.4.8 Share Company

- a. The share company's valid trade license;
- b. A Memorandum of Association attested, registered, and stamped by EFDR-Document Authentication and Registration Agency;
- c. The minutes of the meeting of the Board of Directors held to discuss the opening and operation of the account if it is not written on the Memorandum of Association;
- d. A letter of request to open and operate the account which is signed by the Chairperson of the Board and bears the company's seal; however, the general manager shall sign on the request letter if it is delegated by the board;
- e. A valid ID card and one photograph of the person authorized to operate the account; and
- f. A tax identification Number (TIN) of the share company.

3.4.9 Private Schools, Colleges, and Universities

- a. Memorandum of Associations attested, registered, and stamped by EFDR-Document Authentication and Registration Agency;
- b. Certificate of registration;
- c. Tax Identification Number (TIN);
- d. Renewed Trade License from Ministry of Education or Regional/Zonal or city administration or sub-city Education Bureaus as appropriate;
- e. If the private school or college was established by an individual, all the required documents stated under "individual" must be produced and the account shall be opened in the name of the individual followed by the school or college as "earmarked";
- f. Valid I.D. Card, and photo of the authorized persons who open and operate the account; and
- g. Letter of request to open and operate the account, which shall be signed by the authorized person.

3.4.10 Financial institutions

- a. Memorandum of Association;
- b. Certificate of registration;
- c. License from the **NBE** or **regulatory government organ**;
- d. Tax Identification Number (TIN);
- e. Resolution of the Board of Directors, if required;
- f. Valid I.D. Card, and one photo of the authorized persons' or the signatories to open and operate the account; and
- g. Letter of request to open and operate the account, which shall be signed by the authorized person, stated in the Memorandum of Association or in the amended and authenticated minute/s.

3.4.11 Government Schools, Colleges, and Universities

- a. Letter of Authority from the Ministry of Education or the concerned Education Bureau or Sub-City Education offices as appropriate;
- b. Letter of authorization from the respective colleges or universities;
- c. Valid I.D. Card, and one photo of the authorized persons who open and operate the account; and
- d. Tax Identification Number (TIN).

3.4.12 Public Enterprise

- a. Public Enterprises shall provide the "Negarit Gazetta" that announced their establishment;
- b. Letter of appointment by the General Manager by the Board of Directors;

- c. Letter of request to open and operate the account signed by General Manager or Director or President or Chief executive Officer;
- d. Valid I.D. Card, and photo of the authorized signatories who open and operate the account;
- e. Renewed trade license; and
- f. Tax identification Number (TIN).

3.4.13 Government Entities

3.4.13.1 Federal Government Entities

- i. All ministries established under the federal government state-owned higher learning institutions (including universities, colleges, and other higher learning institutions);
- ii. All government administrative agencies;
- iii. Include Federal autonomous organs which are accountable to the House of representative including; Ethiopian Human Right Commission; and
- iv. The Ethiopian Election Board and others.

3.4.13.2 Regional Government Entities –

This classification shall include all tiers of the regional government, city administrations, state-owned primary and secondary schools, and any other establishment under the regional government.

3.4.13.3 Federal Budgetary Institutions

- a. Letter of instruction from Ministry of Finance;
- b. Valid ID cards and photo of the authorized signatories;

3.4.13.4 Regional/city administration budgetary Institutions and Others

- a. Letter of instruction from Regional /city Finance office;
- b. To open an account for the Administration of the Zone/Sub city's and other offices under the Zonal's or Sub City's supervision, a written letter of instruction from their respective regional/city Finance offices shall be presented;
- c. To open an account for the Administration of the Woreda and other offices under the Woreda's supervision, a written letter of instruction from their respective Zonal or sub city Finance office shall be presented;
- d. To open an account for entities/institutions under a particular Woreda's domain for internal revenue collection other than budget, a written letter of instruction from the respective Woreda Finance or worda/town/city municipality office mayor/Manager shall be presented; and
- e. Valid D cards and passport size photos of the authorized signatories.

3.4.14 Cooperative Societies

- a. Certificate of registration issued by the appropriate Government Body;
- b. Approved and registered rules and regulations which bear the official stamp of the registering or organizing body;
- c. Minute of members' resolution at the last general assembly;
- d. A letter of request by the chairperson to open and operate the account;
- e. Valid I.D. Card, and photo of the authorized persons who are authorized to operate the account; and
- f. Tax Identification Number (TIN).

3.4.15 Ethiopian Orthodox Tewahido Church (EOTC)

- a. EOTC is located in Addis Ababa, shall produce a supporting letter of authority either from the **Bishop or Archbishop's office or General Manager of Addis Ababa Diocese Secretariat or his delegate;**
- b. If EOTC is located outside Addis Ababa shall produce a supporting letter of authority from the respective Regional or Zonal or worda patriarch office to open and operate an account;
- c. If EOTC is located outside Addis Ababa, the respective Sebeke Gubea shall produce minutes and letters to open and operate account for the construction/maintenance of the Church and day-to-day activities of the Church; and
- d. Letter of application, valid I.D. Card, and photo of the authorized signatories to open and operate the account.

3.4.16 Ethiopian Islamic Affairs

- a. In Addis Ababa, a supporting letter of authority signed by the President of Ethiopian Islamic Affairs Supreme Council to open and operate the account or his delegate;
- b. If the Islamic Affairs is located outside Addis Ababa, a supporting letter of authority from the respective Regional or Zonal Islamic Affairs office to open and operate the account;
- c. If Islamic Affairs is located outside Addis Ababa, the respective Mosque Committee shall produce minutes and letters to open and operate an account for construction/maintenance of the Mosque and day-to-day activities of the Mosque; and
- d. Letter of application, valid I.D. Card, and photo of the authorized signatories to open and operate the account.

3.4.17 Ethiopian Catholic Church

- a. The Ethiopian Catholic Church is required to present a supporting letter of authority from the Secretary General of the Ethiopia Catholic Secretariat office or his delegate in Addis Ababa to open and operate the account;

- b. If the Church is located outside of Addis Ababa the supporting letter from the regional or zonal office as appropriate to open and operate the account; and
- c. Letter of application, valid I.D. Card and photo of the authorized signatories to open and operate the account.

3.4.18 Ethiopian Evangelical Church Mekane Yesus (EECMY)

- a. The EECMY is located in Addis Ababa the Supporting letter from the President of the EECMY to open and operate the account;
- b. If the Church is located outside of Addis Ababa the supporting letter from the regional or zonal office as appropriate to open and operate the account; and
- c. Letter of application, valid I.D Card, and photos of the authorized signatories to open and operate the account.

3.4.19 Other Ethiopian protestant churches

- a. The Churches is located in Addis Ababa, supporting letter from the President of the Ethiopian Protestant Churches or his delegate to open and operate the account;
- b. If the Churches is located outside Addis Ababa, a supporting letter from the regional or Zonal office as appropriate to open and operate the account; and
- c. Letter of application, valid I.D Card, and photo of the authorized signatories to open and operate the account.

3.4.20 Non-Governmental Organizations

- a. Certificate of Registration and License from EFDR-Agency for Civil Society Organizations (ACSO);
- b. Approved and registered charter of the organization for Local and International NGOs;
- c. Authenticated charter from the Ministry of Foreign Affairs for International NGOs as appropriate (optional);
- d. Letter of recommendation from FDRE-Agency for Civil Societies Organization including the name of the signatories who open and operate the account; and
- e. Letter of application, valid ID, card, and photo of the signatories who are authorized to open or operate the account.

3.4.21 Interdicted Persons, Bankrupt or under Formation Firms

When an account is to be opened in the name of an interdicted person, a bankrupt firm, or a firm in the process of being liquidated, and under formation firms, the required document at a minimum shall be fulfilled;

3.4.21.1 Interdicted Natural Persons

- a. Establishment of Documents, which is signed by the authority of a tutor, a commissioner, or a liquidator, formation of the new firms and any change thereof;
- b. Legal opinion has been obtained on the authority of the tutor, the commissioner, or the liquidator or formation of the new firm for opening and operating an account;
- c. Letter of application, valid ID, and photographs of the signatories who are authorized to open or operate the account;
- d. Valid Trade license, if applicable; and
- e. Tax Identification Number (TIN).

3.4.21.2 Interdicted Juridical Persons

- a. The ruling by a court of law about the interdiction;
- b. An official letter from the court ordering appointment of the tutor;
- c. Two photographs of the tutor and the interdicted person; and
- d. Valid ID cards of the tutor and the interdicted persons.

3.4.21.3 Firm in the process of liquidation

- a. The document containing the court's ruling concerning the company's bankruptcy;
- b. The court's decision about the liquidation of the bankrupt company;
- c. An appointment of the liquidator by the court and the legal power is given to her or him for the purpose;
- d. Tax Identification Number (TIN) of the bankrupted company for demand deposit account; and
- e. Letter of application, valid ID card, and photo of the signatories who are authorized to open or operate the account.

3.4.21.4 Share Companies under Formation

- a. A letter of new account opening to under formation request from the registrar or licensing body but cheques shall not be issued until the company is formally established;
- b. Letter of application, valid ID card, and photo of the signatories who are authorized to open or operate the account;
- c. The Account has debit restriction until the company is formally established and brings attested Memorandum of Association and letter of release from the concerned registrar organ; and
- d. If the registration request rejects by the registrar government office, the balance should be released, and refunded upon presentation of a letter of consent from the licensing or registrar organ.

3.4.21.5 Firms under Registration (Investment or Trade license)

- a. A letter of new account opening under registration request from the registrar or licensing body but cheques shall not be issued until the company is formally established;
- b. A valid ID card of the authorized person to operate the account; however, the account will be blocked until the investment license/principal registration is presented;
- c. The Account has debit restriction until the company is formally established and brings attested Memorandum of Association, Trade license/Investment certificate, TIN, and letter of release from the concerned registrar organ; and
- d. If the registration request rejects by the registrar government office, the balance should be released, and refunded upon presentation of a letter of consent from the licensing or registrar organ.

3.4.21.6 Overseas Organizations Working in Ethiopia

Overseas organizations that have bilateral, contractual, and multilateral, agreements to work in Ethiopia without establishing a branch office may request for account opening for local payments. To that effect, the following documents should be produced:

3.4.21.6.1 Due to a contractual agreement

- a. A power of attorney given to the country representative that was authenticated by the Ministry of Foreign Affairs and registered by FDRE Document Authentication and Registration Agency;
- b. Memorandum of association of the overseas organization which is authorized by foreign affairs;
- c. The contractual agreement of the organization with other local organizations or Federal or Regional Government;
- d. Supporting letter from the local organization giving the contract;
- e. A valid ID card of the person authorized to open and operate the account; and
- f. Tax Identification Number (TIN) from local organization.

3.4.21.6.2 Due to bilateral or multilateral agreement

- a. A letter from the Ministry of Foreign Affairs that requests the opening of the account by specifying the delegated person to open and operate the account and/or the representative of the organization;
- b. A letter of request from the Ministry of Foreign Affairs signed by the person delegated by the Ministry to that effect and get verified by the bank as genuine;
- c. A valid ID card of the person authorized to open and operate the account; and
- d. Tax Identification Number (TIN)(optional).

3.5 Required document for Foreign Currency Deposit products

Foreign currency deposit accounts, Diaspora accounts, and foreign retention accounts shall be opened at International Service Main Branch and permitted branches based on eligibility and the required document checklist. The permitted Currencies to open accounts are the US Dollar, Pound sterling, and Euro.

3.5.1 Eligible entities

- a. Embassies;
- b. Foreign diplomats;
- c. International organizations;
- d. Expatriate employees of international organizations;
- e. Foreign-based charities;
- f. Foreign investors
- g. A resident of Ethiopia;
- h. Non-resident Ethiopian;
- i. Non-resident Ethiopian of Ethiopian origin;
- j. Ethiopian Diaspora; and
- k. Exporter and Others.

3.5.2 Documents required

3.5.2.1 Embassies

- a. A letter of application that states the manner of operation signed by the head of the delegate or Ambassador;
- b. The initial deposit to the FCY account is USD 100.00;
- c. Valid Diplomatic ID cards or passports of the signatories of the account;
- d. FCY amount of deposit shall make through cash deposits, transfers, international remittance, SWIFTS, or cheques; and
- e. The account shall operate through cheque, and letter of transfer.

3.5.2.2 Diplomats

- a. A letter of application that is signed by the Ambassador or her/his delegate;
- b. The initial deposit to the FCY account is USD 100.00
- c. Valid diplomatic ID card or passport;
- d. FCY amount of deposit shall make through cash deposits, transfers, international remittance, SWIFTS, or cheques; and

- f. The account shall operate through cheque, and letter of transfer.

3.5.2.3 International Organizations

- a. A letter of application;
- b. The permit from the NBE;
- c. The initial deposit to the FCY account is USD 100.00;
- d. Valid ID cards or passports of the signatories of the account or work/residence permit ID card;
- e. THE FCY amount of deposit shall make through cash deposits, transfers, international remittance, SWIFTS or cheques; and
- g. The account shall operate through cheque, and letter of transfer.

3.5.2.4 Foreign Investors

- a. The permit from the NBE;
- b. The Memorandum of Association (for companies);
- c. Registration certificate or investment certificate;
- d. Letter from investment office;
- e. A letter that states the manner of the operation signed by the person to whom the mandate is given by the memorandum of Association (for companies);
- f. If the company has a parent company, power of attorney from the parent company shall be presented;
- g. The initial deposit to the FCY account is USD 100.00;
- h. Valid ID cards or passports of the signatories of the account shall be presented.
- i. For foreigners; however, a work permit or residence permit shall be presented; and
- j. The FCY amount of deposit shall make through cash deposits, transfers, international remittance, SWIFTS or cheques; and
- h. The account shall operate through cheque, and letter of transfer.

3.5.2.5 International Charities and its expatriate employees

3.5.2.5.1 International Charities

- a. A letter of application from the organization's head office or a regional office that states the manner of account operation
- b. Tax Identification Number (TIN);
- c. The permit from the NBE;
- d. The initial deposit to the FCY account is USD 100.00;
- e. The signatories' valid ID cards;

- f. FCY amount of deposit shall make through cash deposits, transfers, international remittance, SWIFTS, or cheques; and
- g. The account shall operate through cheque, and letter of transfer.

3.5.2.5.2 Expatriate employees

- a. Eligible to Residents of Ethiopia, Non-Resident Ethiopians, and Non-Resident Ethiopians of Ethiopian origin;
- b. A letter of application from the employee;
- c. Valid ID cards from the organization that has employed;
- d. Two passport size Photograph;
- e. The initial deposit to the FCY account is USD 100.00;
- f. A letter from the employer, which confirms that her or his salary is paid in a foreign currency and as an expatriate Employee;
- g. The FCY amount of deposit shall make through cash deposits, transfers, international remittance, or cheques; and
- h. The account shall operate through cheque, and letter of transfer.

3.5.2.6 FCY Saving Account to Resident of Ethiopia/Non-resident Ethiopian/ Non-resident Ethiopian origin

- a. A request accompanied by a letter of application and signature;
- b. Presentation of valid identification card to verify the customer's residency status, Resident of Ethiopia, Non-resident Ethiopian, and Non-resident Ethiopian origin;
- c. Two or more eligible joint depositors may open a single account together;
- d. The Minimum initial FCY deposit amount for opening the FCY saving account;
- e. Power of attorney holders are allowed to open foreign currency accounts but cannot credit the account on behalf of non-residents and/or foreign nationals of Ethiopian origin; and
- f. The Canadian dollar, Chines Yuan, Saudi Riyal, Japanese Yen, Australian Dollar, and UAE Dirham of foreign currency shall convert and deposit into the FCY saving account.

3.5.2.7 Exporter and Others to open retention Account

- a. Valid Triade license;
- b. TIN ;
- c. MOA if the exporter is PLC, Share company, Partnership, Association;
- d. Letter of account opening request signed by a responsible person; and

- e. The initial amount of the FCY deposit is USD 100, (optional if the FCY deposit is to be credited within one month).

3.5.2.8 Diaspora Account

3.5.2.8.1 Eligible entity

- a. All Ethiopian nationals and foreign nationals of Ethiopian origins;
- b. Business entities owned by non-resident Ethiopians and located outside the Ethiopian territory;
- c. One passport-size photo;
- d. For Ethiopian Applicants Valid passport and Residence permit;
- e. For Ethiopian Origin Applicants Valid Passport and Ethiopian Origin ID card;
- f. The foreign currency shall be permitted US Dollar, Pound Sterling, and Euro;
- g. The deposit can be made in any convertible currency at the prevailing exchange rate;
- h. Applicants unable to be physically present can use Ethiopian Embassies, correspondent banks, or nearby remittance service providers to verify their identities. The opening bank requires authenticated documents for account opening;
- i. The power of attorney holder is not allowed to open foreign currency accounts and credit the account on behalf of non-residents and/or foreign nationals of Ethiopian origin. However, the power of attorney holder is allowed to withdraw from these accounts for purposes enumerated in Article 8.1 of these directives, in addition to investment purposes, provided that the document explicitly empowers them to operate the accounts.
- ii. An individual may open a current account in only one of the domestic authorized banks, whereas they may open a fixed deposit account in more than one bank.
- iii. Foreign currency cash notes exceeding USD 3,000 or the equivalent in any other convertible foreign currency can be deposited if the account holder presents a signed and sealed foreign currency declaration form from the Ethiopian Revenue and Customs Authority.
- iv. Depositing foreign currency cash notes for amounts less than USD 3,000 can only be allowed upon presentation of an entry visa not exceeding 30 days for residents other than neighbouring and Middle Eastern countries.
- v. Residents living in neighbouring and Middle Eastern countries are required to present a signed and sealed foreign currency declaration form from the Ethiopian Revenue and Customs Authority for foreign currency cash notes equal to or less than USD 3,000 or the equivalent in any other convertible foreign currency to deposit in the account.

3.5.2.8.2 Types of Diaspora Accounts

3.5.2.8.2.1 Current Account

- a. It is operated by a cheque book;
- b. It can be opened with an initial deposit of US Dollar 100 or its equivalent in any of the above-stated currencies; and
- c. Interest shall not be paid to a non-resident foreign currency current account.

3.5.2.8.2.2 Fixed Time Deposit Account

- a. It is an interest-bearing account with an agreed maturity date;
- b. It is opened with an initial deposit of US Dollar 5,000 or its equivalent in any of the above-stated currencies;
- c. Interest income on such accounts is tax-free.

3.5.3 FCY CIF Id Creation and Account Opening

3.5.3.1 The Maker:

- a. Collects customer's account opening documents from Branch Manager/**Manager Business/Operation Manager/CSM** for account opening requests presented through different outlets and embassies;
- b. Opens new account on the system after CIF Id is created;
- c. Ensures that the right scheme code or category is selected from the system;
- d. Attaches a photo on the application form for individual accounts if a digital camera is not available to take the photo;
- e. Writes the system-generated account number on the application, deposit slip, and cheque requisition form as appropriate;
- f. Explains and sales to the customers about card banking, mobile banking, and online banking services as appropriate;
- g. Subscribes the customer for SMS alert privilege by checking the validity of the telephone number filled by the customer as appropriate/link the customer's email address into the banks' system to send monthly bank statements;
- h. Collects FCY cash as initial deposit or acceptable FCY cheque to be deposited, post the transaction, and gives deal slip;
- i. Forwards the bank details and BB correspondent banks to the customer for further deposit into the account;
- j. Makes the customer fill cheque requisition form and forwards it to **Branch manager/Business Manager/CSM** for cheque preparation;

- k. Scans the application form, terms, and conditions, authenticated documents on the core banking system-SVS, and forwards copies of documents to Branch Controller/the assigned Checker;

3.5.3.2 The Checker:

- a. Receives, and checks fulfillment of all required documents and their accuracies;
- b. Ensures that the customer's name is not on the **mal-operation and AML** detailed lists;
- c. Checks the proper scanning of all required documents of the customer and application forms;
- d. Authorizes accounts opened and amendment on customer records initiated by **the maker** on the system if any;
- e. Ensures Cheque are properly issued on the system and charges are collected from the customer's account; and
- f. Hand over all the documents to Branch Controller/the assigned Checker for checking and documentation.

3.5.4 FCY Account Operation

The account holder can be made FCY deposit/credit through the following methods:

- a. Eligible foreign currency cash note deposits;
- b. Foreign currency transfers through the banking system;
- c. Transfers through international remittance service providers via the banking system;
- d. Transfers from non-resident foreign currency accounts;
- e. Cheques drawn or endorsed from non-resident foreign currency accounts in favor of Ethiopian nationals; and
- f. Interest will be calculated in foreign currency and paid in the local currency.

3.5.4.1 Foreign currency saving account holders:

- a. Are free to sell all or part of their account balance to the deposit-opening banks at any time;
- b. Can use the funds for education, medical expenses, and travel abroad for themselves, their spouses, and children, upon presentation of valid documents to confirm the relationship with the account holder. The documentation requirements and maximum amount of utilization should comply with the NBE foreign exchange bureau directive;
- c. Can use the account as cash collateral to obtain credit in the local currency from banks, subject to the authorized bank's credit policy;

- d. Can use the funds to purchase shares from financial institutions;
- e. Withdrawals, other than for the purposes indicated in number “b”, are permitted only in Ethiopian Birr; and
- f. Other transactions are approved by the National Bank of Ethiopia (NBE) from time to time.
- g. The Customer shall open interest-bearing or interest-free foreign currency saving accounts for Residents of Ethiopia, Non-Resident Ethiopians, and Non-Resident Ethiopian origin;
- h. Non-Resident Transferable (NR/T) Birr Accounts are maintained in local currency from which funds can be transferred abroad in foreign exchange without obtaining a foreign exchange permit; Persons whose salaries are fully paid from sources outside Ethiopia and paid in cash or credited to their local currency accounts, such as foreign employees of embassies, consulates, etc., may open only an NR Transferable Birr account for their local expenses.
- i. Non-Resident Non-Transferable (NR/NT) Birr Accounts: Accounts are maintained in Birr and can be operated in Birr only, and the purpose of this account is to enable the account holders to meet their local expenses, similar to NR Transferable Birr accounts.

3.5.4.2 FCY saving account holders are prohibited from:

- a. Using FCY cash notes originally bought from IBD but not utilized due to the cancellation of travel to credit and/or open an FCY saving account;
- b. Depositing FCY cash notes from any illegal sources to credit and/or open an FCY saving account;
- c. Withdrawing funds from the FCY saving, except for the purposes stated in number “b” above; and
- d. Overdrawing the account.

3.5.4.3 Payment from the Retention Account

3.5.4.3.1 Branch Manager/Manager Branch Business/CSM

- a. Receives a foreign exchange utilization letter of request, authenticates the signatures thereon, and ensures sufficient balance is available;
- b. Ensures that the request for foreign exchange has been lodged in line with the provisions of the pertinent directives of the NBE;
- c. Determines whether the request is intended for the credit of the customers' local currency account, makes payment to another party, or transfers the money in foreign exchange abroad for payment of imports or other services; and
- d. Forwards the request to **the maker** for transaction processing.

3.5.4.3.2 The Maker

- a. Debits the foreign exchange account and credits the counter value in local currency, applying the prevailing exchange rate, or debits the foreign exchange account by the requested amount of money in the case of a foreign-currency request;
- b. Transfers unutilized balance left over in the Retention account to its LCY account after 28 days as in line with the NBE relevant directives; and
- c. Forwards the document to **the checker** for authorization.

3.5.4.3.3 The Checker

- a. Receives and checks the correctness of the foreign exchange utilization letter of request from the retention account;
- b. Ensures that foreign currency has been properly converted to Birr and that the exchange rate has been properly applied;
- c. Follows up on the customer's foreign exchange retention account, converts to Birr, and credits her/his local-currency account for the unutilized balance left over in the "Retention account B" after 28 days have elapsed in line with the NBE relevant directives; and
- d. Authorizes reversal entry if the customer fails to utilize the fund within the prescribed date; and
- e. Hands over all the documents to Branch Controller/the assigned Checker for checking and documentation.

3.6 The Branch Controller/the assigned Checker

- a. Collects all documents from the Checker submitted for the opening of an account and makes sure that the account is opened as per the Bank's pertinent policy and procedure;
- b. Makes sure that the name of the newly opened account holder is not maintained in the mal-operation list for all current accounts opened;
- c. Checks and ensures that for account opening, the customer's name do not found on the deactivated, terminated, and sanctioned list (customers against sanctions are applied based on decisions by Ethiopian Government, NBE, UN, EU, OFAC, or other international organization) circulated by the bank or the regulatory body;
- d. Signs on the documents to ascertain the correctness and accuracy of the newly opened accounts;
- e. Makes sure that all opening documents received agree with the daily opened account list on the system.
- f. Opens a new mandate file in the name of the account holder and keeps all relevant

- documents under his/her custody for the cheque account;
- g. Files the Saving, Current, and Fixed Time account opening documents in chronological order and keeps them in his/her custody;
 - h. Checks the name, the amount of fixed time deposit, the maturity date, the Interest rate, and the signature on the contract against the system
 - i. Copies and forwards all the relevant documents for saving accounts opened by corporate customers, all demand deposit accounts, and any other suspicious new accounts to Branch Manager/Business Manager/CSM and follow-ups the document authentication within fifteen days; and
 - j. Collects the authenticated documents and keeps the original of all source documents in his/her Custody;

3.7 Customer Protection and Confidentiality

- a. All staff shall keep the customer data and information confidentially and securely;
- b. All relevant information regarding our banks' services and products shall be briefed clearly and timely for the customers;
- c. All staff shall treat customers fairly and equally unless required or permitted by law or backed by the bank policy and procedure; and
- d. All responsible persons shall ensure that the source documents of the daily operations, transactions, and other related records are maintained and kept safely.

3.8 Confidentiality

- a. Any employee of the bank shall keep the account information about the customer confidential and should not disclose any information about the customer to unauthorized individuals or entities in any manner;
- b. Unless the customer or a legally authorized organ authorizes to do so; accessing, giving, seeing, or causing seen the account of a customer by an employee of the bank is strictly forbidden; and
- c. Notwithstanding the above provisions, the Manager of the respective work unit or his/her appointee/delegate can access, use or disclose information about any customer for any administrative or legal purposes.

PART- FOUR

CIF ID CREATION AND CUSTOMER ACCOUNT OPENING

4.1 CIF ID Creation and Saving Account Opening

- a. In general, Refer to the KYC procedure; and

4.1.1 The Maker at Branch:

- a. Attends customers' requests at the counter or potential marketplaces and describes products and services of the bank;
- b. Requests the customer to present acceptable required documents as per the eligibility requirement to open a new account and retain a copy or scan it;
- c. Checks that the required documents contain/include all the relevant information;
- d. Provides preprinted application form and guides on how to fill fields along with signature ;
- e. Checks the mandatory and other fields are properly filled and signed by the customer ;
- f. Check if the customer has a deposit account with the bank and update customer information with the existing CIF ID or Create a new CIF ID if the customer doesn't have an account before;
- g. Ensures that the right product scheme or category is given while the account is opened consistent with the customer's request;
- h. Subscribes SMS alert privilege to the customer by checking the validity of the telephone number filled in on the account opening application form is mandatory;
- i. Inserts required information to the core banking system from the filled and signed application form and forward the entire opening documents to the Checker for approval;
- j. Maintains the customers' information in the system, scans customer's signature, ID, and photograph, and uploads in the system immediately;
- k. Forwards all vouchers and application forms to the checker for transaction checking and authorization;
- l. After receiving the original documents from Checker, Collects initial deposits, posts transaction, gives deal slip and passbook to the customers ;
- m. Delivers the passbook, computer-generated advice/slip of deposit voucher receipt, and other relevant documents to the customer after ensuring all mandatory customer information and documents are fulfilled otherwise the passbook shall be delivered after the customer account is verified by the KYC unit;

- n. Requests two witnesses one from the bank and the other from the customer side for visually impaired customers who uses thumbprint as a signature. If the customer is unable to present a witness from her/his side the checker, other than the account opening processing Maker, will become a witness for the customer side;
- o. if the Bank has a Bio-metrics device and takes customers' fingerprints and pictures by using a digital camera configured with the system and attach to the account details;
- p. Attests the thumbprint for visually impaired or illiterate customers who are unable to sign and affixes a rubber stamp that reads "signed before me" or writes the word "signed before me" along with her/his initial;
- q. Receives the customer document like Power of attorney and Memorandum of association, and authenticate from the issuing organs;
- r. Uploads the authenticated customer documents into the system and forwarded them to the checker;

4.1.2 The Checker:

- a. Receives the dual signed account opening application by the customer and Maker together with all required documents;
- b. Ascertains that the name of the customer requesting to open an account does not appear on the delinquent list for demand account;
- c. Checks and ensures that for account opening, the customer's name do not found on the deactivated, terminated, and sanctioned list (customers against sanctions are applied based on decisions by the Ethiopian Government, NBE, UN, EU, OFAC, or other international organization) circulated by the bank or the regulatory body;
- d. Ensures that all the customer information is properly filled on the customer account opening application form and checks the genuineness of the presented documents;
- e. Approves by putting own signature on the application form and Putting a crossing stamp on the affixed photo;
- f. Forwards the approved customer account opening form together with the account opening document to Maker for CIF ID creation, customer account opening, mapping, and uploading the necessary documents on SVS;
- g. Receives, and checks the authenticated customer information through the system, and forwards them to the KYC unit for verification.

- h. Receives, and Checks the proper scanning of all original documents of the customer and application forms, authorizes accounts opened and amendment on customer record initiated by Maker on the system, and forward through system for customer account verification to KYC unit.
- i. Returns the original documents to the principal once the activities related to it have been undertaken at the center;
- j. Authorizes the customer information record and customers' signature, ID, and photograph updated;
- k. Ascertains the account opening verified by the KYC unit;
- l. Hands over the deposit voucher to **the assigned Checker/Branch Controller** for checking and documentation.

4.2 CIF ID Creation and Account Opening for Cheque Account

4.2.1 CIF ID Creation and Ordinary Cheque Account Opening

- a. In general, Refer to the KYC procedure; and

4.2.1.1 The Maker:

- a. Attends and interviews the customer at the counter;
- b. Receives the relevant documents and identify the customer properly;
- c. Maintains copy or scan all relevant documents including the identity cards;
- d. Ascertains that the name of the applicant requesting to open a current account does not appear in the delinquent list sent from NBE or in the system;
- e. Make sure that for account opening, the customer's name do not found on the deactivated, terminated, and sanctioned list (customers against sanctions are applied based on decisions by Ethiopian Government, NBE, UN, EU, OFAC, or other international organization) circulated by the bank or the regulatory body;
- f. Issues account opening application form to be filled by the applicant and guide how to fill the opening application form;
- g. Checks that the required documents are properly filled out and signed by the applicant;
- h. Fills in the account number on the deposit slip and opening application form;
- i. Makes the customer fill out the cheque requisition form and forward it to the checker;

- j. Establishes the customer's account in the system and writes his/her name and signs on the application form on the space provided "Name and signature of the account opening Officer" and forwards the entire opening documents to the Checker for checking and approval;
- k. Checks the delinquency on the AMLOCK and confirm by writing not found in the delinquent list and signing on it.
- l. Scans and uploads customer's signature and photo into the system; and
- m. Forwards account opening document together with signed account application form to Checker.

4.2.1.2 The Checker

- a. Receives that, all the documents from Maker and ensures that all the customer information and documents are correctly fulfilled;
- b. Checks that the name of the customer is not available in the delinquent list which has been sent from NBE, before verifying the opening of the account. If the name of the customer is found in the delinquent list after opening the account, stop the account opening;
- c. Checks and ensures that for account opening, the customer's name do not found on the deactivated, terminated, and sanctioned list (customers against sanctions are applied based on decisions by the Ethiopian Government, NBE, UN, EU, OFAC, or other international organization) circulated by the bank or the regulatory body;
- d. Signs on the application form;
- e. Authorizes the customer information record and customers' signature, ID, and photo updated or changed;
- f. Forwards or announced to the KYC unit for verification;
- g. Receives the duly signed cheque requisition form, forwards the cheque requisition form for preparing and printing cheque leaves to Operation Manager/CSM/Branch Manager when the account is approved by KYC;
- h. Ascertains the customer account verified by KYC,

4.2.1.3 The Operation Manager/CSM/Branch Manager:

- a. Receives, and prepares cheques as per the request of the customer and issues to the customer by taking his/her signature on the cheque delivery register book;

- b. Aware the customer of the use, the proper handling, and features of the cheques;
- c. Checks cheques are properly issued on the system and the cost of cheques is collected from the customer account; and
- d. Hands over the deposit voucher to the Branch controller/the assigned checker for checking and documentation.

4.2.2 ECX-Related Accounts Maintenance at Branch

4.2.2.1 Branch Manager/ Business Manager /CSM:

- a. Receives letter of request from ECX- member Customer from **Manager Payment Clearance and Reconciliation Division under Finance Directorate**;
- b. Forwards the approved letter of instruction to **the Maker**;
- c. Communicates in writing opened accounts to **Manager Payment Clearance and Reconciliation Division under Finance Directorate**, and ECX; and
- d. Reports to ECX if an account-holding member is suspended or terminated from banking activities due to mal-operation specifying the type and frequency.

4.2.2.2 The Maker:

- a. Receives pertinent documents depending on the nature of the account to be opened;
- b. Verifies the signature on the request letter, opens customer account at the requested branch by the customer with existing/maintaining CIF ID, scans all documents and authorized signatories on SVS, and forward to the checker;
- c. Receives a power of attorney/authority of the ECX member, entrusting the sole right of debiting the pay-in account to the ECX, prepared in four copies, and signed by the authorized officials at the **Payment Clearance and Reconciliation Division under Finance Directorate** in front of two witnesses;
- d. Opens the ECX account and map with the existing current account CIF ID or create New CIF ID and map;
- e. Forwards the documents to **the Branch Manager/Business Manager/CSM** for authorization;
- f. Returns original power of attorney to the principal in case of ECX client accounts and all other pertinent documents to the customer.

4.2.2.3 The checker:

- a. Receives pertinent documents depending on the nature of the account from the **Maker** for authorization ;

- b. Checks that the customer's name is not on the mal-operation list;
- c. Authorizes ECX account opening and all documents scanned on SVS;
- d. Authenticates relevant opening documents from the issuing organs within 15 days;
- e. Collects documents authenticated from issuing organ and release posting restriction on the system but if the document is counterfeited put posting restriction and inform the pertinent authorities;
- f. Forwards all pertinent documents to **The Branch Manager/Business Manager/CSM** for branch communication;
- g. Checks on SVS that document authentication is done within time but if still flagged for non-authenticated documents to the **Branch Manager/Business Manager/CSM**;
- h. Ascertains the customer account verified by KYC; and
- i. Hand over all the documents to Branch Controller/the assigned Checker for checking and documentation.

4.3 Fixed Time Deposit Account Opening

A Fixed Time deposit is not a preferred type of deposit since the cost of the fund is usually higher than other types of deposits. However, situations might necessitate the bank to mobilize such types of deposits and customers might also request for the service. In such cases, the following activities should be exercised.

4.3.1 Branch Manager/Business Manager/CSM:

- a. Interviews the customer regarding the amount of fixed time deposit, anticipated interest rate, and other banks' interest rate offer for the same amount, if the customer has applied to other banks so far;
- b. Receives signed customer's application request;
- c. Deals with the customer to set the amount of money to be deposited, the period of fixed-time/term and the interest thereon that would accrue to her or him;
- d. Requests the customer to fill out the application and contract designed for this purpose;
- e. Forwards the request to the **Business Customer Relationship Directorate**;
- f. Receives the approval and informs the client about the decision;
- g. If the customer accepts the decision, then forwards the approval to the Maker for subsequent actions;

- h. Checks and authorize the fixed time/term deposit contract prepares a certificate of deposit, and co-signs with the Maker on the certificate of deposit;
- i. Requests the customer to sign on the registered copy confirming receipt of the certificate of the time deposit;
- j. Gives acknowledgment to the customer and forwards to her or him the deposit certificate and the advice;
- k. Sets the next agreed-upon period on the system if the customer agrees on a principal rollover and the bank accepts her/his request upon maturity;
- l. Collects the old certificate of deposit, issues a new certificate for the remaining balance after signing the contract, and amends the certificate number on the system if the customer requests a partial withdrawal before maturity;
- m. Receives, and checks the details and authorizes the opening of the account through the system;
- n. Sign the fixed-time deposit certificate, and deliver them to the customer by retaining his/her signature; and
- o. Keeps custody of the application form and the contract under a separate mandate file.

4.3.2 Business Customer Relationship Directorate:

- a. Receives the Customer application letter and other documents from the branch through the bank outlooks/internal email;
- b. Reviews, recommends, and forwards to CBSO to be approved by the CEO;
- c. Receives, and forwards the approval to the branch for subsequent action;
- d. Follow-ups that all fixed time deposit when the maturity date and communicate the customer before 15 days for next action; and
- e. Manage the portfolio of fixed-time deposit balance as per the bank target level.

4.4 Customer Account Opening Checking and Custody of Documents

4.4.1 Branch Controller/The Assigned Checker:

- a. Collects all documents from the Checker submitted for the opening of an account and makes sure that the account is opened as per the Bank's pertinent policy and procedure;
- b. Makes sure that the name of the newly opened account holder is not maintained in the mal-operation list for all current accounts opened;

- c. Checks and ensures that for account opening, the customer's name do not found on the deactivated, terminated, and sanctioned lists (customers against sanctions are applied based on decisions by the Ethiopian Government, NBE, UN, EU, OFAC, or other international organization) circulated by the bank or the regulatory body;
- d. Signs on the documents to ascertain the correctness and accuracy of the newly opened accounts;
- e. Makes sure that all opening documents received agree with the daily opened account list on the system.
- f. Opens a new mandate file in the name of the account holder and keeps all relevant documents under his/her custody for the cheque account;
- g. File the Saving, Current, and Fixed Time account opening documents in chronological order and keeps them in his/her custody;
- h. Checks the name, the amount of fixed time deposit, the maturity date, the Interest rate, and the signature on the contract against the system
- i. Copies and forwards all the relevant documents for saving accounts opened by corporate customers, all demand deposit accounts, and any other suspicious new accounts to **Branch Manager/Business Manager/CSM** and follow-up the document authentication within fifteen days; and
- j. Collects the authenticated documents and keeps the original of all source documents in his/her Custody;

PART- FIVE

COLLECTION SERVICE

5.1 Cash deposit collection

5.1.1 The Maker:

- a. Receives cash, deposit voucher signed by the depositor, and passbook (if any), or refers the customer to cash table for cash deposit above 10 bundles for counting and posting;
- b. Ensures that the cash deposit has been made by the customer her/himself or delegated person by checking on Passbook and asking ID;
- c. Counts cash and ensures the denominations written on deposit voucher are correct;
- d. Ensures that the amount in words and figures written on the deposit voucher and the received cash are correct;
- e. Ensures that the name and the account number on deposit vouchers are similar to the system;
- f. Inserts detailed and precise information about the depositor on the system, if the amount is greater than the amount set by Ethiopian Financial Intelligence Service (EFIS);
- g. Credits to the customer's account by inserting the depositor's full name, inserting ID number for school fee, Bill number for utility payment or Awachi account number for Awachi payment menu or TIN for Tax payment in the narrative box and the like;
- h. Forwards the deposit voucher by affixing a stamp to **the checker** for checking and authorization when the transaction is above his/her authorization limit and updates the passbook balance, if any;
- i. Hands over computer-generated advice (deal slip) to the customer, additional deposit advice may be given if the customer requests marked as "duplicate" or "Copy";
- j. Hands over the deposit voucher to **the assigned Checker/Branch Controller** for documentation when the transaction is completed;
- k. Balances the cash against the pertinent data on the system and hands it over to **the checker** beyond his/her holding limit during the day's operation; and
- l. Hands over the whole cash except the loose ones (i.e. less than one hundred leaves of each denomination at half-day and end-of-day closing to the **Chief cashier**.

5.1.2 The Checker:

- a. Receives deposit vouchers from **the Maker** as soon as the transaction is completed;
- b. Checks the cash depositor her/ himself or has delegation power;
- c. Checks the completeness of the deposit slip, name, and account number against the system, proper information about the depositor is inserted on the system for the deposit amount set by EFIC;
- d. Authorizes the transaction after confirming the proper posting; and
- e. Hands over the deposit voucher to the **assigned Checker/ Branch Controller** for documentation.

5.2 Cash Collection to purchase FCY cash notes

5.2.1 The Maker:

- a. Receives and identifies types of foreign-currency notes and ensures that it is genuine using detecting machines/markers;
- b. Posts the currency, the amount, the name of the customer, and the phone number on the system;
- c. Prints a deal slip in two copies and ensures the customer signs on the deal slip;
- d. Writes down the FCY note serial number on the generated deal slip if the purchased FCY denomination is 50 and above;
- e. Pays to the customer equivalent Birr and give one copy to the customer as a receipt and forward the deal slip to **the checker** for authorization; and
- f. Surrenders the foreign-currency notes to the **chief cashier** immediately;

5.2.2 The Checker:

- a. Reconciles the FCY cash book against the FCY purchase voucher;
- b. Checks and authorizes the transaction; and
- c. Hands over the deposit voucher to the **assigned Checker/ Branch Controller** for documentation;

5.3 Cash Collection for Local Transfer/Fund Transfer

5.3.1 Branch Manager/Business Manager/CSM:

- a. Receives letter of instruction for fund transfer or payment instructions from the delegated person for corporate customers; and
- b. Checks the instruction is correct, it bears the organization's stamp along with the authorized signatory's signature, and forwards written instruction to the **Maker** for further processing.

5.3.2 The Maker:

- a. Receives money transfer application form from individual customers OR Letter of fund transfer/payment instruction form from the Branch Manager/Business Manager/CSM;
- b. Verifies the signature for transfer to be made from the account;
- c. Checks the details on the application form are properly filled, posts the transaction by debiting the customer's account including service charges;
- d. Forwards the fund transfer request to the checker for verification through the system; and
- e. Hands over the deal slip to the remitter by keeping its confidentiality and inform the customer to tell the security number, test question, and answer to the beneficiary;

5.3.3 The Checker:

- a. Receives, and checks, the correctness of the application form/ letter of payment or transfer instruction and authorizes the transaction;
- b. Prints the deal slips after confirming that the cash has been received or the appropriate account has been debited and forwards to Maker; and
- c. Hands over the deposit voucher to the **assigned Checker/ Branch Controller** for documentation;

5.4 Cash Collection for Issuance of CPOs/ Banker's Cheque

5.4.1 Branch Manager/Business Manager/CSM:

- a. Receives letter of instruction for issuance of CPO from the delegated person for corporate customers; and
- b. Checks the instruction is correct, it bears the organization's stamp along with the authorized signatory's signature, and forwards written instruction to the Maker for further processing.

5.4.2 The Maker:

- a. Receives CPO/banker's cheque issuance request application form from customers or letter of CPO ordering from **the Branch Manager/Business Manager/CSM**;
- b. Verifies the signature of the account holder/authorized signatory if the CPO/banker's cheque preparation is to be made from the customer's account;
- c. Collects the amount of charge by debiting the customer account;
- d. Receives the blank CPO from **Branch Manager/Business Manager/CSM**;
- e. Prints CPOs, signs and forwards to the Branch Manager/Business Manager/CSM together with source document for authorization; and
- f. Gives the CPO to the customer after making the customer sign on the back of the application confirming receipt of the original instrument;

5.4.3 The Checker:

- a. Receives the issued CPO along with the source document from the Maker;
- b. Ensures that particulars on the CPO are the same as that of the customer's application form/letter;
- c. Checks and authorizes the transaction;
- d. Co-signs on the CPO and forwards same to the Maker;
- e. Ensures that the CPO is sequentially used; and
- f. Hands over the application form/letter to the assigned Checker/ Branch Controller for documentation.

5.5 Collection of Cheques and CPOs

5.5.1 BB Cheques/CPOs

5.5.1.1 The Maker:

- a. Collects the cheque/CPOs from the depositor, and checks the proper presentation, authenticity, and completeness of the cheque/ CPOS;
- b. Verifies the signature, checks the endorsement, and posts both debit/credit transactions on the system;
- c. Confirms with the drawer if the check is to be paid to third parties and if the amount is above Birr 50,000.00 (Fifty Thousand). In case of doubt, contact the drawer even for a lesser amount. However, **the Branch Manager/Business Manager/CSM** may approve payments of cheques of any value for any payee without confirmation—whenever the account holders are inaccessible and the transaction is believed to be genuine.
- d. Affixes his/her crossing stamp on the face of the cheque / CPOs;
- e. Posts the transaction and forwards for authorization to the Checker if the transaction amount is above her/his limit; and
- f. Prints the receipt, puts his/her stamp, signs on it, and delivers to the customer.

5.5.1.2 The Checker:

- a. Authorizes the transaction after checking the genuineness of the document and the correctness of the transaction; and
- b. Hands over the deposit voucher to the **assigned Checker/ Branch Controller** for documentation;

5.5.2 Other Banks' Cheques / CPOs Collection for normal clearance

Other bank cheques CPOs can be accepted for deposit on a collection basis on any online BB

branches within the same city where the NBE cheque clearing system is implemented and the accepting branch shall process through the cheque clearance system.

5.5.2.1 The Maker:

- a. Collects the cheque/CPOs from the depositor together with the filled-in deposit slip
- b. Checks the completeness of the cheque /CPOs;
- c. Ensures that the particulars filled in the deposit slip are identical to those on the cheque/CPOs received for the deposit,
- d. Affixes a crossing stamp on the face of the cheque /CPOs, put a stamp "accepted for deposit pending for clearance" on the back of the cheque, on the receipt of the deposit slip, and puts her/his initials on all documents;
- e. Hands over the receipt/advice to the depositor after putting thereon her/his initial;
- f. Prepares the summary sheet in two copies for each bank, signs on them, and forwards them to the Checker for co-signing;
- g. Receives the cheque, the deposit slip and the summary sheet from the Checker;
- h. Sends one copy of the summary sheet together with cheques/CPOs to **Manager Payment Clearance and Reconciliation Division under Finance Directorate** for delivery to the representative of each drawer bank until the physical movement of the cheque is stopped by the NBE (until full truncation is implemented);
- i. Collects service charges as per the terms and tariffs of the bank;
- j. Keeps one copy of the summary sheet, together with the deposit slip for follow-up until credited to the customer account or the returned cheques for correction;
- k. Balances the outstanding customer cheque deposit slips with the memorandum account daily;
- l. Receives the returned cheques from **Manager Payment Clearance and Reconciliation Division under Finance Directorate** and registers on the returned dispatch cheque book;
- m. Informs the customer to collect the returned cheque and delivers it after receiving the signature on the register book and collects the cheque deposit slip advice; and
- n. Affixes cleared stamp on cheque deposit slips for cheques accepted by other banks and forwarded to the assigned **Checker/Branch controller** for documentation.

5.5.2.2 The Checker:

- a. Ensures that the Cheques/CPOs are in order and appropriate clearance tickets have been prepared; and
- b. Co-signs on the summary ticket and forwards to the Maker for dispatching and processing.

5.5.3 Other Bank Cheques/Banker Cheques (CPOs) collection for Special Clearance

Collection of other bank cheque/ banker's cheque shall be entertained on the base branch where the account is maintained to perform proper KYC on the customer.

5.5.3.1 The Maker:

- a. Collects the cheque / Bankers' cheque from the depositor, together with the deposit slip;
- b. Checks the completeness of the cheque / Bankers' cheque;
- c. Ensures that the particulars filled in the deposit slip are identical with those on the cheque / the Bankers' cheque received for deposit and it has been signed by the depositor;
- d. Collects service charges as per the terms and tariffs of the bank;
- e. Affixes a crossing stamp on the face of the cheque / CPOs, put a stamp "accepted for deposit pending for clearance" on the back of the cheque, on the receipt of the deposit slip, and puts her/his initials on all documents;
- f. Hands over the receipt/advice to the depositor after putting thereon her/his initials;
- g. Prepares MT-103 attachment designed for Special cheque clearance and signs on it;
- h. Forwards to the Checker for co-signing;
- i. Sends for clearance by messenger to the respective bank branch;
- j. Keeps the signed copy of the originating bank for follow-up of acknowledgment of the receipt; and
- k. Authorizes the incoming MT-103 message on the system when they respond if the message is correct, or amends message and authorizes.

5.5.3.2 The Checker:

- a. Co-signs the MT-103 attachment designed for special cheque clearance; and
- b. Authorizes the incoming MT-103 message on the system by checking with originating bank copy or informs the Maker to amend the message for any error.

5.6 Collection on the Premises of a Customer

5.6.1 Cashier Implant and Cash Pick-up Service

5.6.1.1 Director District/Area Manager:

- a. Receives, and reviews the proposal for **Cashier Implant and Cash Pick up Service** and approves in consultation with the Director of Retail Banking;
- b. Signs contractual agreement for collection services given at the customer selected location;

- c. Requests **Director Property Management** of required facilities like vehicle and security guard;
- d. Provides, assists, and assigns the required resource; and
- e. Receive, approve, and sign a salary payment agreement.

5.6.1.2 Branch Manager/Business Manager/CSM:

- a. Identifies the customers who are eligible for Cash Pick up Service/Cashier Implant Service
- b. Explains the features and benefits of the service to the customer;
- c. Prepares proposal to provide cashier implant or cash pick-up service to selected high-value customers;
- d. Forwards proposal to **District Director or Area Manager** for review and approval.
- e. Provides the service by assigning **Makers** along with required logistics and security upon request;
- f. Prepares the salary payment agreement by making a discussion with the customer;
- g. Forwards the salary payment agreement to District Director or Area Manager for approval and contract signing;
- h. Receives the Signed agreements with the customer to pay salary every month;
- i. Forwards the agreement to the maker for bulk salary uploading/posting to each employee's account.

5.6.1.3 The Maker:

- a. Receives debit instruction from the customer for total net salary and related charges as per the terms and the tariffs;
- b. Checks, and verify the genuineness of salary payment instruction;
- c. uploads/posts the salary amount to the respective individual accounts with due care; and
- d. Authorizes the transaction up to its limit, and if the amount is above the limit forward it to the Checker;
- e. Receives the authorization through the system, and forwards all the payments and list of salary credit documents to **the assigned Checker/Branch controller**.

5.6.2 Cashier Implant Service

5.6.2.1 Cash Collections to deposit customer account

5.6.2.1.1 The Maker:

- a. Receives cash and the bank deposit slip signed by the depositor and other supplementary customer documents to be collected as prescribed by high valued customer agreed and with the bank;

- b. Verifies in the presence of the customer;
- c. Verifies the cash received and the denominations agree with the amount in words and figures written on the deposit voucher;
- d. Credits the customer's account by inserting the name of the depositor and other references prescribed by the high-valued customer within her/his discretionary limit;
- e. Collects service charges as per the bank's terms and tariff;
- f. Prints deal slip and provides a receipt to the depositors/client's customer affixing BB stamp as an acknowledgment of cash receipt and credit advice to the client as a bank deposit; and
- g. Forwards the source documents to **the assigned Checker/Branch Controller**.

5.6.2.1.2 The Checker:

- a. Authorizes the transaction within her/his authorization limit;
- b. Counts the cash and balances the transaction with the assigned maker;
- c. Makes sure that all the transactions are done properly;
- d. Receives deposit voucher from the Maker at the client's site by counting the number of tickets and against its transaction amount;
- e. Hands over the deposit voucher to **the assigned Checker/Branch Controller** for documentation;
- f. Ensures the overall cash balance on the Maker cash account is maintained within the cash limit at the cash collection site;
- g. Balances and collects the cash from the Maker at the client's site by authorizing on the system as conforming or receiving;
- h. Ensures no cash has been left in the safe cash box of the Maker; and
- i. Balances the cash and hands over the cash at the end of the day to **the Chief Cashier** after returns back to the branch.

5.6.2.2 Collections of cheques/CPOs/Fund transfer requests

5.6.2.2.1 The Maker:

- a. Collects cheques /CPOs along with the deposit slip drawn by BB branches only from the customer to deposit to the customer's account;
- b. Collects letter of payment instruction from the customer to debit his/her account, and credit to beneficiary's account;
- c. Checks the particulars filled in the deposit slip are identical to those cheques received for deposit;
- d. Checks for proper presentation, authenticity, completeness and endorsement of the

cheque;

- e. Ensures the letter of instruction received from the corporate customer is from the person who has been delegated;
- f. Posts transactions on the system by inserting the cheque number, the name of the depositor, and other references prescribed by the high-valued customer in the system within her/his discretionary limit;
- g. Collects service charges as per the bank's terms and tariff, affixes crossing stamp to the face of cheque both original, and receipt of the deposit slip, and puts her/his initials on all documents;
- h. Hands over the deal slip/advice to passenger/client's customer after putting thereon her/his initials; and
- i. Forwards the cheque/ letter of instruction to roving the Checker after balancing them.

5.6.2.2.2 The Checker:

- a. Receives the cheques/letter of payment instruction and the tickets from Maker at the client's site by counting the number of tickets and the total amount of tickets represent;
- b. Authorizes the transaction after checking the genuineness of the document and correctness of the transaction within her/his authorization limit;
- c. Hands over the tickets to the assigned/Branch Controller for documentation after returns back from customers' site.

5.6.3 Cash Pickup Service

5.6.3.1 The Maker:

- a. Receives the cash along with the bank deposit slip designed for cash collection outside the branch signed by the customer;
- b. Verifies and counts cash by comparing with denominations written on the bank cash deposit voucher slip both in words and in figures ;
- c. Provides customer advice by affixing stamps as an acknowledgment of cash;
- d. Credits the customer's account by inserting the name of the depositor and other reference prescribed customer as soon as return to the branch;
- e. Balance and surrender the cash to **the Checker-Chief Cashier**; and
- f. Hands over the deposit voucher to the checker for documentation and authorization.

5.6.3.2 The Checker:

- a. Checks and authorizes transactions within her/his authorization limit;
- b. Ensures all cash deposit forms are correct; and

- c. Hands over the deposit voucher to **the assigned Checker/Branch Controller** for documentation.

5.7 Collection through Digital Banking Channels

5.7.1 Collection through Cards on POS and ATM Machines

5.7.1.1 The Maker:

- a. Monitors the branch's POS and ATMs regular functionality placed at merchant sites about collection and resource mobilization;
- b. Assists the merchant's cashiers in operating the machine while the customers are using their cards on POS;
- c. Provides regular brochures, user guidelines, stickers, and location identifiers by requesting **Marketing and Communication Directorate**;
- d. Makes any adjustment if there is an error on the day-to-day transaction, and forwards to the checker for verification; and
- e. Compiles visit reports and escalate problems on POS and ATM to **Branch Manager/ Business Manager /CSM** for an immediate solution.

5.7.1.2 The Checker

- a. Receives the transactions from **the Maker** and checks the completeness of the transactions on the system; and
- b. Authorizes the transactions, and forwards the document to **the assigned Checker Branch Controller** for documentation.

5.7.2 Collection through Online Banking Channels

5.7.2.1 The Maker:

- a. Demonstrates how to use mobile banking and internet banking on how to receive payment from their customers 24 hours a day, 7 days a week, and 365 days a year (24/7/365);
- b. Gives user guidelines to the customers on how to operate the service independently; and
- c. Refers customers to reset their password to **the Checker** at branch premises or guides them to contact the customer contact center using 8501.

5.7.2.2 The Checker:

- a. Monitors the system transactions daily and creates awareness among all team members about alternative channels;
- b. Checks the functionality of the channels and if there is a problem, escalate to the Call Center;

- c. Encourages all the team members to create awareness for customers on alternative channels;
- d. Creates customer awareness to monitor his/her account online and to review monthly statements regularly when issuing debit cards; and
- e. Informs the customer to report any suspicious or unauthorized transactions activity when discovered;

5.7.3 Collection from third parties (Tax/Utility Payments)

The integrated electronic payment system allows taxpayers and others to pay their declared taxes or payments from conventional and alternative channels.

5.7.3.1 The Maker:

- a. Receives a payment instruction form to debit the customer account for his/her payment;
- b. Checks the form is properly filled and that have a document reference number related to payment purpose;
- c. Verifies the signature bear on the payment instruction application form;
- d. Inserts the document reference in the Bill ID on the system, the taxpayer, and the like name in the narrative fields;
- e. Checks the tax amount/bill amount to be paid in the amount field that is populated in the credit field.
- f. Posts the tax amount/bill amount the customer is willing to pay if the payer pays the partial amount; otherwise no need of inserting the amount to be paid if paid in full amount;
- g. Forwards the documents to **the Checker** for authorization above his/her authorization limit; and
- h. Delivers deal slip to the payer by putting stamp and initials.

5.7.3.2 The Checker:

- a. Checks the instruction documents and the system are properly filled;
- b. Checks and authorizes the transaction immediately;
- c. Views the payment transactions, checks the status of the fund transfer, contacts the **Finance directorate**; and
- d. Forwards all pertinent documents to **the assigned Checker/ Branch Controller**.

5.8 Post Transaction Checking and Custody of Documents

5.8.1 Branch Controller/The assigned Checker:

- a. Collects all pertinent documents from the concerned performer for checking;
- b. Performs transaction checking/document checking on products and services according to this procedure;
- c. Reports the findings while checking transactions and documents to **Branch Manager/Business Manager/CSM** as the case may be for immediate rectification;
- d. Files and keep the documents for further reference under her/his custody; and
- e. Compiles the findings every month, and reports to **the Branch manager** and by copy to the **Manger Quality assurance Division at BBQAD** for identification of root cause and proposed solution.

PART-SIX

PAYMENT SERVICE

6.1 Payment through Conventional Channels

6.1.1 Cash Payment from Saving Account

6.1.1.1 The Maker:

- a. Receives passbook and withdrawal voucher from the customer and checks that all the particulars in withdrawal voucher are properly filled out;
- b. Ensures the customer presents an ID card, writes the word "I have withdrawn cash without passbook" on the back of the voucher and signs on it, and **Branch Manager/Business Manager/CSM** approves the withdrawal by writing the word "**ok For Payment without pass Book**" on the face of the voucher when the customer can not present the passbook;
- c. Assists the customer to put his/her thumbprint on the Bio-Metric device for system verification; if the branch has the device;
- d. Makes the transaction in the presence of two witnesses, if the customer is visually impaired, one of whom should be **another Maker or checker** who is not processing the payment, and the other should be from the customer side when the customer can not present a witness, the **Business Manager/Branch Manager/CSM** will act as a witness;
- e. Attests thumbprint by either writing on hand the phrase "**Signed before me**" or using a rubber stamp and putting her/his name and initials if the specimen for the account is received by thumbprint;
- f. Ensures the name and the account number written on the voucher against the passbook and the system are similar;
- g. Identifies the customer against the scanned customer documents, verifies the signature of the customer on the voucher against the scanned signature;
- h. Ensures data requirements of **EFIS** are properly inputted in the system before authorization;
- i. Forwards the documents for authorization to the concerned **Checker** if it is not within her/his payment authorization limit;
- j. Witnesses' payment requests of customers who are unable to come to the branch by making her/him sign the voucher in front of them and ascertaining his/her consciousness;
- k. Posts the transaction and pays the specified amount of money on the withdrawal voucher to the account holder by recording the denominations into the system; Payment is made depending on the customer's preference after the transaction is authorized;
- l. Affixes stamp on the face of the withdrawal voucher put initials on the voucher, and update

the passbook with initials;

- m. Delivers the passbook to the customer together with the requested cash; and
- n. Passes the voucher to the assigned **Checker/Branch Controller** immediately for documentation after the transaction has been completed.

6.1.1.2 The Checker:

- a. Verifies the data requirements of **EFIS** are properly inputted in the system before authorization;
- b. Checks and approves the transaction before the payment is effected;
- c. Approves the customers' request to withdraw without a passbook;
- d. Acts as a witness when visually impaired customers can not present a witness;
- e. Approves the payment request of the customers who cannot physically come to branches due to illness but conscious mind; the **Maker** and the Checker/Branch Controller shall witness the payment; and
- f. Hands over the withdrawal voucher to the assigned **Checker/Branch Controller** for documentation.

6.1.2 Cash Payment from Cash Indemnity Account

This account shall be debited either to recover cash shortage while performing daily transactions as evidenced by **Branch Manager/Business Manager/CSM** report, or after a year, the staff is transferred into another post or terminated employment contract.

6.1.2.1 The Maker:

- a. Receives the withdrawal voucher from the staff and check that all the particulars in the withdrawal voucher are properly filled out;
- b. Forwards the documents to the **Branch Manager/Business Manager/CSM** regardless of the amount to authorize the transaction;
- c. Posts the transaction and pays a specified amount of money on a withdrawal voucher to the concerned staff by recording denominations into the system after the transaction is authorized;
- d. Affixes stamp on the face of the withdrawal voucher and put his/her initials; and
- e. Hands over, the payment vouchers to the assigned **Checker/Branch Controller** immediately for documentation after the transaction has been completed.

6.1.2.2 The Checker:

- a. Ensures that the officers who are engaged in the cash transaction process have opened the **Cash Indemnity Account** with the proper product category and put a posting restriction on the account;
- b. Receives report from **the Maker** when cash shortage has occurred and follows the steps to investigate the shortage;
- c. Requests the staff to fill the withdrawal voucher by the shortage amount;
- d. Approves the withdrawal from the cash indemnity account by writing "**Ok for withdrawal**" on the face of the voucher; and authorize the transaction on the system;
- e. Registers in the Cash Discrepancy Register Book;
- f. Updates cash indemnity account balance every month; and
- g. Forwards the voucher to the assigned **Checker/Branch Controller** immediately for documentation after the transaction has been completed.

6.1.3 Cash Payment from Cheque Account

6.1.3.1 The Maker:

- a. Accepts the cheque and ID card from the payee/beneficiary;
- b. Checks the genuineness and completeness of the cheque, and Verify the signature;
- c. Makes the transaction in the presence of two witnesses, if the payee is visually impaired, one should be the **Branch Controller** who is not processing the payment and the other should be from the customer side. If the customer is unable to present a witness, the **Branch Manager** acts as a witness;
- d. Identifies the payee by writing his/her name, ID number, address, and telephone number, issued on the date of the ID, and issuing organ of the ID on the back of the cheque if the bearer is other than the account holder. Otherwise, marks "Account holder" on the back of the cheque;
- e. Confirms with the drawer if the cheque is to be paid to third parties and the amount is above Birr 50,000.00(Fifty Thousand). In case of doubt, contact the drawer even for a lesser amount. However, the Branch Manager may approve payments of cheques of any value for any payee without confirmation—whenever the account holders are inaccessible and the transaction is believed to be genuine.
- f. Verifies the signature on the cheque, posts on the appropriate customer's account; using the "with-cheque payment" menu on the system, affixes **the Maker** stamp and puts her/his initials;

- g. Forwards the documents to the concerned **Checker** for approval;
- h. Inserts the required information of the payee to the system, if the amount is greater than or equal to the minimum limit set by the **EFIS** and **NBE**;
- i. Checks, and ensures the cash withdrawal amount must be below the cash withdrawal limit;
- j. Pays the specified amount of money on the cheque to the payee by the denominations depending on the customer's preference after the transaction is authorized;
- k. Balances the cash on hand against the system; and
- l. Hands over the cheque to the assigned **Checker/ Branch Controller** for documentation.

6.1.3.2 The Checker:

- a. Checks the correctness and the completeness of the document before payment is effected; and
- b. Authorizes the transaction and hands over the cheque to the assigned **Checker/ Branch Controller** for documentation.

6.1.4 Cash Payment from Inactive Accounts at Home Branch

Saving and Cheque accounts that have no movement/dormant for **one year/six** consecutive months shall be changed manually on the system to **"inactive accounts,"** regardless of their balances respectively.

- a. Keeps dormant accounts under the inactive category for close supervision and to protect the accounts from being used by fraudsters;
- b. When reactivating inactive accounts, branches must be certain that the account will be operated by the account holder regularly or else obtain assurance from the account holders that the account will show adequate movement in the future. However; if the future movement of the account is still doubtful, it is better to keep it under inactive account for close supervision;
- c. For known customers, a branch manager can reactivate an account if he believes that the account will show sufficient movement in the future without waiting for the fulfillment of the above conditions;
- d. Inactive accounts shall not be entertained by inter-branch transactions but only at a the branch where the account was originally opened;
- e. Any inactive current account with a balance of less than or equal to Birr 100.00 is subject to a service charge per the terms and tariffs of the Bank;

- f. Any inactive account that has a balance of less than or equal to the service charge is automatically closed;
- g. Branch supervisors must review daily reports generated by the system regarding movements of inactive accounts. They must take immediate corrective actions against any attempts made to touch these accounts inappropriately by investigating the motives behind such attempts; and
- h. It must be known that any transaction or amount be it debit or credit shall not be recorded in the inactive account without first obtaining authorization from the branch manager.

6.1.4.1 Branch Manager/Business Manager/CSM:

- a. Receives Payment request from the inactive account, check the genuineness of the request, approve by stating the word **"Ok for being inactive payment"** on the withdrawal voucher/cheque, and forward to the maker; and
- b. Receives inactive account change to active request, ascertain the genuineness of the request and **change from inactive status to active** if they show a minimum of three debit/withdrawal transactions within six months;

6.1.4.2 The Maker:

- a. Receives the passbook along with the withdrawal voucher/the cheque from the customer and checks if the account is inactive, refers the customer to **Branch Manager/Business Manager/CSM**;
- b. Receives the approval of payment from inactive account, Checks the withdrawal form is properly filled/the cheque validity;
- c. Requests the customer to present a valid ID and retain the photocopy, and identifies the customer at the back of the withdrawal voucher/cheque;
- d. Identifies the customer against the scanned photograph, verifies the signature of the customer on the voucher/cheque, and posts the transaction;
- e. Forwards the documents to **the Checker** for authorization;
- f. Receives the approval, and Puts his/her stamp on the face of the withdrawal voucher/cheque;
- g. Returns passbook, and ID card and pays the amount of cash to the customer; and
- h. Hands over the documents to the assigned **Checker/Branch controller** for documentation.

6.1.4.3 The Checker:

- a. Receives, checks, ensures, and approves the payment request voucher along with the

passbook/the cheque with ID cards; and

- b. Returns back to the Maker the withdrawal voucher along with the passbook/the cheque with ID cards for cash payment.

6.1.5 Local Money Transfer

6.1.5.1 Payment for Local Money Transfer

6.1.5.1.1 The Maker:

- a. Receives the filled-out LMTS payment form and Beneficiary's ID from the customer;
- b. Checks the genuineness of the beneficiary's ID, insert the security number, the name of the remitter, and the amount against the system;
- c. Inserts the customer's ID number, name of issuing organ or office, issue date, expiration date, and Mobile number into the system;
- d. Generates the ticket from the system and makes the customer signs on it (the ticket). In the case of a visually impaired customer, takes the customer's thumbprint in the presence of two witnesses one from the bank officers and the other from the customer's side, if the customer is unable to present a witness from his/her side, the **Checker** shall sign as a witness and affixing thereto a rubber stamp that reads "Signed before me." and make the sign on it;
- e. Creates awareness about the bank's products and services and cross-sell; and
- f. Effects payment to the beneficiary/payee after authorization as per the authorization limit. Otherwise, the transaction should be directed to the **Checker** for authorization.

6.1.5.1.2 The Checker:

- a. Checks the customer's ID card, the LMTS payment application, the printout and ensures that the transaction is correct;
- b. Interviews the beneficiary or the remitter for long outstanding LMTS and approves the payment;
- c. Authorizes the transaction and co-signs on the cash-payment ticket; and
- d. Forwards the source document to the assigned **Checker/Branch Controller** for documentation.

6.1.6 Payment for Cancellation of LMTS

The remitter (sender) may ask for cancellation or payment of LMTS with any online branch when an error is made during the transfer by the remitter or bank staff OR When the beneficiary fails to collect the transfer due to any reason;

6.1.6.1 The Maker:

- a. Receives a letter of application, Customer ID card, and the original customer advice (deal slip) from the remitter;
- b. Collects the refunding service charge as per the terms and tariffs for refund in cash or from the account (if the customer made the error) and provide the deal slip to the customer, and if the error was made by the branch staff, waive the service charge.
- c. Writes "service charge collected" on the face of the customer application form and signs on it for processing refund;
- d. Inserts the customer's ID number, the name of issuing organ or office, issue date, expiration date, and telephone number into the system and generates the ticket from the system, and makes the customer signs on it (the ticket);
- e. Effects payment or credit to the beneficiary/payee account after authorization as per the authorization limit; and
- f. Advises the customer to fill a new remittance outgoing transfer if he/she wants and make new LMTS transfer.

6.1.6.2 The Checker:

- a. Checks the letter of application, the customer ID card, and the original customer advice (deal slip) to ensure that it contains the required information necessary to request a refund;
- b. Authorizes the payment within her/his authorization limit and approves the new outgoing LMTS; and
- c. Forwards the source document to the assigned **Checker/Branch Controller** for checking and documentation.

6.1.7 Payment of LMTS for Lost Security Number

When the remitter loses the LMTS Security number, she/he should report the case to **the originating branch** to reissue security numbers and can request payment by following the same step as indicated on payment from LMTS or resending it again.

6.1.7.1 The Maker:

- a. Receives the customer's letter of application form and forwards it to **Branch Manager/Business Manager/CSM**;
- b. Collects the service charge as per the terms and tariffs, and provides advice/the deal slip to the customer; and
- c. Forwards to the checker.

6.1.7.2 The Checker:

- a. Checks the letter of application form has the required information;
- b. Finds the transaction reference number and the remitter name from the 'outstanding LMTS payable list';
- c. Places a 'stop flag' for payment restriction in the system until the security number send to the customer from the BBQAD-District Support division.
- d. Sends the request to BBQAD-District Support division for LMTS security number by indicating the transaction reference number and remitter's name by stating his/her outlook address of the bank;
- e. Collects information from BBQAD-District Support division the security number was communicated to the customer and release the stop payment flag;

6.1.7.3 The District Support Division at BBQAD:

- a. Receives the lost LMTS security number request;
- b. Regenerates the security number from the system; and
- c. Delivers the security number to the customer and informs the lost LMTS security number-requesting branch.

6.2 Payment through Fund Transfer

6.2.1 Fund/Account to Accounts Transfer from BB to BB

6.2.1.1 The Maker:

- a. Ensures that the request is made by individual account holder customers or his/her legal agent who have the power to operate the account only;
- b. Delivers to fill the account-to-account format designed for this purpose to individual customer account holders;
- c. Verifies the signature and posts the transaction as per the request and forwards to the **checker** for approval; and
- d. Delivers the deal slip to the customer.

6.2.1.2 The Checker:

- a. Ensures that the request is made by individual account holder customers or his/her legal agent who have the power to operate the account only;
- b. Checks the request after ensuring the signature verification was made;
- c. Authorizes the transaction; and

- d. Hands over the deposit voucher to the assigned **Checker/Branch controller** for documentation.

6.2.2 Fund/Account to Accounts transfer from BB to other Banks

6.2.2.1 The Maker:

- a. Receives the letter of instruction (standard RTGS form) from **the Branch Manager/Business Manager/CSM**;
- b. Inserts the particulars on the mandatory fields 'Input MT103 Outward Remittance' menu;
- c. Ensures the inputted transaction details are correct;
- d. Writes 'posted' on the instruction letter and sign on it; and
- e. Forwards the instruction letter to **the checker** for authorization.

6.2.2.2 The Branch Manager/Business Manager/CSM:

- a. Receives the instruction (standard RTGS form) from the individual customer to transfer the fund from her/his account maintained with the branch to another bank branch;
- b. Checks all the particulars in the letter of application or the format designed for the purpose;
- c. Forwards the letter of request to **the Maker** for verification and further processing;
- d. Receives the letter of instruction after posted by the **Maker**, checks all the particulars on the transaction are inserted correctly and authorizes the transaction on the EATS menu; and
- e. Forwards the letter of request and tickets to the assigned **Checker/Branch Controller** for documentation.

6.2.3 Payment Using Letter of Bulk Payment Instruction

6.2.3.1 Branch Manager/ Business Manager/CSM:

- a. Receives the payment instructions from the account holder/signatories or from the person who has been lawfully delegated and checks the particulars therein including the stamp for corporate customers;
- b. Ensures that the transfer initiated through the letter of payment instructions should only be for the following purposes:
 - i. To any government/Public enterprise accounts/High-Value Customers;
 - ii. To their own subsidiary/branch or company accounts;
 - iii. To employee salary accounts; and
 - iv. To place standing instruction (When the account holder places the instruction in person).
- c. Requests the **Branch Manager/ Business Manager/CSM** approval, if the transfer request is

different from the purpose of payment stated above, of letter of payment instruction on the strength of the KYC of the particular corporate customer;

- d. Verifies the delegated person's signature against the specimen signature and identifies the delegated person's ID card at the back of the letter at the time of receiving the letter of payment instruction; and
- e. Forwards the letter of payment instruction to **the Maker** for further processing.

6.2.3.2 The Maker:

- a. Receives the payment instructions from the **Branch Manager/ Business Manager/CSM** and checks the particulars therein including the stamp for corporate customers;
- b. Checks the proper presentation, authenticity, and completeness of the amount of money in both words and figures;
- c. Verifies the signature of the account holder/authorized signatory that appears on the payment instruction;
- d. Posts the transaction on the system by specifying the reference number and other descriptions for the letter of payment instructions/transfer form if the limit is within her/his discretionary limit;
- e. Affixes the stamp "posted" or write the word "posted" and make an initial on the letter of payment instruction/ transfer form and print the deal slip (Debit and credit advice) and hand it over to the customer; and
- f. Forwards the payment instructions to **the Checker** for dual authorization.

6.2.3.3 The Checker:

- a. Receives the money transfer application or letter of payment instruction from the **Maker**;
- b. Checks the proper presentation, authenticity, and completeness of the transfer documents and Authorizes the transaction; and
- c. Hands over the payment instruction to the assigned **Checker/Branch Controller** for documentation.

6.3 Payment through Customer Standing Instruction

6.3.1 Branch Manager/ Business Manager/CSM:

- a. Receives the signed letter of standing instruction from the account holder and reviews its proper presentation and content carefully;
- b. Interviews the account holder who has expressed her/his desire to give a standing instruction and forwards the instruction to **the Maker** for signature verification; and

- c. Ensures that there exist sufficient funds to cover the transaction for the standing instruction.

6.3.2 The Maker:

- a. Receives, and authenticates the signature and collects the service charge/debit her/his account set for each transaction of a standing instruction as stipulated in the terms and tariff;
- b. Enters all the relevant information of the standing instruction into the system prepared for the purpose, to take the appropriate action thereon on the specified date;
- c. Forwards all the standing instruction documents to the **Checker** for verification/authorization; and
- d. Notifies the account holder immediately if there are no sufficient funds in her/his account to cover the amount.

6.3.3 The Checker:

- a. Receives and checks the relevant information in the standing order form is properly incorporated into the system. Authorizes the standing instruction order;
- b. Forewords the standing instruction documents and tickets to the assigned **Checker/Branch Controller** for checking the documentation or keeps under his/her custody; and
- c. Retrieves and checks that the standing order/cancellation is properly inserted.

6.4 Payment of Foreign Remittance

6.4.1 The Maker:

- a. Receives the application form filled by the beneficiaries (use the standard format designed for specific MTO or use and the ID from the customer);
- b. Logs into the MTO's application and search the record using the Security Number, checks that the beneficiaries' name, Remitter name, test question, and answer(if any) are agreed with the system and the application form;
- c. Forwards the customer application to **the checker** for MTO's not directly accessed by the branch;
- d. Inserts the customer's address, ID number, the name of issuing organization or office, and the date issued into the system. Generates the ticket from the system and makes the customer signs on it;
- e. Explains to the beneficiary the variety of saving products to open an account if the customer has no prior account or is aware to save at the time of payment to enhance the deposit mobilization process;

- f. Takes the visually impaired customer's thumbprint in the presence of two witnesses; one from the bank officers and the other from the customer side. If the customer is unable to present a witness from his/her side, the **Checker** shall sign as a witness and affix thereto a rubber stamp that reads "Signed before me;"
- g. Effects payment to the beneficiary/payee by debiting the appropriate account on the Finacle application after authorization; and
- h. Hands over the documents to **the Checker** for authorization.

6.4.2 The Checker:

- a. Receives the customer ID the foreign remittance application, and the printout and ensures that the transaction is correct;
- b. Checks authorize, and co-signs on the cash-payment ticket within her/his authorization limit;
- c. Ensures that necessary efforts have been made by **the Maker** while making payment to the beneficiary that she/he has been aware to open an account or to make a deposit from the payment proceeds;
- d. Collects the customer application form from the **Maker** and communicates **IBD Support Team** for MTOs not directly accessed by the branch; and
- e. Hands over the documents to the assigned **Checker/Branch Controller** for documentation.

6.5 Cash Payment from Retention Account

6.5.1 Branch Manager/Manager Branch Business/CSM

- a. Receives a foreign exchange utilization letter of request, authenticates the signatures thereon, and ensures sufficient balance is available;
- b. Ensures that the request for foreign exchange has been lodged in line with the provisions of the pertinent directives of the NBE;
- c. Determines whether the request is intended for the credit of the customer's local currency account, or make payment to another party, transfer the money in foreign exchange abroad for payment of imports or other services; and
- d. Forwards the request to **the maker** for transaction processing.

6.5.2 The Maker

- a. Debits the foreign exchange account and credits the counter value in local currency, applying the prevailing exchange rate, or debits the foreign exchange account by the requested amount of money in the case of a foreign-currency request;
- b. Transfers the unutilized balance left over in the Retention account to its LCY account after

28 days; and

- c. Forwards the document to **Senior Banking Business Officer** for authorization.

6.5.3 The Checker

- a. Receives and checks the correctness of the foreign exchange utilization letter of request from the retention account;
- b. Ensures that foreign currency has been properly converted to Birr and that the exchange rate has been properly applied;
- c. Follows up on the customer's foreign exchange retention account, converts to Birr, and credits her/his local-currency account for the unutilized balance left over in the "Retention account B" after 28 days have elapsed; and
- d. Authorizes reversal entry if the customer fails to utilize the fund within the prescribed date.

6.6 Payment through Negotiable Instruments

6.6.1 Payment Using BB Cheque

Account holders/drawers can effect payment by using cheques to their customers' accounts, without the presence of the payee.

6.6.1.1 The Maker:

- a. Accepts the cheque from the drawer to be deposited to the payee's account;
- b. Checks the genuineness and the completeness of the cheque;
- c. Checks the account number and the payee's name was written on the face of the cheque;
- d. Checks that the cheque is crossed by a transverse line across the face of the cheque and written by the word "Payable in account" or restrict the transferability of the cheque by the word "Payee only";
- e. Ensures that the drawer affixes the stamp at the back of the cheque for corporate entities;
- f. Verifies the signature on the cheque and posts on the appropriate customer's account;
- g. Forwards the documents to the **Checker** for authorization;
- h. Receives the approval, prints the receipt, and delivers the /receipt/ deal slip for the customer.
- i. Forwards the payment documents to the assigned **Checker or Branch Controller** for checking and documentation;

6.6.1.2 The Checker:

- a. Receives, and checks the correctness and completeness of the instruments and genuineness of the payment;
- b. Authorizes the transactions; and

- c. Hands over the cheque and cheque deposit to **the Maker**;

6.6.2 Payment of BB CPOs

6.6.2.1 The Maker:

- a. Receives the CPOs and ID card from the customer;
- b. Requests the presenter (the purchaser or the beneficiary) to write an additional letter of request stating the reason for the expiry, if expired CPO is presented for payment;
- c. Checks the genuineness and the completeness of the banker's cheque by verifying the data on the system;
- d. Checks the proper endorsement by the beneficiary or the purchaser properly identifies the beneficiary/the payee on the back of the CPOs and attaches an ID photocopy for any cash payment, if the amount of cash is below the cash withdrawal limit. Otherwise credit to the beneficiary account;
- e. Confirms with the purchaser/beneficiary, if the CPOs are to be paid to third parties and the amount is above Birr 50,000.00(Fifty Thousand). In case of doubt, contact the drawer even for a lesser amount. However, the Branch Manager may approve payments of CPOs of any value for any payee without confirmation—whenever the purchaser/beneficiary is inaccessible and the transaction is believed to be genuine.
- f. Posts the transaction and puts a stamp and initials on the back side of the CPOs;
- g. Effects the payment within her/his payment authorization limit or forwards to the **Checker** above her/his authorization limit.
- h. Receives the authorized CPOs payment document and effect payment; and
- i. Hands over the payment documents to the assigned **Checker/Branch controller** for checking and documentation.

6.6.2.2 The Checker:

- a. Receives, checks, and authorizes the transaction by verifying the presenter along with the letter of justification in case of expired CPOs;
- b. Checks whether the CPOs are outstanding or not. If the CPOs is outstanding, make the customer fill out the undertaking letter and sign it;
- c. Ensures that a copy of the customer's ID card was attached when cash payment was effected; and
- d. Forwards the CPOs to the **Checker** to effect payment.

6.6.3 Payment of lost CPOs

6.6.3.1 Branch Manager/ Business Manager/CSM:

- a. Receives the application request from the payee or purchaser in writing that the instrument was lost and the request is presented only in the branch where the CPOs is issued;
- b. Ensures that the request is signed by the applicant and stamped with an official stamp for corporate customers;
- c. Checks if the CPO is not yet paid;
- d. Stops/restricts the CPOs in the system;
- e. Receives explicit consent from the purchaser and undertaking from the payee to safeguard the interest of the Bank as well as the purchaser or vice-versa in case of any future eventualities;
- f. Requests the presenter (the purchaser or the beneficiary) to write an additional letter of request stating the reason for the lost CPOs;
- g. Encloses any other additional supporting documents as and when necessary;
- h. Forwards the approved letter of request and undertaking to the **Maker** for processing;
- i. Receives back the documents and transaction ticket from **the Maker**;
- j. Checks, and approves the transaction, and after ascertaining the fulfillment of all requirements to pay lost CPOs.

6.6.3.2 The Maker:

- a. Receives the approved customer's request from **Branch Manager/ Business Manager/CSM** and originates the necessary ticket for payment;
- b. Collects service charges as per the terms and tariffs of the bank before effecting payment;
- c. Identifies the customer and lets the customer sign on the back of the ticket if the customer is an individual and requested the payment in cash;
- d. Forwards the document to the **Checker** for cosigning and authorization of the transaction;
- e. Receives the approval, and Pays the customer in cash or credit to his/her account. In the case of corporate customers /organizations, the proceeds of the CPOs shall be credited to the account; and
- f. Forwards the documents to the assigned **Checker/Branch Controller** for checking and

documentation.

6.6.3.3 The Checker:

- a. Receives the approved documents and transaction ticket from **the Maker**; and
- b. Checks ensure fulfillment of the requirement, and approve the transaction;

6.6.4 Payment of BB Cheque /CPOs Collected by Other Banks

6.6.4.1 Branch Manager/ Business Manager/CSM:

- a. Receives the cheques/CPOs dispatched from **Finance Directorate Team** after checking against the summary report;
- b. Balances the received cheques against the summary total and forwards to **the Maker** for acceptance or rejection of the transaction on the system; and
- c. Signs on the cheque returned slip, specify the valid reason, and return the physical cheque/CPOs to **Finance Directorate Team** before elapses the time set by NBE and kept relevant information for further reference.

6.6.4.2 The Maker:

- a. Receives the cheques/CPOs from the **Branch Manager/ Business Manager/CSM** for further processing;
- b. Checks the genuineness and the completeness of the cheque/CPOs;
- c. Authorizes the transaction on the EATS within his/her limit, otherwise, forwards to **the Checker** for authorization beyond his/her limit, if the transaction and the cheque/CPOs are correct; and
- d. Rejects the transaction on the system and forwards the rejected cheque/CPOs to **the Checker** for returning to **Finance Directorate** before standard time is elapsed.

6.6.4.3 The Checker:

- a. Receives, and verifies the genuineness and the completeness of the cheque;
- b. Authorizes the transaction on the EATS within his/her limit;
- c. Rejects the transaction on the system; and
- d. Forwards the cheques/CPOs to the assigned **Checker/Branch Controller** for documentation.

6.6.5 Payment of BB Cheque/CPOs by Special Clearance (value >200,000 Birr)

6.6.5.1 The Maker:

- a. Receives the BB cheque/CPOs with MT-103 attachment designed for Special cheque clearance;
- b. Verifies other bank's signature and authenticates the cheque presented and posts the cheque in the "Input MT103 Outward Remittances - Cheques" menu;
- c. Checks the genuineness and the completeness of the cheque/CPOs;
- d. Confirms with the drawer if the cheque is to be paid to third parties. However, **the Branch Manager** may approve payments of cheques of any value for any payee without confirmation—whenever the account holders are inaccessible and the transaction is believed to be genuine.
- e. Posts the transaction and sends it to **the checker** for verification through the system;
- f. Checks the verification through the system and signs **the cheque** after writing 'posted' on the face of the cheque/CPOs and on the attachment by writing the time received; and
- g. Forwards the **document and the cheque/CPOs** to the **Checker** for co-signing and/or authorization.

6.6.5.2 The Checker:

- a. Receives the Document and the cheque/CPOs after being posted by the **Maker**;
- b. Checks that all the particulars are inserted correctly and authorize the transaction on the EATS Menu;
- c. Verifies the transaction through the system;
- d. Receives and signs on the attachment and gives the originating bank copy to the other bank messenger; and
- e. Forwards the remaining document and the cheque/CPOs to the assigned **Checker/ Branch Controller** for documentation.

6.6.6 Cash withdrawal without Cheque

6.6.6.1 Branch Manager/Business Manager/CSM:

- a. Receives the customer application letter for cash withdrawal without cheque request together ID;
- b. Checks the validity of the request and approve; and
- c. Authorizes the transfer and forwards to the maker for processing payment.

6.6.6.2 The Maker:

- a. Receives cash withdrawal without cheque request from **Branch Manager/Business Manager/CSM** and prepares debit ticket;
- b. Identifies, and verifies the signature of the account holder before effecting payment;
- c. Deducts the amount and effect payment up to his/her limit, otherwise forward to the checker for Authorization;
- d. Receives the authorization through the system and affects the cash payment; and
- e. Forwards the payment source document to **the assigned Checker/Branch controller**.

6.6.6.3 The checker:

- a. Receives, and checks the genuineness of the cash payment request without cheque and Authorize through the system, otherwise return to the maker for fulfillment;
- b. Checks the cash withdrawal without cheque is authorized by Branch Manager/Business Manager/CSM; and
- c. Forwards to the maker.

6.6.7 Payment through Digital Banking Channels

6.6.7.1 Payment through POS Cash Advance

6.6.7.1.1 The Maker:

- a. Receives the card and the ID card to ensure the presenter is a proper cardholder;
- b. Inserts/swipes the card to the POS chip slot/reader slot; keep the card until completion of the entire transaction;
- c. Requests the customer to enter PIN (Personal Identification Numbers) for validation, if POS Terminals request PIN;
- d. Prints the transaction receipts in two copies, one for the customer advice and the other for branch source document;
- e. Requests the customer to sign on the receipt produced by the POS Terminal;
- f. Identifies the customer by verifying the signature on the customer's account on the system against his/her signature on the receipts;
- g. Retains single copies of the signed receipts as source documents for cash payments;
- h. Forwards the receipt to the customer as evidence of the transaction and pays cash;
- i. Prints the daily summaries and the detailed reports using POS Terminals;
- j. Balances the cash advance receipts total with daily summaries and detail reports; and
- k. Sends the batch and settles daily transactions.

6.6.7.1.2 The Checker:

- a. Ensures that the POS cash advance accounts day-end balance is zero. If not, makes appropriate adjustment at the end of the day;
- b. Settles the discrepancies by debiting/crediting POS cash advance accounts and cardholders 'accounts for domestic card transactions; and
- c. Settles issues in consultation with the digital channel payment at Digital Banking Directorate.

6.6.7.2 Payments through ATMs and Online Banking

6.6.7.2.1 The Maker:

- a. Educates the customer to monitor his/her account online and to review monthly statements regularly when issuing ATM debit cards;
- b. Informs the customer to report any suspicious or unauthorized transactions activity when discovered; and
- c. Aware the customer to immediately check e-mail/SMS alerts sent about payment transactions from his/her account.

6.6.7.2.2 The Checker:

- a. Checks frequent transactions using ATM/online banking from one or multiple locations, especially in the case of newly opened accounts;
- b. Monitors reactivated dormant accounts followed by usually frequent transactions;
- c. Checks transactions made on specific accounts from machine location or IP address that is different from the previous pattern;
- d. Scrutinizes transactions for which the amount entered is more than the last 10 transactions;
- e. Monitors the time when the customer login and the time the customer clicks the button for amount transactions and compares with the last 10 transactions average intervals, if deviation is significant she/he shall monitor closely;
- f. Checks sequence of activities while making transactions through ATM/ online and monitors closely if the sequence of the activities is different from previous patterns; and
- g. Checks the number of transactions for the last two weeks' average number of transactions per day and closely monitor if the deviation is significant.

6.7 Transaction Authorization Limit

6.7.1 Cash Deposit and Payment Authorization Limit in Birr

Product and Services	Account Status	Self-Authorization in Birr		Joint Authorization	
		CSO-I	CSO-II/CSO-III/SCSO	CSO-I and CSO-II/CSO-III/SCSO	CSO-I/CSO-II/CSO-III/SCSO and Br Manager/CSM/Business Manager/Operation Manager
Cash deposit into a Saving /Current Account	Active (Any Branch)	Up to 15,000	Up to 50,000	Up to 100,000	No Limit
	Inactive (In Base Branch)	NA	NA	Up to 100,000	No Limit
	Inactive (Other than the Base Branch)	NA	NA	Up to 50,000	No Limit
Cash Payment from a Saving or Current account	Active (Any Branch)	Up to 15,000	Up to 50,000	*** Up to 100,000	*** No Limit
	Inactive (In Base Branch)	NA	NA	Up to 50,000	*** No Limit
	Inactive (Other than the Base Branch)	NA	NA	NA	NA
Cash deposit into a Saving or Current Account	Branch Became Offline	NA	NA	Up to 100,000	No Limit
Cash Payment from a Saving or Current account		NA	NA	Up to 20,000	Up to 50,000

Note on Collection and Payment transaction authorization limit on deposit products (6.6. 1)

- NA-** means no authorization limit is given for the performer under self-authorization or dual authorization.
- No Limit** - means up to the amount requested by the customer.
- ***** If the Exceptional cash withdrawal limit is approved.

6.7.2 Fund Transfer Transaction Authorization Limit in Birr

Product	Account Status	Self-Authorization in Birr		Joint Authorization in Birr	
		CSO-I	CSO-II/CSO-III/SCSO	CSO-I & CSO-II/CSO-III/SCSO	CSO-I/ CSO-II/CSO-III/SCSO & Br. Manager/ CSM/Bussiness/Operation Manager
Fund Transfer	Active	NA	NA	Up to 200,000.	No Limit
	Inactive-Home Branch	NA	NA	Up to 50,000.	No Limit
	Inactive (other Branch)	NA	NA	NA	NA
	RTGS	NA	NA	NA	No Limit

6.7.3 Transaction Authorization Limits on Services in Birr

Service	TYPES	Self-Authorization in Birr		Joint Authorization in Birr	
		CSO-I	CSO-II/CSO-III/SCSO	CSO-I & CSO-II/CSO-III/SCSO	CSO-I/ CSO-II/CSO-III/SCSO & Br. Manager/ CSM/Business/Operation Manager
LMTS	Outgoing	NA	NA	Up to 50,000	No Limit
	Payment	NA	NA	Up to 50,000	No Limit
Bankers Cheque/CPOs	Issuance	NA	NA	up to 100,000	No Limit
	Payment	NA	NA	up to 100,001	No Limit
	Payment Lost	NA	NA	NA	No Limit
Cashier implant	Collection of Cash	NA	NA	up to 200,000	No Limit
Cash Pick up	Collection of Cash	NA	NA	up to 200,000	No Limit
FCY	Purchase	NA	NA	up to USD 5,000	No Limit

6.7.4 Authorization Limit for Expired and/or Lost CP0s in Birr:

S. No.	Approving Organ	Lost but not expired (ETB)	Lost and expired (ETB)	Expired but not lost (ETB)
1	Branch Manager	50,000	10,000	Up to 100,000
2	District Director/Area Manager	100,000	50,000	Up to 200,000
3	Director-Finance	Above 100,000	Above 50,000	Above 200,000

6.7.5 Inter-Branch Transaction Limit

Inter-branch transaction authorization limits and processing shall be carried out as per the limits mentioned in each section accordingly above **6.6.1 to 6.6.4** and transaction processing steps prescribed in this procedure except **6.6.6**.

6.7.6 Transactions not allowed in inter-branch operations

The following transactions are not allowed in inter-branch:

- a. Withdrawals of money from customers' accounts as per the customers' standing instruction;
- b. Customer profile change, amendment, and upgrading transaction;
- c. Payment/Debit transactions from all inactive accounts;
- d. Other branch customer account freezing or un-freezing, marking, lien or un lien, blocking, the release of any restriction, and putting any restriction;
- e. Cheque issuance or status change for other branch customer accounts;
- f. Loan disbursement;
- g. Accepting and updating other branch customer profiles of agents by power of attorney; and
- h. Execution of court orders or any other entities' instruction of other branches.

6.8 Post Transaction Checking and Custody of Documents

6.8.1 Branch Controller/The Checker:

The Branch Controller/Checker about transaction checking shall perform the following:

- a. Receive all payment source/evidential documents and check the fulfillment of payment requirements as per this procedure;
- b. Performs transaction checking/document checking on products and services according to the limit set in the above table, and Performs 100% transaction checking;
- c. Reports the findings while checking transactions and documents to **Branch Manager/Business Manager/CSM** as the case may be for immediate rectification;
- d. Files and keep the documents for further reference under her/his custody; and
- e. Compiles the findings every month, and reports to the **Branch Manager** and the Manger **Quality assurance** for identification of root cause and proposed solution at BBQAD.

PART-SEVEN

OTHER BRANCH BANKING OPERATION

7.1 Features of Cheque

A cheque bears the following elements across its face:

- a. Name and emblem of the bank;
- b. Name of the branch;
- c. Date of the cheque;
- d. Name of the account holder and account number;
- e. Name of payee/beneficiary;
- f. Amount in words and figure;
- g. Cheque number and signature of the account holder;
- h. A cheque is valid for six months only after the date of issuance to the payee.

7.2 Endorsement of cheque/CPOs

- a. The number of endorsements in the case of non-restrictive endorsement has no limit;
- b. If a Cheque/CPO is drawn to 'Self', it shall be paid to the Cheque/CPO drawer. However, the drawer may also endorse the instrument to any person;
- c. If a Cheque/CPO is drawn to 'bearer' or 'cash' it means to pay the person who has brought the Cheque/CPO. However, the holder may also endorse the instrument to any person;
- d. If a Cheque/CPO is drawn to the 'Order' of a specified person, the payee must be identified at the counter and also shall be asked to sign on the back of the Cheque/CPO but she/he may transfer it to another natural or legal person by endorsement;
- e. If the Cheque/CPO is drawn to the 'Order' and followed by the word 'only' or 'pay only', payment is made to the payee/beneficiary only;
- f. If the Cheque/CPO is issued by other than individuals such as in the name of Corporations, Cooperatives, Companies, Associations Government entities, such Cheques/CPO is not paid in cash but it shall be credited to the beneficiary account. The Cheque/CPO must bear the seal of the beneficiary for endorsement and be signed by the authorized signatories.

7.3 Crossing of cheque

- a. Crossed cheques are not cashed on the counter;
- b. If the cheque is crossed with 'not negotiable', it is not transferable and shall be paid in cash or deposited into the account of the payee;
- c. If the cheque is crossed with 'Payable in account', it is transferable but shall not be paid in cash and only deposited into the account of the payee;

- d. If the cheque is crossed with 'Account Payee only', it is not transferable and only deposited into the account of the payee;
- e. Opening or uncrossing the cheque may be made by authorized person/s, signatory/ies.

7.4 Stop-Payment Order

7.4.1 Stop-Payment Order Handling

7.4.1.1 Branch Manager/Business Manager/CSM:

- a. Receives the letter of application that indicates the reason the cheque is **lost or stolen** and checks the fund in the account covers the value of the cheque requested to stop payment order. If the reported cheque is blank the customer is not obligated to deposit money, but inform the customer that shall be liable;
- b. Request the account holder/ signatory to fill the stop payment order format designed by the bank;
- c. Gives the standard stop payment order form to the account holder and makes her/him complete the form and sign on and authenticate the signature on the form. The standard stop payment order form shall only be used;
- d. Ensures that the stop payment order is placed by the authorized person and when the cheque is **lost or stolen** only.
- e. Notifies the customer to provide police evidence **within 15 working days that show** the stop cheque payment order was requested as the cheque is **lost or stolen**. Otherwise, the **stop payment sanction** shall be released;
- f. Ensures that the cheque on which the stop payment order is placed is not withdrawn from the account before receipt of the stop payment order;
- g. Inputs into the system such relevant particulars as the cheques number, the amount of money involved, the date on which it was issued, and the name of the payee/beneficiary;
- h. Keeps the record until the account holder revokes her/his request or the stop payment cheque expires its validity date and collects the service charge;
- i. Checks the restriction made in the system to ensure that it complies with the pertinent rules and regulations of the Bank;
- j. Ensures that the amount of the cheque under the stop payment order will not be withdrawn until the account holder gives cancellation of the stop payment order in writing; and
- k. Approves the stop payment order and forward it to the assigned checker /Branch Controller for checking and documentation.

7.4.2 Cancellation of Stop-Payment Order

7.4.2.1 Branch Manager/Business Manager/CSM:

- a. Receives written application form for the cancellation of the stop-payment order from the account holder or authorized signatory;
- b. Makes the customer sign on the space provided on the stop-payment order form for the cancellation of the order which was kept under **the assigned checker/Branch Controller** custody;
- c. Authenticates the signature on the application form against the pertinent system;
- d. Incorporates into the system the necessary particulars from the canceled stop-payment order form to cancel the stop-payment order placed previously;
- e. Signs and passes the documents to the **Checker** for co-signing.

7.4.2.2 The checker:

- a. Receives the document from the **Branch Manager/Business Manager/CSM** and checks them to ensure that they comply with the rules and regulations of the Bank;
- b. Co-signs on the letter of request for cancellation of the stop-payment order;
- c. Forwards the document to **the assigned Checker/Branch Controller** for checking and documentation.

7.5 Amount Blocking or Account Blocking

An amount could be blocked from a particular account or the account itself could be fully blocked if and when:

- a. The customer lodges a request for blocking;
- b. The account is held as collateral for a loan to be extended to her or him;
- c. Based on a court's ruling to that end;
- d. Any other organs have the power to block accounts by law.**

7.5.1 Branch Manager/Business Manager/CSM:

- a. Receives a letter of instruction from the District Support Division at BBQAD the customer, legally authorized organs (like Court order), and Check the amount to be blocked partial or full amount;
- b. Locks the fund under "Freeze" status on the system by specifying the reason on the description box; write the freezing transaction number and the word 'Froze" by system" on the instruction letter, if the blocking instruction entails the blocking of an amount from the account;

- c. Places a "Posting restriction" by specifying the reason if the blocking instruction entails the blocking of the account;
- d. Forwards the document to the issuing organ to authenticate the genuineness of instruction after blocking the account/locking the amount;
- e. Informs the customer/account holder that the blocking of a specified amount from her/his account indicating the reason(s) for blocking;
- f. Requests the customer to indicate the account number, the amount of money extended as a loan, and the due date for it to be repaid if the blocking is made as a deposit of collateral for a loan;
- g. Releases the frozen amount when the customer repays the loan in full and confirmed by the concerned organ of the bank;
- h. Replies to the concerned organ notify same to the customer and maintain the blocking document record until it is released;
- i. Checks the freeze amount list on the system against the document at the end of the month;
- j. Keeps the pertinent documents under her/his custody.

7.5.2 Branch Controller/Checker:

- a. Receives, and checks the stop payment order or release of the Stop-payment order or freeze/unfreeze amount documents;
- b. Maintains a separate box file for keeping blocking and releasing letters for reference; and
- c. Receives the documents and checks them to make sure that they comply with the rules and regulations of the Bank and then files them.
- d. Ensures that the account that is blocked is real in the Core Banking system.

7.6 Not Sufficient Fund (NSF) Cheque Handling

7.6.1 NSF Cheque Presented at Home Branch

7.6.1.1 The Maker:

- a. Checks the completeness of the cheque and the balance of the account in the system;
- b. Forwards the cheque to the **Checker** for further action, if the cheque is found to be insufficient to cover the value of the presented cheque.

7.6.1.2 The Checker:

- a. Checks all the possible credit entries that might have not been posted deposit in transit upon receipt of the cheque from the **Maker**;

- b. Fills in all the discrepancies on the cheque including the insufficient balance status on the cheque return form and affixes there to the official stamp of the branch and retain a photocopy of the cheque for further action. However, if the drawer has already stopped the cheque due to loss of cheque or theft, the branch does not need to state the balance or take action thereof;
- c. Affixes the returned slip to the cheque and registers the cheque for insufficient funds in the system or dishonored cheque register.
- d. Records the insufficient cheque if two or more cheques are presented on a given demand deposit account for payment at the same time and if there is no sufficient fund to cover the amount of the cheques as 1st reminder, 2nd reminder, and account closure accordingly;
- e. Keeps the NSF register book safely and responsible for each recording;
- f. Maintains NSF register book having detailed pertinent information like account holder name, account number, date of the cheque, cheque number, and amount of cheque;
- g. Collects the penalty charge as per the Bank terms and tariff; and
- h. Hands over the returned slip to the presenter along with the cheque and forwards to Branch Manager/ Business Manager/CSM;

7.6.1.3 Branch Manager/Business Manager/CSM:

- a. Receives all the relevant documents from **the Checker** and checks against the documents and the system;
- b. Takes appropriate action as per this procedure and inform the account holder and **District Support Division at BBQAD**, in writing, about the returned cheque; Not sufficient fund Cheques;
- c. Records the incident for the first time in the Dishonored Cheque Register; and restricted all debit (outgoing) transactions against this account until the dishonored cheque is fully paid to the payee or the equivalent amount is blocked pending the payment to the payee;
- d. Records the incident for the second time in the Dishonored Cheque register, and restricted all debit (outgoing) transactions against this account until all the cheques which have been dishonored & registered hereinabove are fully paid or the equivalent amount is blocked pending the payment to the payee(s), and levy a fine of 3% of the amount appearing on the cheque dishonored for the second time but not exceeding Birr 25,000 (twenty-five thousand Birr);
- e. If there is no sufficient fund in the account even to cover the charges,

nonetheless, leaves Birr.1.00 in the account balance, debits the customer's account with the remaining amount and does close follow-up on the customer's account to recover the unpaid charges;

- f. Records the incident for the third time in the dishonored Cheque register, close the account, levy a fine of 5% of the amount appearing on the cheque dishonored for the third time but not exceeding Birr 50,000 (fifty thousand Birr), and make every effort possible to collect all unused cheque leaves & pads from the drawer and report same to BBQAD-District Support division to close such person demand deposit account in all BB branches and NBE;
- g. Notwithstanding provisions under "c" and "d" debit charges like legal, insurance, advertisement, such other non-cash transactions, accrue interest against overdraft accounts against a blocked account; and the bank may unblock the account and make the fund available to the drawer;
- h. If the drawer presents the dishonored cheques to the bank or the payee(s) may appear in person to the bank and confirm in writing that the dishonored cheques have been fully settled in the form prescribed, or If the payee(s) fails to appear to receive full payment after lapse of six months of presenting the dishonored cheque, and those account holder who fulfills their obligation shall be deleted from the dishonored cheque register per the following steps;
- i. 1st time incident-if the status is a full settlement of the claim or blocking of the equivalent amount and has not drawn other dishonored cheques for the second time at least for 12 consecutive, and Canceled from dishonored cheque register;
- j. 2nd time incident-the status is a full settlement of the claims or blocking of the equivalent amount and has not drawn other dishonored cheques for the third time at least for 24 consecutive months, and Canceled from dishonored cheque register and be considered as clean; and
- k. Forwards all the relevant documents to **the checker** custody for further reference.

7.6.2 NSF Cheque Presented to Other than Home Branch

When a cheque is presented in a branch other than the home branch located in another city, the following procedure shall be adhered to; however, if the insufficient cheque is presented in the same city only the home branch will entertain as stated in the above section.

7.6.2.1 The Maker:

- a. Checks the completeness of the cheque and the balance of the account in the system;
- b. Forwards the cheque to the **Checker** for further action, if the cheque is found to be insufficient to cover the value of the presented cheque; and
- c. Scans the cheque front and back side, and forward to the account maintaining branch through Outlook/internal email.

7.6.2.2 The Checker at Home Branch

- a. The branch where the cheque is presented scans and sends the cheque through the bank's internal email or any other official communication channels to the home branch;
- b. When the home branch receives the message, it shall follow the steps stated above for insufficient cheques.
- c. The home branch shall write a letter that confirms the balance is insufficient to the branch where the cheque is presented signed by the **Branch Manager/Manager Branch Business/CSM**, put the branch round stamp, and then replies by branch outlook/other official communication channels;
- d. The branch where the cheque is presented, upon receiving the confirmation from the home branch, will give the payee the "cheque returned slip" (by stating insufficient funds and by affixing a round stamp).

7.6.2.3 Branch Manager/Business Manager/CSM:

- a. Receives all the relevant documents from **the checker** and checks against the documents and the system;
- b. Informs the account holder, the paying branch, and to **District Support division at BBQAD**, in writing, about the returned cheque due to insufficient cheque or the closure of the demand deposit account;
- c. Forwards all the relevant documents to **the checker** for custody for further reference.

7.6.3 Release of Restricted Amount due to NSF

7.6.3.1 Branch Manager/Business Manager/CSM:

- a. Makes the fund available for payments like legal, insurance, advertisement, such other non-cash transactions, accrues interest against overdraft accounts against a blocked account;
- b. Releases the restricted amount when the drawer presents the dishonored cheques to the bank or the payee(s) may appear in person to the bank and confirm in writing that the dishonored cheques have been fully settled in the form prescribed; and

- c. Releases the restricted amount when the payee(s) fails to appear to receive full payment after the lapse of six months of presenting the dishonored cheque.

7.7 Cheque and CPOs handling at a branch

7.7.1 Branch Manager/Operation Manager/CSM:

- a. Requests Cheque books/CPO from supplying organ, as per the business need;
- b. Receives all Cheque books/CPO from supplying organ, as per the requisition;
- c. Registers the stock received from supplying organ in the Cheque book/CPO stock register book and also on the system with the proper denomination on the same date;
- d. Stocks shall be managed properly and kept in a secure and confidential manner
- e. Keeps un-issued Cheque books and CPO in custody;
- f. If the security items are lost, they should be reported to the respective district and Internal Audit Directorate immediately;
- g. If the security item is void due to various reasons, the responsible person shall collect all pertinent copies and write "Void" on the face of the security item;
- h. Forwards the CPOs to the **Maker** on a demand basis against her/his signature on the Cheque/CPO register book after ensuring previously issued Cheque/CPO are properly issued to the customer;
- i. Registers the Cheque range/CPO and Cheque type into the system account when the customer received the Cheque; and
- j. Cancels uncollected personalized Cheque from the system, and deduct the cheque book cost from the customer account.

7.8 Long outstanding Issued Cheque Handling

- a. When the cheque book issued is not delivered to customers for three months from the date of issuance it shall be considered as long outstanding issued cheque;
- b. The long outstanding issued cheque book shall be transferred to **Finance Directorate** and shall be notified to **Internal Audit Directorate** by copy after incorporating the account holder's name, account number, type of cheque book, number of cheque book, serial number, and date of transfer list accordingly. However, branches should note that if the account needs to be closed it shall be done accordingly;
- c. The Branch controller shall review and check the list before transferring the long outstanding issued cheque; and
- d. **Finance Directorate** along with **Internal Audit Directorate** shall incinerate the undelivered issued cheque book within 30 day, if it stayed more than two months from the date of receiving from the branch.

7.9 Handling Rubber Stamps

7.9.1 The Branch Manager/Operation Manager/CSM:

- a. Submits a stamp requisition letter to the **Property and Facilities Management Directorate**, clearly indicating the type which is new or a replacement;
- b. Registers all stamps received from their respective supply offices into the registered book prepared for this purpose;
- c. Issues the stamp to the staff who uses it against her/his signature by registering it in the register book prepared for this purpose;
- d. Ensures that the designated staff of the bank properly handle the stamps in their custody and always keep them locked up after office hours;
- e. Collects the old rubber stamps whenever they are replaced by new ones;
- f. Detaches the rubber part of the old rubber stamp and destroy it in the presence of the Branch controller/CSM/Accountant and one officer;
- g. Ensures that when staff is transferred from the branch, the staff who takes her or his place takes over the rubber stamp against her/his signature in the register book;
- h. Reviews the register and ensures that the registered book for rubber stamps has been updated accordingly and that the rubber stamps do exist when the staff is assigned to hold the bank's rubber stamps; and
- i. All performers who are holding the rubber stamp shall perform the following activities.
 - i. Receives the rubber stamps from **Branch Manager/Operation Manager/CSM**;
 - ii. Takes responsibility for all the stamps received against one's signatures; and
 - iii. Ensures that at the end of the day, every rubber stamp is kept locked.

7.10 Power of Attorney

- a. Third parties shall not be allowed to withdraw from any account holder unless against presentation of a valid power of attorney to this effect and authenticated;
- b. The Checker shall authenticate through the website/app/system dedicated for this purpose using his/her user ID and password. However, if the authentication is not supported using the website/app/system dedicated for this purpose, ensure that the authentication is done by the respective governmental bodies before allowing withdrawal;
- c. The respective branch shall secure a copy of the power of attorney which shall be checked against the original by the Checker and marked "Original Seen" and initialed;
- d. The power of attorney should specifically and clearly state the authority vested in the agent (Opening a new account, Operating an existing or new account);

- e. The power of attorney should be authenticated by the respective governmental body which registers the power of attorney, especially before undertaking any debit transaction by the assigned person;
- f. If the governmental body office is other than the branch city, the branch shall authenticate in collaboration with the nearby District/Branch through formal letter requests; and
- g. Upon presentation of the court order or the respective governmental bodies, payment may also be effected to any third party. Branches may request legal advice as deemed necessary to this effect.

7.11 Customer Delegations

Corporate customers can delegate a person in writing to process/receive/deliver any letter of payment instruction/request for collection or receiving of advice and returned cheques to the branch on behalf of the customer. The following procedure shall be followed to handle letters of delegation from corporate customers:

- a. Receiving a letter of delegation, verifying the signature, and confirming the genuineness of the document by communicating with the owners/signatories of the corporate entities;
- b. Obtaining legal opinion about the delegation and the powers vested if the delegation needs further clarity;
- c. Receiving delegated person's photo, ID card as well as signature specimen and opening mandate file for future reference;
- d. Verifying the delegated person's signature against the signature specimen and identifying the delegated person's ID card at the back of the letter at the time of receiving the letter of payment instruction; and
- e. Verifying and identifying the delegated customer before handing cheque books, advice, and statement of accounts.

7.12 Changing Customer Signature request

An account holder/a customer may request for changing the signature for one of the following reasons;

- a. When there is a difference in her/his signature from that of the one she/he had signed at the time of opening an account and feels that she/he can no longer reproduce/remember it;
- b. When an illiterate account holder becomes literate and, therefore, desires to replace her/his thumbprint with a written signature; and
- c. Due to injury or health problems.

7.12.1 The Checker:

- a. Interviews the customer to find out her or his reason(s) for deciding to change her/his signature and refer to the Maker for processing;
- b. Checks the application form for a change of signature against the customer's ID card and her/his old and new signatures;
- c. Ensures the new signature and the relevant documents are scanned and linked with the account by the maker; and
- d. Cancels old signature, checks, and authorizes the change of signature.

7.12.2 The Maker:

- a. Receives the request and advice the customer to fill out the application form for a change of signature by putting her/his new and old specimens' signature in the presence of two witnesses;
- b. Identifies the customer using the information on the system and identity card on the application form;
- c. Collects service charges as per the terms and tariffs of the bank;
- d. Scans the new signature given by the customer based on the application form for a change of signature;
- e. Forwards the application along with relevant documents to **the Checker** for authorization **and documentation**.

7.13 Issuance of Bank Statement

The home branch or any other networked branch shall issue bank statements to account holders or their delegates /signatories.

7.13.1 The Maker:

- a. Issues the current account bank statement every month upon customer request on any branch without service charge; however, for saving accounts service charge shall be collected as per terms and tariffs; and
- b. Issues the additional bank statement which is requested by the customer with collecting service charges as per the Banks terms and tariffs;

7.14 Balance Confirmation Request

Balance confirmation requests need to be responded to at the home branch. However, confirmation letters can be responded to by another branch, respective District/Area office, or other head office organs when situations necessitate. However, in such cases, the home branch should be informed.

7.14.1 Branch Manager /Business Manager/CSM:

- a. Receives written request from the account holder /agent/signatories and verifies the signature;
- b. Checks the balance of the customer and any locked amount that is not visible through the system by contacting the original branch in case of the confirmation is given other than home branch;
- c. Gives the balance confirmation based on the previous day's balance to the concerned organ as per the designed standard letter format in writing; and
- d. Collects service charge for written balance confirmation service as per the terms and tariff;
- e. Shall copy to the respective district office for any confirmation letter written for the third party.

7.15 Fixed Asset and other properties Management

Branch staff should take care of the bank's fixed assets that they use individually and in groups

7.15.1 Branch Manager/Operation Manager/CSM:

- a. Shall take over the fixed asset assigned to the branch after checking the documents and fixed asset properly;
- b. Ensures that the fixed asset received and registered into the registered book prepared for this purpose;
- c. Ensures that the tag number affixed is in line with Property Management Directorate record;
- d. Delivers the fixed asset to the staff who uses it against her/his signature by registering it in the register book prepared for this purpose;
- e. Ensures that the staff in charge handles the fixed assets under his/her possession;
- f. Follows the same step of registration and handling for replaced fixed assets;
- g. Ensures that the replaced/transferred fixed assets are omitted from the branch's fixed asset list
- h. Ensures that when a staff is transferred from the branch, the staff has handed over the fixed assets as per the list and the new staff has taken over the fixed asset lists assigned to him/her;
- i. Quarterly reviews of the fixed assets against the list;
- j. Timely follow-ups ensure that the fixed asset gets preventive and timely maintenance properly; and

- k. Immediately reports lost and damaged fixed assets to the respective district office and property Management Directorate.

6.13.2 Other staff handling fixed assets

- a. Receives the fixed assets from the Branch Manager/Operation Manager/CSM or his/her delegate, as per descriptions on the list and against signatures;
- b. Ensures that at the end of the day, every fixed asset is handled and used properly;
- c. Informs the Branch Manager/CSM or his/her delegate whenever the fixed assets under custody are lost or damaged; and
- d. Hands over the fixed assets including rubber stamps under possession when leaving the branch or when leaving the specific position.

7.16 Office Key management

7.16.1 Custody of keys

7.16.1.1 Branch Manager/Operation Manager/CSM:

- a. Registers all keys on the key register book;
- b. Hands over the keys to the responsible performer after signing on the register book;
- c. Updates the register book when there is a change in keys or performers;
- d. Hands over the strong room doors, grills, ATM, and vaults duplicate keys to the internal audit directorate using handing taking format;
- e. The following keys shall be recorded on the bank's Official Key-Register Book and Signed for by the respective persons responsible to handle the key:
 - i. Keys for strong room doors and big safes used as cash vaults;
 - ii. Keys for petty cash safes and grill doors for petty cash;
 - iii. Keys for server rooms/rack;
 - iv. Keys for safes or fire-proof cabinets containing valuable documents or instruments;
 - v. Keys for regular filing cabinets and desks;
 - vi. Keys for Gates(front and back) and Offices;
 - vii. Key/combination code of CSO-I cash box;
 - viii. ATM key; and
 - ix. Muday box key (a Separate register shall be prepared to manage the key).
- f. Transfers of keys from person-to-person needs to be duly recorded in the register, against the signature of the holder, and needs to be updated regularly;
- g. Holders of cash vault room and cash safe keys should not leave behind their keys in the bank premises after office hours; and

- h. A separate register shall be prepared to manage the muday box key.

7.16.2 Original Keys

- a. Keys to strong room doors and combination code of small and big safes used as Cash Vault must be held by the Manager Branch/Operation Manager/CSM;
- b. Keys to strong room door, and small and big safes used as Cash Vault must be held by the Chief cashiers in all branches;
- c. Keys/combination codes of the CSO-I cash box shall be held by the CSO-I; and
- d. Original office keys of door, drawers, and others shall be held by authorized persons and shall keep safely.

7.16.3 Duplicate Keys

- a. Duplicate keys must be with the Branch Manager; the sealed envelopes should bear the names of the user branch and person clearly and be marked with the phrase “confidential” on the envelopes.

7.16.4 Original Keys Loss and replacement of key

- a. The individual key holders should immediately report the loss of keys in writing to their immediate supervisors;
- b. Those in the custody of duplicate keys upon receipt of loss reports must immediately supply the duplicates to the concerned Branch Manager /individual ;
- c. Lost strong room door, the small and big safe keys must be replaced by a new one at the expense of those responsible; and
- d. All costs and expenses that are incurred as a result of a key or key replacement or the change of a locking device will be paid by the employee who lost the key or keys.

7.16.5 Authorized Signature Assignment

7.16.5.1 Signature Assignment for Branches

- a. Signature type 'A' is given to Branch Manager, Business Manager/Operation Manager/CSM; type 'B' is given to Accountant, Chief Cashiers, and equivalent positions while 'C' is given to other Makers assigned in the branch as deemed necessary;
- b. For Branch Manage, CSO-II job position assigned staff for new branches, signatures shall be given automatically and for CSO-I, the signature shall be given with the recommendation of the Branch Manager;
- c. The Branch Manager shall request for additional or upgraded signatory power for his/her staff member in writing to the BBQA Directorate;

- d. The request shall include the signature type requested, the reason for the request, the staff member's name for whom the authorized signatory power is requested, and the specimen signature of the staff who is to be an authorized signatory power;
- e. The Manager shall sign the letter and other attachments; and
- f. The Director- BBQA Directorate receives and forwards to the Manager District Support division for further action;
- g. The Manager District Support division assigns an officer for assessing the appropriateness of the request, shall approve the assignment of additional or upgraded signature and send the same to Officer to update in the system or the signatures booklet and to distribute to all banks and other concerned external bodies.

7.16.5.2 Signature Assignment for Head Office

- a. Signature type 'A' is given to Managers, Directorate, and above; type 'B' is given to Senior Officers and equivalent positions while 'C' is given to other officers below Senior level assigned in the Head Office as deemed necessary;
- b. The relevant District/Area/HO organ Designated person, Manager, or Director or above shall present a request for signatory power to be given to a staff member in writing to the BBQA Directorate;
- c. The request shall include the signature type requested, the reason for the request, the staff member's name for whom the signatory power is requested, and the specimen signature of the staff who is to be an authorized signatory;
- d. The Director- BBQA Directorate/Manager District Support or designated person, after assessing the appropriateness of the request, shall approve the assignment of an authorized signature and send the same to Officer to update in the system or the signatures booklet and to distribute/circularize to all banks and other concerned external bodies; and
- e. The Designated person or Director shall sign the letter and other attachments.

7.16.5.3 Signatures from Other Banks

- a. When signatures from other banks are received by the Branch Banking and quality assurance Directorate, the Director instructs District Support Division to update the system or the signatures booklet and to distribute the signatures to all relevant units of the bank (if appropriate).

7.16.5.4 Upgrading/Modification /style Change/Cancellation of onus Signature

- a. For style change/upgrade/canceled signatures of the bank apply similarly as per Article 7.16.1 & 7.16.2 of this procedure; and

- b. When style change/upgraded/canceled signatures from other banks are received by the Branch Banking and quality assurance Directorate, the Director instructs the Officer to update the system or the signatures booklet and to distribute the signatures to all relevant units of the bank (if appropriate).

7.17 Loss of Pass Book

When Pass Book is lost in the hands of a customer, the following procedures shall be followed:

- a. The maker interviews and directs the customer to the Checker;
- b. The Checker asks the customer where and when he/she lost the booklet and requests same to fill the standard declaration form designed for this purpose;
- c. The signature appearing on the declaration form shall be verified and approved by the Checker;
- d. The existing saving account shall be operated using the new Pass Book, The customer shall be responsible to hand over the lost passbook in case of recovery; to the branch. This should be part of the undertaking he/she signs;
- e. The account holder shall be provided with a new booklet. The cost of the passbook shall be collected per the terms and tariff of the bank;
- f. The existing saving account shall be closed and a new saving account shall be opened, updated balance in the old account shall be transferred to the new account, shall be operated by the new passbook, and the customer should be advised to handover to the branch the lost passbook in case of recovery.

7.17.1 Replacement of Pass Book

When the passbook is used fully and there is no space to update the transaction, the following procedures shall be followed:

- a. The Maker shall receive the existing passbook from the customers and inform the Checker;
- b. The Maker shall insert the pertinent data in the new passbook properly and update the balance in the pass book;
- c. The Checker shall ensure that all the data is properly filled in the passbook and sign on the passbook and stamp the branch seal;
- d. The Maker shall secure the customer's signature in the register before delivering the Pass Book; and
- e. The cost of pass book should be collected as per the bank terms and tariff;

PART-EIGHT

CASH OPERATIONS

8.1 Local Currency-Cash Operation

8.1.1 Opening cash operation during a business Day

8.1.1.1 Branch Manager/Operation Manager/CSM:

- a. Signs in to the Branch CBS using personal ID and password;
- b. Opens the vault jointly with the SCSO/CSOIII/CSOII-Chief Cashier and withdraws the Cash needed for the day's operation and keeps the main cash vault jointly;
- c. After withdrawing the Cash needed for the day's operation, close the vault jointly with the **SCSO/CSOIII/CSOII-Chief Cashier**;
- d. Writes the cash withdrawn from the vault in the dispatch book according to the denominations and makes the **SCSO/CSOIII/CSOII-Chief Cashier** sign on it; and
- e. Repeats the same procedures above if there is any additional cash withdrawals from the vault are required during the day.

8.1.1.2 The Chief Cashier:

- a. Signs in to the CBS using personal ID and password;
- b. Opens the vault jointly with the **Branch Manager/Operation Manager/CSM** and withdraws the Cash needed for the day's operation;
- c. Signs on the dispatch book of the **Branch Manager/Operation Manager/CSM** to acknowledge receipt of the cash withdrawn from the vault;
- d. Posts the cash withdrawn from the vault to the CBS using the "vault menu" and transfers the cash that is withdrawn and the petty cash to his/her cash/ CSO-I cash account for the daily cash operation using the password on the CBS;
- e. Registers the cash withdrawn from the vault with respective denominations in the dispatch book;
- f. Assigns a CSO-I who will facilitate the daily operations and on the master table;
- g. Distributes adequate cash with all kinds of denominations to the Maker against the signature of the recipient on the dispatch book. All cash denominations handed over to the **CSO I-the Maker** shall be written in good order at all times;
- h. Transfers the adequate cash balance through the FINACLE CBS to the name of respective CSO-I's;

- i. Hands over the empty cash box to each CSO-I which was kept locked in the vault. Upon the assignment of the CSO-I to the branch, the cash box along with the set of keys should be handed over against the CSO-I's signature on the keys' register of the branch;
- j. Transfers the previous day's closing balance of the cash book as BBF and the balance of the day on the cash book;
- k. Coordinates and controls the activities of CSO-I and sorting table through physical means and the Finacle CBS;
- l. Collects the cash from the CSO-I to transfer the excess amount to the Table against signing on the CSO-I's cash surrender book for the receipt of the cash;
- m. Receives cash by counting each bundle and brick after checking against the dispatch book of CSO-I whenever cash is above CSO-I cash limits ;
- n. Ensures the whole cash operation is in order, and he/she should hand over the cash stamps to the concerned CSO-I;
- o. Avails his/herself in the office throughout the day except for lunchtime. He/she must go around the CSO-I Both for the
- p. Supervises & ascertains that the customers are properly served & their complaints are dealt with appropriately & looks into any cash difference a customer may allege to have within any CSO-I.
- q. Receives or exchanges or consigns the cash to/ from the central Cash issue;
- r. Assists/supports CSO-I during daily operation;
- s. Controls the sorting table, the cash office boy, and no one should enter into the cash area without his/her knowledge & permission; and
- t. Checks, and verifies cash in the hands of CSO-I with the collaboration of the Branch Controller/Branch Manager/Operation Manager/CSM before the handing over of the key to relieving branch cashier, In case of emergency or sudden sickness of CSO-I.

8.1.1.3 The Maker-CSO-I:

- a. Collects cash stamps from the **Chief Cashier** at the beginning of the day's operation;
- b. Opens the system, signs in, and enters into Operation Menu through the Finacle CBS using their personal ID and password;
- c. Checks the CSO-I cash account with HTM menu has zero balance in the cash position, to begin with the cash operation of the day;
- d. Collects the cash from the Chief Cashier and verify all the complete bricks to ascertain that each brick contains 10 bundles and all are wrapped;
- e. Ensures the signature or initial of the counter and verifier are signed on each bundle. Notes of Birr 50, Birr 100, and Birr 200 are to be accepted only by counting one by one;

- f. Acknowledges the receipt of cash by signing on the cash dispatch book and verifying the cash transferred through the system and the CSO-I cash account is debited for the amount received from the cashier;
- g. Adjusts the date of the stamps to begin the day's operation; and
- h. Hands over the excess cash to the chief cashier by denomination, and retaining the cashier's signature in the cash surrender book.

8.1.2 Request for additional Cash during the day's operation

8.1.2.1 The Maker:

- a. Requests the Chief cashier for the additional amount of cash required through the Finacle CBS including its denomination;
- b. Collects the cash, counts, and ascertains the correctness with that of the requested amount and the denominations; and
- c. Signs on the dispatch book to acknowledge receipt of the cash and confirms receipt of the sum through the Finacle CBS to the Chief Cashier.

8.1.2.2 The Chief Cashier:

- a. Receives the message from CSO-I when they need additional money and verify their cash stock balance from the CSO-I cash account through the Finacle CBS;
- b. Prepares the amount requested by the respective CSO-I and writes same on the dispatch book by denomination;
- c. Hands over the required cash after securing the CSO-I signature on the dispatch book; and
- d. Posts the amount of cash transferred to the respective CSO-Is' cash account through the Finacle CBS.

8.1.3 Excess Cash in the Middle of the Operation:

8.1.3.1 The Maker:

- a. Has a limit for the daily cash holding up to ETB 200,000 (Two hundred thousand Birr);
- b. Sorts prepare and balance in brick or bundle the excess cash in the middle of the operation by denominations;
- c. Registers the amount of excess cash on the dispatch book by denominations;
- d. Transfers to the Chief Cashier the excess cash through the Finacle CBS; and
- e. Delivers the excess cash to the Chief Cashier physically.

8.1.3.2 The Chief Cashier:

- a. Receives the cash and counts with the help of sorting table CSO-I;
- b. Ascertains the correctness of the sum received under the denomination written;

- c. Signs on the dispatch book to acknowledge receipt of the sum and returns the dispatch book to the CSO-I; and
- d. Confirms receipt of the sum through the Finacle CBS to the name of the respective CSO-I.

8.1.4 Receiving Cash at the Sorting Table

8.1.4.1 The Chief Cashier:

- a. Accepts the amount of cash from the customers when the CSO-I's windows are busy and when the amount of cash in the hands of CSO-I has exceeded the limit;
- b. Sorts the cash notes by denomination and ascertains the correctness with that of the deposit voucher;
- c. Confirms the receipt of the cash by signing the CSO-I cash surrender book and forwards the cash deposit voucher to the receiving CSO-I for stamp and appropriate posting to the customer's account and G/L;
- d. Ensures that the bundles of cash notes are wrapped according to the denominations, quality of notes, and stamp on the wrapping paper; and
- e. Signs dually on the wrapped notes of Birr five and above to confirm the correctness of the bundles with the respective CSO-I.

8.1.5 Closing Activities (Half-Day Closing)

8.1.5.1 The Maker:

- a. Balances the overall cash i.e. add cash collected from customers and cash received from the Chief Cashier at the beginning of the day and all cash collected from the cashier during operation to get the total cash collected during the half-day. Then deduct all cash paid to clients, cash transferred to the cashier during the half-day operation, and cash surrendered to the sorting table to arrive at the total outflow of cash from the CSO-I's hand. Compare the matching of the difference between the cash paid out and cash received against the total cash remaining at the CSO-I's hands;
- b. Transfers all cash notes in bundles and the loose ones to the Chief Cashier by writing the total cash by denomination in the dispatch book and posting the transaction in the name of the respective CSO-I through the Finacle CBS. Therefore, cash shall never be left in the hands of the CSO-I in the drawer during lunchtime and it should be surrendered to the Chief Cashier;
- c. Transfers the remaining vouchers at hand attaching a run-up, initialed on the run-up and the total balance on the batch to the Branch Accountant; and
- d. Ascertains the cash is in balance with the cash register book and Sign-off the Finacle CBS.

8.1.5.2 The Chief Cashier:

- a. Accepts the cash transferred by the CSO-I, ascertains the correctness of the denominations, and signs on the dispatch book to acknowledge receipt of the cash;
- b. Ascertains the correctness of the cash balancing i.e. cash withdrawn from the vault, cash received from all CSO-I, and cash dispatched to the sorting table against cash surrounded to the CSO-I and cash on hand by the Chief Cashier;
- c. Receives the total debits and credits (payment and receipt vouchers) of each CSO-I;
- d. Ascertains the correctness of the cash balance and petty cash on hand with that of the debits and credits; and
- e. Confirms the receipt of cash from each CSO-I is properly recorded in the Finacle CBS.

8.1.6 End of Day (EOD) Closing

8.1.6.1 The Maker:

- a. Transfers the remaining deposit and payment vouchers at hand to the branch Accountant by attaching the batch total with a run-up;
- b. Amalgamates the cash on hand in bundles and loose notes according to the denomination and balance the overall cash: Cash on hand represents: beginning cash balance + cash received from customers + cash received from the table (Chief Cashier); – cash paid to customers – cash sent to the table (Chief Cashier), i.e

Cash received from Chief Cashier (Beginning) -----	XXXXX
Plus receipt of cash from customers -----	XXXXX
Minus payments to customers -----	XXXXX
Minus cash Surrendered to Chief Cashier-----	XXXXX
Minus Cash sent to the table (Chief Cashier -----	XXXXX
Equals Cash on hand at the end of the -----	XXXXX

- c. Transfers the amount of cash balance to the Chief Cashier after ascertaining the balance;
- d. Fills the cash sheet and puts stamp and sign on it; and
- e. Submits the cash sheet with the empty cash box and the stamps to the Chief Cashier.

8.1.6.2 The Chief Cashier:

- a. Accepts cash from the CSO-Is at the table after checking the number of each brick and bundle against the dispatch book;
- b. Receives transfer amount of cash from CSO-I through the Finacle CBS;
- c. Receives the total amount of cash from all CSO-I through signing on the dispatch book;
- d. Ensures that the bricks contain 10 bundles of 100 notes each and that the packet bears the valid initials of the counter and verifier/Accept the cash sheets from all CSO-I by checking

the signature on the form and balances the total cash transaction against the CSO-I cash balance and the cash sheet;

- e. Records the breakdown of all cash on a register book for the next day transfer and registers all cash to be lodged to vault on the dispatch book following the denominations;
- f. Writes the daily debits and credits balance on the cash book and ensures the beginning balance plus minus the net of the day's debit and credit matches the end-of-day balance;
- g. Fills the amount withdrawn from the vault during the day and the amount lodged to vault on the cash book, balances the cash book, and signs on the space provided for this purpose;
- h. Posts the cash lodged to the vault in the Finacle CBS using "the vault menu";
- i. Transfers cash lodgment to the vault along with the petty cash box jointly with the Branch Manager/Operation Manager/CSM
- j. Balances the overall cash, i.e. total cash received from treasury plus cash withdrawn from the reserve and settlement account(other banks), if any, and deduct cash dispatched to branches, cash credited to reserve and settlement account, and other banks accounts. The balance arrived after applying the above arithmetic should equal the end-of-day physical cash balance; and
- k. Writes the total cash according to the denomination in the register book and co-sign with the **CSM/Operation Manager/ Branch Manager** as well as post and sign off from the Finacle CBS.

8.1.6.3 Branch Manager/Operation Manager/CSM:

- a. Ensures that the Chief Cashier checks the correctness of the cash balance against the register book on the dispatch book and the ticket balance;
- b. Ensures that each brick contains 10 bundles, and count all the loose notes in detail;
- c. Ensures the beginning balance plus or minus the net of the day's debit and credit matches the end-of-day balance;
- d. Transfers cash lodgment to the vault along with the petty cash box jointly with the Chief Cashier;
- e. Closes the vault together with the Chief Cashier and co-signs with the Chief Cashier on the cash register;
- f. Checks the correctness of the physical cash balance made by the Chief cashier against the register book according to the denominations and ensures that each brick contains 10 bundles; and
- g. Transfers the cash lodgment to the vault along with the Chief Cashier and co-signs on cash register book with the Chief Cashier as well as signs of the Finacle CBS and closes the vault and the strong room together with the Chief Cashier.

8.1.7 Cash Difference-At Branch

- a. Cash discrepancy (shortage and/or overage) up to Birr 1,000.00 shall be recorded in the cash discrepancy register book and be reported to the branch Manager/Operation Manager/CSM;
- b. A special register book is to be maintained showing the cash shortage or excess committed by respective CSO-I. The record should be completed with details such as:
 - i. Date of the Shortage or excess detected;
 - ii. Name of the CSO-I / cashier;
 - iii. Amount involved;
 - iv. The effort made to trace the difference;
 - v. Date the amount returned to the customer or passed to an adjustment or Refund account if the discrepancy is excess;
 - vi. Date debited to the cash indemnity account of the CSO-I/ cashier if the discrepancy is a shortage; and
- c. Cash discrepancies involving excess or shortage of Birr 1,000 and above shall immediately be reported by telephone to of Director Internal Audit Directorate/Director BBQAD and District Director/Area Manager. A report should follow indicating the efforts made to trace the difference. The report should include:-
 - i. Amount involved;
 - ii. Name of the CSO-I;
 - iii. Efforts were made to trace the discrepancy of checking all payments to and receipts from customers by denomination, and cash received from and surrendered to the chief Cashier by denomination, cash surrendered to sort the table by denomination, and a detailed count of petty and vault cash should be exercised before determination of the cash overage or shortage;
 - iv. Action taken to settle the discrepancy, and If the CSO-I Cash indemnity account is unable to cover the shortage amount report to the finance directorate to debit the Account Receivable account;
- d. The report should be made jointly with the Branch Manager/Operation Manager/CSM whenever a substantial sum of cash is detected as shortage/overage;
- e. The Branch Manager/CSM shall arrange for the whole cash including vault cash to be counted and proper investigation to be made;

- f. The Branch Controller shall undertake proper cash verification and investigation to ascertain the difference;
- g. The report must also be made whenever the cash indemnity account of the concerned CSO-I is insufficient to cover the loss involved regardless of the amount of shortage and action taken to balance the cash position;
- h. All District Directors and Area Managers are required to send compiled cash discrepancy reports (shortage or excess) under their domain to Director BBQAD at the end of each quarter. The report should include data like CSO-I's name, type of discrepancy (shortage/overage), the amount involved, date of a discrepancy, action is taken, and CSO-I's cash indemnity account balance.

8.1.8 Refund of Excess Cash

- a. Cash excess up to Birr 10,000 shall be refunded by joint approval of the **Branch Manager /Operation Manager/ CSM with the assigned Checker/Branch Controller;**
- b. Refund of excess cash between Birr 10,000 to Birr 50,000 shall be approved by the respective **Branch Manager jointly with District Director/Area Manager;**
- c. Refund of excess cash between Birr 50,000 to Birr 100,000 shall be approved by the respective **District Director/Area Manager jointly with Director BBQA;**
- d. Refund of excess cash of above Birr 100,000 should be reported to BBQAD and approval shall be required from the **CEO/CBSO;**
- e. Refund up to Birr 100,000 shall be made after all the necessary investigations have been done and ascertained by the assigned **Checker/Branch controller** while above 100,000 ascertained by **Internal Audit Directorate** that the claimant is the right person to claim the amount and to be refunded;
- f. At the time of approval of the request for a refund, the following, among others, should be considered;
 - i. Application of the claimant: It should normally be lodged instantly and unless a valid reason is presented such claims should not be entertained after 30 days. Pertinent information as to how the excess occurred, denomination, or other factors, must be written in the claimant's application. This information should be counterchecked with the statement of the concerned CSO-I;
 - ii. Written statement of the CSO-I: The CSO-I may recall the circumstance as to how the excess occurred and may even recognize the claimant;
 - iii. Receipt or payment voucher in which the excess occurred: If denominations reflect the error made, the refund could be easily approved. Besides, the document is essential to

determine how much money was involved at the time of deposit or withdrawal for the excess to occur;

- iv. Other pertinent circumstantial shared of evidences: Different factors that reveal the genuineness of the claimant may be considered although it is difficult to enumerate them exhaustively here;
- v. The Branch Manager: The Branch Manager should work out the denominations of the excess. Deposit will be added to the beginning cash balance by denomination and withdrawals will be deducted in the same manner to arrive at the denominations of the closing cash balance. This should be performed without fail, and those who approve the refund of excesses will consider such report in their decision; and
- vi. Report of excess refund: The Branch manager should report the action taken on the approved excess cash refund to the respective District/Area and BBQAD.

8.2 Cash Distribution

When a branch holds excess cash beyond its limit, it should transfer the cash to the central cash vault and when an outlying branch carries cash beyond the limit it is required to deposit the same in the Memo account maintained with the BB center issue account in the name of the bank. In times of shortage of cash, City branches shall request the Treasury and Investment Management Division in writing to supply cash on demand. While Outlying branches in the times of cash shortage shall request the **Treasury and Investment division under Finance Directorate** to credit the bank's account (the Issue account branch) through the NBE payment and settlement account. However, if a branch has a balance in its memo account, the branch shall write a letter to withdraw cash from the memo account. The movement of cash from one place to another should not be known to people outside or inside the bank except those employees concerned. Also, such cash in transit should be covered by the appropriate insurance policy. Arrangement of insurance shall be undertaken by **Treasury and Investment division under Finance Directorate**.

8.2.1 City Branches Receiving Cash from Issue Unit (Central Vault)

8.2.1.1 Branch Manager/Operation Manager/CSM:

- a. Prepares letter of request to **Treasury and Investment Management Division** and sends it through the bank's internal email/outlook, and the letter shall contain; the total amount of cash requested along with the breakdown of the denominations, signed by the Branch Manager's/operation Manager/CSM, and stamped.

8.2.1.2 Manager-Treasury and Investment Management Division:

- a. Receives letter request, takes note, and forwards to the Treasury officer;

- b. Checks and co-sign the claim ticket and arranges a Van, and Van tellers for transporting the cash along with security guards to escort the cash; and
- c. Ensures the cash supplied safely arrived and is handed over by the respective branch.

8.2.1.3 The Chief Cashier (at Branch)

- a. Informs/reports to the Branch Manager/Operation Manager/ CSM about the cash position of the branch i.e. cash shortage of the branch during the day's operation;
- b. Receives cash from the central issue, and Counts the cash in collaboration with CSO-I -at a table, ascertains the correctness of the amount with that of the claims ticket;
- c. Seals and initials on the claims ticket and hand over to the Van tellers to acknowledge receipt of the cash; and
- d. Registers the denominations of the cash in his/her dispatch book, and posts the total amount as cash received using the bank software/system.

8.2.2 City Branches Dispatching Cash to Central Cash Issue Unit

8.2.2.1 Branch Manager/Operation Manager /CSM:

- a. Prepares letter of request cash dispatch to Treasury and Investment Management Division, the letter shall contain the total amount of cash to be dispatched along with the breakdown of the denominations, signed by the Branch Manager's/operation Manager/CSM and the seal of the branch, and sends it through the bank internal email/outlook,
- b. Arranges the date and time and advice the Chief Cashier to prepare the consignment cash for delivery;
- c. Instructs the concerned staff to prepare a claim ticket for the total amount to be supplied to the Treasury and Investment Management Division indicating the breakdown of the denominations;
- d. Checks, and co-sign the claim ticket; and
- e. Ensures the cash supplied safely arrived and is handed over by the Central issue.

8.2.2.2 Manager –Treasury and Investment Management Division:

- a. Up on receiving the letter request for collecting the excess cash, s/he takes note of it and forwards it to the Treasurer;
- b. Arranges a Van as well as a Van teller for collecting the cash from the branch to the Central Issue along with security guards to escort the cash; and
- c. Acknowledge the receipt of cash arrived safely at the central issue.

8.2.2.3 The Chief Cashier (at Branch):

- a. Counts and arranges the cash with its denominations, ascertain the correctness in line with the letter and the claim ticket. Each denomination of **Birr 200, 100,50,10, and 5** shall be sorted, counted, wrapped, and initialed by the concerned CSO-I /cashier before dispatching to the Central vault;
- b. Registers on the dispatch book and hands over to the Van teller of Issue-Unit with the claim; and
- c. Posts the total amount as cash paid using the Finacle CBS.

8.2.3 Outlying Branch Dispatching Cash to NBE Issue Account Holding Bank-Branches

8.2.3.1 Branch Manager/Operation Manager/CSM:

- a. Writes a letter to "NBE Issue A/C holding branch" to accept the excess cash;
- b. Arranges a vehicle and assign a responsible cashier for transporting the cash along with security guards to escort the cash;
- c. Request cooperation letter to Federal/Regnal Police/defense force to escort the dispatched cash. If the distance to be covered requires an overnight stay on the way, the trip should be planned in a manner that the town where the night is to be passed should be very safe. Trips with cash after sunset or before sunrise should be avoided as much as possible. If there is a branch of the bank in that town, the vehicle carrying the cash should stay for the night in the compound of the branch as safeguarded by its escorts. In the absence of the bank's branch the vehicle should either be in the police station or military camp still accompanied by its escort; and
- d. Ensures the cash dispatched safely arrived and in handed over by the NBE issue account holder branch.

8.2.3.2 The Chief Cashier (at the Branch):

- a. Prepares the cash that should be dispatched in bricks and put it in boxes and or sacks;
- b. Posts the cash dispatched on the bank software/system;
- c. Counts ascertain the correctness of the cash with the letter and take over the cash from the Chief Cashier;
- d. Signs on the cash dispatch book of the main cashier of the branch for the cash received for consignment;
- e. Prepares debit ticket and signs at the back of the ticket to take the cash;
- f. Collects copy of the letter with cash received stamp and advice of it; and

- g. The Branch retains a copy of the letter and sends the original copy with the claim to Treasury and Investment Management Division.

8.2.4 Outlying Branch Receiving Cash from NBE Issue Account Holding Bank Branches

8.2.4.1 Branch Manager/Operation Manager/CSM:

- a. Submit a letter of cash supply request to a nearby NBE Issue Account bank branch by stating the amount, the denomination it requires, and the date when it can take the cash, and copy to Treasury and Investment Management Division;
- b. Assigns officers to receive cash from the NBE Issue Account bank branch; and
- c. Acknowledge the receipt of cash to the Treasury and Investment Management Division.

8.2.4.2 The Chief Cashier:

- a. Receives instruction from the branch Manager/Operation Manager/CSM to collect the requested amount of cash along with the assigned staff;
- b. Posts the cash received on the Finacle CBS, and records on the physical cash book;
- c. The credit ticket will be sent to Treasury and Investment Management Division with a Credit Summary and copy of the letter, which, affixed by paid stamp and receiving the stamp of the branch; and
- d. The branch cashier wrapped and signed along with CSO-I and impressed the cashier's signature and move the cash to the vault.

8.3 Cash consignment between Branch under the same District/Area Office

8.3.1 Cash receiving from another branch same district/Area office

8.3.1.1 Branch Manager/Operation Manager/CSM:

- a. Prepares letter of request to **District Operation Manager/Area Office Manager** and sends it through the bank's internal email/outlook;
- b. Notifies same with a copy to **the Manager Treasury and Investment Management Division**;
- c. Receives a letter of approval from the Manager Operation-**District or Manager Area office** through the bank's internal email/outlook;
- d. Assigns staff for collecting cash from the responding Branch.
- e. Prepare a letter of introduction that states the names and the assigned Officers, Security, and Drivers;
- f. Lodges the received cash in the vault together with the chief cashier;
- g. Authorize the transaction after the necessary entry has been made.

8.3.1.2 The assigned CSO for Collection

- a. Receives a letter of introduction from the **Branch Manager/Operation Manager/CSM** of the requesting Branch and delivers it to the responding Branch;
- b. Thoroughly counts and takes over the cash from the responding Branch, ensures that the amount and denominations equal with the amount of figures in the handing and taking over form;
- c. Escorts the cash together with the Security officers;
- d. Collects cash from the other branch with due care, and hands over the cash to the Chief cashier along with a copy of the handing and taking over form; and
- e. Receives, and Posts the necessary transactions and forwards the handing and taking over form to the **Branch Manager/Operation Manager/CSM** for verification and authorization.

8.3.1.3 The Chief cashier at the Requesting Branch

- a. Receives the cash from the assigned CSO along with the handing and taking over form;
- b. Duly counts the cash in bricks and verifies the amount and denominations equal to the amount of cash in figures in the handing and taking over form;
- c. Forwards a copy of the handing and taking over form to the CSO for transaction posting.
- d. Lodges the received cash in the vault together with the **Branch Manager/Operation Manager/CSM**; and
- e. Registers the received cash and denominations in their physical Cash register Book.

8.3.1.4 The Assigned Checker/Branch Controller

- a. Collects the handing and taking over form from the **Branch Manager/Operation Manager/CSM** and cross-checks the transaction against the system data; and
- b. Properly files the source documents under his/her custody.

8.3.2 Cash dispatching from branch to Branch under the same district/Area office

8.3.2.1 The District Operation Manager/Area Office Manager

- a. Receives, and ensures that the letter of request bears the seal and has the signature of the **Branch Manager/Operation Manager/CSM** from the requesting Branch and includes the total amount of cash requested with a breakdown of denominations;
- b. Identifies the branch with excess cash under its domain and selects the nearest branch for supplying cash to the requesting Branch;
- c. Approves the request and arrange the required logistics;

- d. Approves the cash shipment letter and sends it to both branches using the bank's internal email/outlook; and
- e. Receives cash collection confirmation from the requesting branch.

8.3.2.2 The Branch Manager/Operation Manager/CSM of the Cash Dispatching Branch

- a. Receives the approved letter from **the District Operation Manager/Area office Manager** for supplying cash to the requesting Branch, which indicates the total amount and denominations;
- b. Identifies the assigned CSO as per the letter of introduction;
- c. Prepares three copies of the handing and taking over form, signs and stamps them;
- d. Withdraws the requested cash together with the chief cashier according to the amount and denominations stated on the handing and taking over form;
- e. Authorizes the transaction after the necessary entry has been made;
- f. Communicates the shipment of cash to the **Manager Treasury and Investment Management Division at the Finance directorate** and the respective **Manager District Operation /Area office Manager**; and
- g. Forwards all the necessary documents for checking and documentation to the assigned Checker/Branch Controller.

8.3.2.3 The Chief Cashier

- a. Receives approved letter of request and the handing and taking over form from the **Branch Manager/Manager Operation/CSM**;
- b. Arranges the requested cash together with **the Branch Manager/Manager Operation/CSM**;
- c. Hands over the cash to the assigned CSO along with the handing and taking over form; and
- d. Forwards the signed handing and taking over form to the CSO for transaction posting in the system.

8.3.2.4 The Maker-CSO

- a. Receives the necessary source documents and, Posts the transaction properly to the system; and
- b. Forwards the form to the **Branch Manager/Manager Operation/CSM** for verification and authorization.

8.3.2.5 The Assigned Checker/Branch Controller

- a. Collects the handing and taking over form from the **Branch Manager/Operation Manager/CSM** and checks the transaction against the system data;
- b. Properly file the source documents under his/her custody.

8.4 Foreign Currency- Cash Operations

8.4.1 General Operations of foreign cash

- a. Whenever the purchase of foreign currency is taking place, the CSO-I ensures that the entry ticket is duly signed by the authorized signatories, counter checks the customer ID against the ID holder, checks the genuineness of the currency by the detecting machine;
- b. The original ticket is to debit foreign currency, the second copy is advice for the customer & the third copy is the tracer;
- c. Copies of the customer Id shall be attached to the debit ticket (payment instrument and machine printout), and should be kept separately in the hands of the Chief Cashier;
- d. The branch Cashier & the Branch manager should check each tracer in the pad at the end of the day and ensure that the foreign currency bought is in agreement with the local currency paid during the day. All sets of void vouchers must be attached with the file copy in the bad marked with the word "VOID";
- e. Branches shall never sell foreign currencies unless approval is found from IBD; and
- f. The pad of tickets should be held under the strict control of the Branch manager and should be delivered to the concerned staff against signature.

8.4.2 Dispatch of foreign currencies to the Central vault

- a. When there is foreign currency cash, the branch sends it together with their list of serial numbers along with the claim & denomination & the equivalent amount in Birr in the prevailing rate;
- b. When the FCY consignment/dispatch arranges to **the Treasury and Investment Management Division**, the chief cashier checks the conversion and collects the cash in the presence of the Van teller by counting the notes one by one & checks against the attached list of serial numbers, the genuineness of the currency by the detecting machine;
- c. While consigning foreign currency, one copy should remain with the branch, and brings the other copy along with the foreign currency should be sent to the central vault;
- d. The branch shall send foreign currency purchase and sales report monthly to IBD; and
- e. The Branch Manager/Operation Manager/CSM follow-ups the arrival of FCY notes.

8.4.3 Foreign Currency Closing of Cash

- a. Similar to local currency as discussed above in this procedure.

8.5 Cash holding limit

- a. The bank assigns and reviews cash limits to branches considering the volume of their cash transaction, strong room capacity, security of the area & their distance from the Head Office and NBE issue home branches; and
- b. **Treasury and Investment division under Finance Directorate** for the cash holding and in transit limit shall purchase the appropriate insurance policy.

8.6 Cash Area at Branch

- a. No one else other than those authorized should be allowed to enter the cash area. Even those who deal with cash should not roam around the cash area & should not cause an unnecessary commotion;
- b. Under no circumstance, CSO-I should leave his/her windows or should have a long conversation across their part with other staff;
- c. The doors of drawers or the safes which CSO-I use to put cash should be kept locked even after the cash work that was being carried out in the cabinet is completed;
- d. Nobody should enter the windows of the CSO-I & unauthorized persons should not be allowed to enter the cash area at any time. Since the cash work requires care & accuracy, CSO-I shall never be disturbed;
- e. All personnel in the cash area should be attentive & polite to customers; and
- f. Proper information must be provided in reply to the customers' queries. If the CSO-I is uncertain about the query of the customer, he/she should direct the customer to the appropriate supervisor.

8.7 Attendance and Conduct

- a. The Chief cashier or CSO-I or Cash Office boys/girls or Cash Aid should not leave the cash area. If they have to do so, it ought to be for exceptionally urgent reasons which must be reported to the supervisor;
- b. Telephone by Cell phone or fixed calls should be avoided during cash hour. If there is an important message, it should be received & communicated by the cashier to the CSO-I until he/she is cleared of cash responsibility;
- c. No one should leave the cash area until cash is in balance;
- d. Whenever the customer complains about the CSO-I for the shortage or excess of cash, the cashier should report to the branch manager who should arrange to close the window of the CSO-I concerned & balance all the cash of the particular CSO-I to satisfy the customer; and

- e. If CSO-I suddenly falls sick or an emergency happens to him that forces him to take permission during cash hours, under no circumstance, he will be allowed to leave the place after balancing the daily transaction.

8.8 Coins Good for Issue

- a. If the branch has a coin-counting machine, the counting of the coins should be done by the cash-office boy/girl. The numbering of the machine should, however, be controlled by the Chief Cashier;
- b. In a branch where there is no machine, the counting of the coins should be done by hand. The cash-office boy/girl should do the counting;
- c. Coins of all denominations that are counted should be arranged in a pile of twenty coins each and be put in a tray in rows. A tray of coins should contain 100 piles of coins i.e. ten piles wide by ten piles long (10 X 10). Before the coins are put in a bag, the Chief Cashier should check the counting of the coins arranged in the tray;
- d. A full coin bag should contain:
 - Cents "One" Birr 1,000. - i.e. 1,000 Pcs
 - Cents "0.50" Birr 1,500. - i.e. 3,000 Pcs
 - Cents "0.25" Birr 1,000. - i.e. 4,000 Pcs.
 - Cents "0.10" Birr 400. - i.e. 4,000 Pcs.
 - Cents "0.05" Birr 300. - i.e. 6,000 Pcs.
 - Cents "0.01" Birr 100. - i.e. 10, 000 PCs.
- e. After the foregoing counting is completed a small card that shows the amount, the initials of the counter and verifier as well as the date it is counted, should be put in the bag before sealing it;
- f. A full coins bag should either be sealed or tied with a string and a tag of appropriate color should be attached at the end showing the denominations, the amount, the date it is sealed and the initials by which it has been counted and verified and the name of the branch;
- g. Coins of the same denominations should be kept in the same place in bags as indicated above; and
- h. Mutilated coins should be kept separately from coins good for issue with a note in the bag showing the amount and the initials of the two custodians.

8.9 Notes Good for Issue

- a. All notes should be counted by one person and then verified by another. Both the counter and verifier of the notes should sign at two corners of the first cash note of the bundles. The money counted should be wrapped and should bear the initials of the counter and verifier

and should also have the date when wrapped and the name of the branch where the wrapping of the bundles is done;

- b. A bundle of notes should contain 100 notes and a brick of notes should contain 1000 notes i.e. ten bundles strapped with string and should bear on one side of the brick a label showing:-

The amount in Birr;

- i. The date it is strapped;
 - ii. The name of the Branch;
 - iii. The initials of the counter and verifier on the brick;
- c. Amount of notes less than 100 notes should not be wrapped. Any loose notes should be strapped with the rubber band and the number of the notes should be written at the corner of the first note;
- d. Notes of the same denominations must be kept in the same place whether it is in the petty cash or vault. They should be issued in the order of first in the first out and should not be kept for more than one year after they are strapped into bricks;
- e. All initials or signatures on bundles of notes must be written clearly;
- f. Cash Aid shall wrap notes and co-sign along with either the CSO-I or the **Chief Cashier**;
- g. Cash Office boys/girls should not be left alone to wrap notes without the supervision of either the CSO-I or the **Chief Cashier**; and
- h. All CSO-I's should be occasionally requested to deposit fresh specimen signatures and initials in duplicate. The Chief Cashier will keep the original and the duplicate should be passed to the branch controller for custody. The time frequency for obtaining such specimen is left to the discretion of the **Chief Cashier/ Branch Manager /Operation Manager/CSM**.

8.10 Counterfeit Notes

- a. The criminal investigation laboratory insists that care should be taken to avoid any marking on forged notes, which might hinder the characteristics of the counterfeit notes;
- b. It is of course, necessary that forged notes presented by customers and observed/assured by a CSO-I to be counterfeit, shall be marked "COUNTERFEIT" in the presence of the presenter. Otherwise, s/he will have a sound chance to complain about having unreasonably confiscated his property. If a rubber stamp is used for marking as a counterfeit, it is important to be sure that it is not heavily inked and that it does not cover the number, the portrait, the signature, or any other feature, which makes it different from that of the genuine note;

- c. If a forgery is noticed after it has been accepted and missed with the cash of the Bank and the presenter of the note could not be identified, the CSO-I in whose packet the note of the COUNTERFEIT is discovered should be liable for making good the value of the note. The forged note so discovered shall also be marked accordingly and should be withdrawn from circulation;
- d. Whenever the bank intercepts a counterfeit note, information regarding the forgery should be given immediately to the nearest police station. The note itself should be marked with the stamp indicating that it is "counterfeit" written then sent with a written report to the nearest police station. The report should clearly show the address of the customer and his statement as to how he acquired the forged note. A copy of this report must be sent to the district and Internal Audit Directorate at Head Office; and
- e. The bank has no right to take the possessor of the note into custody or to detain him/her but it would probably be best to notify the police immediately by telephone while preparing the letter.

8.11 Deteriorated Notes

- a. Deteriorated notes should be kept separately according to their denominations and should be segregated from notes good for the issue.
- b. Any note mutilated or deteriorated should be withdrawn from circulation and should be kept along with other deteriorated notes so that it may not be reissued by mistake;
- c. Any time a note of a certain denomination reaches 100 in number, should be counted verified and wrapped, and should be treated like any bundle of new notes;
- d. After all the counting, wrapping, and signing are completed, every bundle should be stamped on both sides with a large rubber stamp on which the word "Deteriorated" is inscribed with bold letters such that the stamping appears on the full-length of the bundle;
- e. If there is no stump, the inner stripe wrapping kaki shall be white;
- f. Once a bundle is obliterated with such a stamp or wrapped with a white inner stripe, its chance of being issued again by mistake for circulation is thus annulled;
- g. If deteriorated or mutilated notes at the part where the serial numbers are written and then glued together on another paper, the notes should have no value;
- h. If deteriorated or mutilated notes happen to be of a size that is equal to or less than one-quarter of the original note, they should have no value even though the serial numbers appearing;
- i. If deteriorated or mutilated notes are a note with several perforations and mutilated edges and if the serial numbers at both corners are complete and the note is a whole note i.e. it is not one torn apart and patched up later on, the note should fetch its full value;

- j. Even though the deteriorated or mutilated notes do not bear in full the serial number in either of the two corners of the note, if however one corner of the note is not mutilated and bears a complete serial number and its size is not less than three-fourths of the whole note, the note should fetch its full value;
- k. The shapes and sizes, which these remnants take on from the spoiling fire, rodents, and other blights, are varied, and numerous and not as many patterns could be devised and shaped to illustrate each of them; and
- l. To determine the values of the mutilated notes presented for redemption, branches shall ensure that the shapes have a semblance to any of the patterns referred to as per NBE requirements. Otherwise, they are requested to refer them to the NBE.

8.12 Exchange of Notes and Coins

- a. A CSO-I who, in addition to his/her normal cash operation, shall be assigned to exchange notes and coins will receive a fixed amount of cash in different denominations preferably small denominations specifically for exchange purposes from the chief Cashier against signature in the dispatch book of the Chief Cashier;
- b. The CSO-I shall count the cash provided to him/her in front of the Chief Cashier. If an additional amount is needed for exchange the Chief Cashier shall provide the cash against signature;
- c. The CSO-I exchanges big notes into notes of smaller denominations or vice versa as the case may be;
- d. At the end of the cash operation during lunchtime and day-end closing the CSO-I surrenders the cash to the Chief Cashier in different denominations. The cash surrendered shall be equal to the amount that was received by him/her during the day; and
- e. The exchange of notes for coins up to Birr 10 shall be handled by the **CSO-I** and any amount exceeding Birr 10 will be handled by **the Chief Cashier**.

8.13 Sorting Table

- a. All notes regardless of the denominations must be sorted out, counted and wrapped in cooperation with **the chief Cashier and Cash office worker**;
- b. Wrapped notes shall be impressed by a cash stamp and signed by the counter and verifier; and
- c. The Chief Cashier should ensure that the total cash surrendered by the CSO-I's as recorded in the dispatch book agrees with that of the total cash sorted and held in the Table.

PART-NINE

CUSTOMER ACCOUNT CLOSURE

9.1 Reasons for Account Closing

Before the Account closing process, the following points should be taken into consideration.

- a. The reason for the closure and discontinuation of a relationship by a customer has to be known Branch Manager/Business Manager/Operation Manager/CSM;
- b. Branch Manager/Business Manager/Operation Manager/CSM has to make a comprehensive discussion with the customer before the closure of the account;
- c. In case the customer has no other reason than dissatisfaction with the service or misunderstanding, corrective measures should be taken immediately; and
- d. The Customer account may be closed due to the following reasons:-
 - i. Requested by the customer;
 - ii. Due to court order;
 - iii. The account holder is reported dead, bankrupt & insanity;
 - iv. The account holder is on the mal-operation list (for the current account);
 - v. If the Customer is suspected or suspicious;
 - vi. The account holder account is reported by NBE/FIC to terminate the banking business relationship;
 - vii. Up on maturity for Fixed Time of Deposit Accounts; and
 - viii. When the account is transferred to the unclaimed balance for the current account.

9.2 Closure of Customers Account

9.2.1 The Maker:

- a. Receives an application of account closure request from the customer after the CSM/Business Manager/Branch manager interviewed her or him;
- b. Receives the passbook (for saving Account), and if the customer does not have a passbook, receives undertaking from the account holder, when he/she gets the passbook to submit to the account maintaining branch;
- c. Makes sure that there are no wrong debit/credit entries into the account, as well as no credit/debit entries in transit;
- d. Checks if there are any legal liabilities about the account to be closed before closure;
- e. Initiates the account closure process and effects payment or transfer of the whole balance to the customers' new account;
- f. Effects payment as per the payment procedure if the customer wishes to pay cash;

- g. Cancels the passbook, if any, and forwards it to the Branch Controller.

9.2.2 The Checker:

- a. Interviews the customer before closing the account. If the customer is dissatisfied with the service further corrective measures should be taken immediately and notes the causes of dissatisfaction for management further action.
- b. Receives all pertinent documents for account closing from the Maker;
- c. Makes sure that there are no wrong debit/credit entries in the account, as well as, no credit/debit entries in transit;
- d. Checks the entry that brings about the closure of the account within her/his limit and authorizes the transaction;
- e. Makes sure that the passbook is collected from the customer;
- f. Collects the unused cheque/s along with the letter indicating the range of unused cheques from the customer and writes the word "Void" on each cheque leaf;
- g. Checks and authorizes the transaction within her/his limit;
- h. Registers the unused cheques returned into the system.

9.2.3 Branch Controller/The assigned Checker:

- a. Receives the unused cheque or the passbook and ticket and cheques the presentation and accuracy thereof;
- b. Places the documents(account-opening application form, unused cheques/passbook) in the "closed account" file in order;
- c. Registers the unused cheques and destroys them in the presence of the CSM/Operation Manager/Branch Manager and the Maker within fifteen days of the account closure; and
- d. Files the minute held for the destroying of the unused cheques signed by all presented in the specified venue and time to destroy the unused cheques.

PART-TEN

EXCEPTIONS, REVISIONS, AND REPEALED

10.1 Treatment of Exceptions

The CEO shall exceptionally handle any matter that may not be covered in this Procedure.

10.2 Revision of Procedure

The Procedure shall be revised when deemed necessary and it shall be presented to the EMCs for approval.

10.3 Amendments

Amendments shall be communicated to respective organs of the bank via circulars/memorandum.

10.4 Repealed

The previous Domestic Banking Operations Procedure Manual and other operational guidelines communicated with circulars/Memorandums are hereby repealed and replaced by this Branch Banking Procedure.

10.5 Effective Date

This Branch Banking Procedure shall enter into force on the _____ of _____ 2023.

Mulugeta Alemayehu

Chief Executive Officer

1.1 Annex-The Structure of CBSO

The structure of CBSO is depicted based on the workflow, authorities and responsibilities, and new business principles as follows:

